

XII

Settling Investment Disputes

ADDITIONAL READING: A Broches, 'The Convention on the Settlement of Investment Disputes between States and Nationals of Other States' (1972–II) 136 *Recueil* 331; M Hirsch, *The Arbitration Mechanism of the International Centre for the Settlement of Investment Disputes* (1993); J Paulsson, 'Arbitration without Privity' (1995) 10 *ICSID Rev* 232; L Reed et al, *Guide to ICSID Arbitration* 2nd edn (2010); M Waibel et al (eds), *The Backlash against Investment Arbitration* (2010); AM Steingruber, *Consent in International Arbitration* (2012); HE Kjos, *Applicable Law in Investor–State Arbitration* (2013); N Maurer, *The Empire Trap: The Rise and Fall of U.S. Intervention to Protect American Property Overseas 1893–2013* (2013); RD Bishop et al (eds), *Foreign Investment Disputes: Cases, Materials and Commentary*, 2nd edn (2014); JE Kalicki and A Joubin-Bret (eds), *Reshaping the Investor–State Dispute Settlement System: Journeys for the 21st Century* (2015); M Kinnear et al (eds), *Building International Investment Law* (2015); NJ Calamita, 'The Challenge of Establishing a Multilateral Investment Tribunal at ICSID' (2017) 32 *ICSID Rev* 611; J Commission and R Moloo, *Procedural Issues in International Investment Arbitration* (2018); F Fontanelli, *Jurisdiction and Admissibility in Investment Arbitration* (2018); E Gaillard and Y Banifatemi (eds), *Jurisdiction in Investment Treaty Arbitration* (2018); K Hobér, *Investment Treaty Arbitration* (2018); J Fouret et al (eds), *The ICSID Convention, Regulations and Rules* (2019); A Parra, *ICSID: An Introduction to the Convention and Centre* (2020); Y Radi, *Rules and Practices of International Investment Law and Arbitration* (2020); SW Schill et al (eds), *Schreuer's Commentary on the ICSID Convention*, 3rd edn (2022).

1. State v State disputes

(a) Diplomatic protection

Under traditional international law investors did not have direct access to international remedies to pursue claims against foreign States for violations of their rights. They depended on diplomatic protection by their home States. A State exercising diplomatic protection espouses the claim of its national against another State and pursues it in its own name. The Permanent Court of International Justice (PCIJ) explained diplomatic protection in the *Mavrommatis Palestine Concessions* case:

It is an elementary principle of international law that a State is entitled to protect its subjects, when injured by acts contrary to international law committed by another State, from whom they have been unable to obtain satisfaction through the ordinary channels. By taking up the case of one of its subjects and by resorting to diplomatic action or international judicial proceedings on his behalf, a State is in reality asserting its own rights—its right to ensure, in the person of its subjects, respect for the rules of international law.¹

In 2006 the International Law Commission adopted Draft articles on Diplomatic Protection.²

Diplomatic protection is subject to several conditions. The investor, whether it is an individual or a corporation, must be a national of the protecting State. This bond of nationality must have existed continuously from the time of the injury until the claim is presented or, according to some, until the claim is settled. In addition, the investor must have exhausted the local remedies in the State that has allegedly committed the violation.³

The usefulness of diplomatic protection is limited. Under international law, the investor has no right to diplomatic protection but depends on the political discretion of its government. The government may refuse to take up the claim, it may discontinue diplomatic protection at any time, and it may even waive the national's claim or agree to a reduced settlement. In other words, the investor is never in control of the process. As the International Court of Justice (ICJ) said in the *Barcelona Traction Case*:

79. The State must be viewed as the sole judge to decide whether its protection will be granted, to what extent it is granted, and when it will cease. It retains in this respect a discretionary power the exercise of which may be determined by considerations of a political or other nature, unrelated to the particular case. Since the claim of the State is not identical with that of the individual or corporate person whose cause is espoused, the State enjoys complete freedom of action.⁴

Diplomatic protection on behalf of investors also carries important disadvantages to the States concerned.⁵ It can seriously disrupt their international relations, leading to protracted disputes. Weaker countries resent pressure from stronger

¹ *Mavrommatis Palestine Concessions Case (Greece v United Kingdom)*, Judgment, 30 August 1924, PCIJ Series A, No 2, p 12.

² See Official Records of the General Assembly, Sixty-first Session, Supplement No 10 (A/61/10). The General Assembly took note of the Draft articles in Resolution 61/35.

³ CF Amerasinghe, *Diplomatic Protection* (2008).

⁴ *Barcelona Traction, Light and Power Co., Ltd. (Belgium v Spain)*, Judgment, 5 February 1970, ICJ Reports (1970) 3, para 79.

⁵ I Shihata, 'Towards a Greater Depoliticization of Investment Disputes: The Roles of ICSID and MIGA' in I Shihata, *The World Bank in a Changing World* (1991) 309.

countries whether it is exerted bilaterally or in multilateral fora such as international lending institutions. Diplomatic protection in investment disputes by capital exporting countries against developing countries has been a frequent source of irritation for the latter.

Some countries have gone as far as challenging the permissibility of diplomatic protection. Under the so-called Calvo Doctrine, Latin American countries have sought to exclude any special rights for foreigners.⁶ This has led them to reject diplomatic protection as an undesirable or even impermissible interference in their internal affairs or to limit it to cases of denial of justice. However, so-called Calvo clauses in national legislation, including constitutions, cannot effectively protect a State against the exercise of diplomatic protection. Only the investor's home State can decline to exercise it or waive it.

If the investor's State of nationality decides to exercise diplomatic protection, the primary method of dispute settlement is negotiation. If negotiations prove fruitless, the protecting State may resort to international adjudication, including the ICJ. Examples of cases involving the protection of investors brought to the ICJ are the *Barcelona Traction* case and the *ELSI* case.⁷ Diplomatic protection may also lead to arbitration between the two States.⁸ Nearly all BITs contain arbitration clauses for the settlement of disputes arising from their application between the Contracting States, although they have been used sparingly. These arbitration clauses are often supplemented by provisions that require consultations and negotiations.

Alternatively, States may resort to unfriendly measures or countermeasures (reprisals). This right is limited by the prohibition of the use of force contained in the Charter of the United Nations. Therefore, armed force against a host State is no longer a permissible means to protect the rights of foreign investors. In the past, action by States on behalf of their nationals in investment disputes has repeatedly led to the use of force.⁹

The right to exercise diplomatic protection may be curtailed by treaty provisions. The Convention on the Settlement of Investment Disputes between States and Nationals of Other States (ICSID Convention) provides in Article 27(1) that, where consent to investor-State arbitration under the Convention exists, a Contracting State may not give diplomatic protection or bring an international claim. However, under Article 27(2) this does not exclude informal diplomatic exchanges for the sole purpose of facilitating a settlement of the dispute. In the course of the Convention's drafting, the exclusion of diplomatic protection was explained,

⁶ See D Shea, *The Calvo Clause* (1955).

⁷ *Case concerning the Elettronica Sicula SpA (ELSI) (US v Italy)*, Judgment, 20 July 1989, ICJ Reports (1989) 15.

⁸ See eg the *Martini Case*, Award, 3 May 1930, 2 RIAA 974; *Canevaro Case*, Award, 3 May 1912, 11 RIAA 397; *Italy v Cuba*, Award, 15 January 2008.

⁹ See U Kriebaum, 'Evaluating Social Benefits and Costs of Investment Treaties: Depoliticization of Investment Disputes' (2018) 33 *ICSID Review* 14.

inter alia, in terms of the removal of the dispute from the realm of politics and diplomacy into the realm of law.¹⁰ The guarantee against diplomatic protection may constitute an incentive for host States to consent to investor–State arbitration. Any violation of the prohibition to exercise diplomatic protection under Article 27(1) of the ICSID Convention would not affect the jurisdiction of the ICSID tribunal.¹¹

Even under the ICSID Convention, the right to diplomatic protection will exist in favour of an investor who has prevailed in investor–State arbitration if the host State fails to comply with the award.¹² Diplomatic protection to secure the compliance with awards has not played a major practical role.

As described below, in many cases investors are granted direct access to effective means of international dispute settlement. In consequence, investment disputes between States have become rare. In many situations investors no longer depend on diplomatic protection by their home States.

The rules of international law developed in the context of diplomatic protection are not applicable where a case is governed by a treaty that grants direct rights to investors. The ICJ has acknowledged that its decisions, given in the context of diplomatic protection based on customary international law, do not apply in the framework of international investment law which is dominated by treaties.¹³ The ILC's Draft articles on Diplomatic Protection also proclaim their inapplicability to investment protection.¹⁴ Investment tribunals have recognized the limited relevance of the customary rules governing diplomatic protection for the interpretation of treaties providing for the protection of investors.¹⁵ This applies in particular to rules on the exhaustion of local remedies,¹⁶ the nationality of investors,¹⁷ and shareholder rights.¹⁸

¹⁰ History of the Convention, Vol II, Part I, pp 242, 273, 303, 372, 464.

¹¹ *Banro American v DR Congo*, Award, 1 September 2000, paras 18, 19; *Autopista v Venezuela*, Decision on Jurisdiction, 27 September 2001, paras 75, 140.

¹² See XII.16 below.

¹³ *Barcelona Traction, Light and Power Co, Ltd (Belgium v Spain)*, Judgment, 5 February 1970, ICJ Reports (1970) 3, paras 89–90; *Diallo case (Guinea v Democratic Republic of Congo)*, Judgment, 24 May 2007, ICJ Reports (2007) 582, paras 88–90.

¹⁴ Article 17 Special rules of international law: 'The present draft articles do not apply to the extent that they are inconsistent with special rules of international law, such as treaty provisions for the protection of investments.' See also the ILC's Commentary to Article 17.

¹⁵ *AES v Argentina*, Decision on Jurisdiction, 26 April 2005, para 99; *Sempra v Argentina*, Decision on Jurisdiction, 11 May 2005, paras 150–153; *Merrill & Ring v Canada*, Award, 31 March 2010, para 205.

¹⁶ *MNSS v Montenegro*, Award, 4 May 2016, para 216; *Valores Mundiales v Venezuela*, Award, 25 July 2017, para 576.

¹⁷ *Siag v Egypt*, Decision on Jurisdiction, 11 April 2007, paras 198; *Yukos Universal v Russian Federation*, Interim Award on Jurisdiction and Admissibility, 30 November 2009, para 551; *Fakes v Turkey*, Award, 14 July 2010, para 69; *KT Asia v Kazakhstan*, Award, 17 October 2013, para 128.

¹⁸ *von Pezold v Zimbabwe*, Award, 28 July 2015, paras 319–320, 326.

(b) Disputes between States

Apart from the espousal of a particular investor's claim, a dispute may arise between States simply in consequence of a general violation of international law, particularly of a treaty protecting investments.

Article 64 of the ICSID Convention provides that a dispute between parties to the Convention concerning its interpretation or application is to be referred to the ICJ unless it can be settled by negotiation or the States concerned agree on another method of settlement. The context of this provision and its drafting history make it clear that this procedure is not to be used to interfere in investor-State dispute settlement proceedings.¹⁹ No case was ever brought to the ICJ under Article 64.

BITs typically contain two clauses on dispute settlement: one offers arbitration between the host State and the investor. Another provides for arbitration between the contracting parties to the treaty. During the ICSID Convention's drafting there seemed to be consensus that inter-State arbitration should neither interfere in investor-State cases nor affect the finality of ICSID awards.²⁰

In *Lucchetti v Peru*, the investor had initiated arbitration against the host State under a bilateral investment treaty (BIT). Thereupon Peru initiated inter-State arbitration proceedings under the BIT against Chile, the investor's home State, and sought a suspension of the investor-State proceedings. Peru argued that interpretative priority should be given to the State-State proceedings. The Tribunal in the investor-State proceedings declined Peru's request for the suspension of proceedings.²¹ Peru did not subsequently pursue the inter-State proceedings.

In *Italy v Cuba*,²² a case brought under the BIT between the two countries, Italy relied on the clause for the settlement of disputes between the two contracting States. Italy presented two types of claims: one category was based on the diplomatic protection of its nationals, the other concerned Italy's own rights under the BIT. The Tribunal held that the exhaustion of local remedies was required for the claims based on diplomatic protection but not for Italy's pursuit of its own rights. The claims failed for a variety of jurisdictional and merits-related reasons.

In *Ecuador v United States*, Ecuador took the view that a tribunal deciding a dispute between a US investor and Ecuador,²³ had erred in its interpretation of the US-Ecuador BIT. The United States, emphasized the goal of depoliticizing disputes through arbitration and declined to take a position on the BIT's correct interpretation. Under these circumstances, the Tribunal found that there was no dispute between the parties over which it could exercise jurisdiction.²⁴

¹⁹ See especially the Report of the Executive Directors on the Convention, para 45.

²⁰ See History of the Convention, Vol. II, pp 65–66, 273–274, 349–350, 433–435, 527–528, 576–577.

²¹ *Lucchetti v Peru*, Award, 7 February 2005, paras 7, 9.

²² *Italy v Cuba*, Final Award, 15 January 2008.

²³ *Chevron v Ecuador I*, Partial Award on the Merits, 30 March 2010.

²⁴ *Ecuador v United States*, Award, 29 September 2012, paras 187–228.

2. The limited usefulness of domestic courts

In the absence of an agreement to the contrary, an investment dispute between a State and a foreign investor would normally have to be settled by the host State's courts. Conflict of laws rules will normally point to these courts since the dispute is likely to have the closest connection to the State in which the investment is made.

From the investor's perspective, this is not an attractive solution. Rightly or wrongly, the investor will fear a lack of impartiality from the courts of the State against whom it wishes to pursue its claim. In many countries an independent judiciary cannot be taken for granted and executive interventions in court proceedings or a sense of judicial loyalty to the forum State are likely to influence the outcome of proceedings. This is particularly so where large amounts of money are involved.

Not infrequently, legislation is the cause of complaints by investors. Domestic courts will often be bound to apply the local law even if it is at odds with international legal rules protecting the rights of investors. In some countries the relevant treaties may not even be part of the domestic legal order. At times, domestic courts are the perpetrators of the alleged violation of investor rights.²⁵ Even where courts decide in the investor's favour, the executive may ignore their decisions.²⁶ In all these situations domestic courts cannot offer an effective remedy to foreign investors.

The courts of the investor's home country and of third States are usually not a viable alternative. In most cases they lack jurisdiction over investments taking place in another State. An agreement on forum selection for investment disputes in a State other than the host State is unlikely to be acceptable for the latter. The only exception is loan contracts which are often subject to the jurisdiction and the law of a major financial centre.

An additional obstacle to using domestic courts outside the host State would be rules on State immunity. Host States dealing with foreign investors will frequently act in the exercise of sovereign powers (*jure imperii*) rather than in a commercial capacity (*jure gestionis*). Therefore, even in countries which follow a doctrine of restrictive immunity, lawsuits against foreign States arising from investment disputes are likely to fail.²⁷ An explicit waiver of immunity is possible but will be difficult to obtain.

In addition to sovereign immunity, other judicial doctrines are likely to stand in the way of lawsuits in domestic courts. The act-of-State doctrine enjoins courts

²⁵ *Saipem v Bangladesh*, Award, 30 June 2009, para 170; *Sistem Mühendislik v Kyrgyzstan*, Award, 9 September 2009, para 128; *ATA v Jordan*, Award, 18 May 2010, paras 121–128; *Deutsche Bank v Sri Lanka*, Award, 31 October 2012, paras 474–480.

²⁶ *Siag v Egypt*, Award, 1 June 2009, paras 436, 448, 453–456; *Meerapfel v Central African Republic*, Award, 12 May 2011, paras 327–328; *Olin v Libya*, Final Award, 25 May 2018, paras 162–163.

²⁷ See *SGS v Pakistan*, Decision on Jurisdiction, 6 August 2003, paras 20–25 for a description of proceedings before the courts of Switzerland.

from examining the legality of official acts of foreign States in their own territory. For instance, the US Supreme Court has stated that it would not examine the validity of a taking of property by a foreign government in its territory even if its illegality under international law is alleged.²⁸ Further obstacles to lawsuits against host States in domestic courts of other States would be related doctrines of non-judiciability, political questions, and lack of a close connection to the local legal system.²⁹

Enforcement of foreign arbitral awards is reasonably efficient³⁰ but enforcement of foreign judgments is often impossible.

It is mainly for these reasons that alternative methods have been created for the settlement of disputes between States and foreign investors. They consist primarily of granting the foreign investor direct access to arbitration with the host State.

3. Settlement of investor–State disputes by arbitration and conciliation

The gaps left by the traditional methods of dispute settlement (diplomatic protection and action in domestic courts) have led to the idea of offering investors direct access to effective international procedures, especially arbitration. This carries advantages for the investor, the host State as well as for the investor's home State. The advantage for the investor is obvious: it gains access to an effective international remedy. The advantage to the host State is twofold: by offering an international procedure for dispute settlement it improves its investment climate and is likely to attract more foreign investment. In addition, by consenting to international arbitration the host State shields itself against other processes, notably diplomatic protection, and the negative consequences this may entail. The investor's home State gains flexibility in its foreign policy choices and is freed of domestic pressure to pursue its nationals' interests.³¹

Arbitration is usually more efficient than litigation through regular courts. It offers the parties the opportunity to select arbitrators who enjoy their confidence and who have the necessary expertise in the field. Moreover, the private nature of arbitration, assuring the confidentiality of proceedings, is often valued by parties to major economic development projects. But confidentiality has also come under attack leading to calls for more transparency.³²

²⁸ *Banco Nacional de Cuba v Sabbatino*, 376 U.S. 398, 3 ILM 381 (1964).

²⁹ *Chilean Copper Case*, Landgericht Hamburg, 22 January 1973, 13 March 1974, (1973) 12 ILM 251, (1974) 13 ILM 1115.

³⁰ (New York) Convention on the Recognition and Enforcement of Foreign Arbitral Awards, 10 June 1958; ICSID Convention, Article 54.

³¹ For the political dynamics surrounding diplomatic protection see N Maurer, *The Empire Trap: The Rise and Fall of U.S. Intervention to Protect American Property Overseas 1893–2013* (2013).

³² See XII.11(j) below.

In the vast majority of cases, the method chosen for the international settlement of investor-State disputes is arbitration. A second method is conciliation. Conciliation is flexible and relatively informal. It is designed to assist the parties in reaching an agreed settlement. It takes place before a conciliation commission that examines the facts and prepares a report that suggests a solution but is not binding on the parties. The ICSID Convention treats conciliation and arbitration as equivalent alternatives,³³ but conciliation is rarely used whereas arbitration is resorted to frequently.³⁴ The reason is evidently that conciliation leaves the final word with the disputing parties. Occasionally, a conciliation procedure is a necessary prerequisite for arbitration.

Some dispute settlement clauses offer both arbitration and conciliation by either mentioning both or by referring to the ICSID Convention without further specification. In a situation of this kind, the choice between the two methods is with the party initiating proceedings. In *SPP v Egypt*,³⁵ jurisdiction was based on domestic legislation which provided for the settlement of disputes 'within the framework of the [ICSID] Convention'. Egypt argued that this phrase was insufficient to express consent to arbitration since it did not refer expressly to arbitration. The Tribunal rejected this argument:

Nowhere ... does the [ICSID] Convention say that consent to the Centre's jurisdiction must specify whether the consent is for purposes of arbitration or conciliation. Once consent has been given 'to the jurisdiction of the Centre', the Convention and its implementing regulations afford the means for making the choice between the two methods of dispute settlement. The Convention leaves that choice to the party instituting the proceedings.³⁶

In contrast to conciliation, arbitration is more formal and adversarial. Most importantly, it leads to a binding decision based on law. This is the reason why claimants prefer arbitration over conciliation. In most cases it seems wiser to direct the necessary effort and expense to proceedings that lead to a binding decision.

The existence of an effective system of dispute settlement is likely to have an effect even without its actual use. The mere availability of an effective remedy will influence the behaviour of parties to potential disputes. It is likely to have a restraining influence on investors as well as on host States. Both sides will try to avoid actions that might involve them in arbitration that they are likely to lose. In addition, the parties' willingness to settle a dispute amicably will be strengthened by the existence of an arbitration clause.

³³ The ICSID Convention deals with conciliation in Articles 28–35.

³⁴ By mid-2020 ICSID had registered only twelve requests for conciliation. By contrast, at that time ICSID had registered 776 requests for arbitration.

³⁵ *SPP v Egypt*, Decision on Jurisdiction II, 14 April 1988.

³⁶ At para 102.

Investment arbitration uses a mechanism originally developed for the settlement of commercial disputes between private parties. The main characteristics of commercial disputes are often also present in investor–State arbitrations. But the application of international law rules governing the conduct of the State means that investor–State arbitration has its own distinctive features. In some respects, investment arbitration performs the function of judicial review of administrative acts.³⁷ This situation finds expression in the fact that States have negotiated the ICSID Convention as a distinct set of rules for investment disputes. At the same time mechanisms that have been devised primarily for classical commercial disputes between two private entities are also used for the settlement of investment disputes.

4. Arbitration institutions and regimes

Arbitration between a host State and a foreign investor may take place in the framework of a variety of institutions or rules. If arbitration is not supported by a particular arbitration institution, it is referred to as *ad hoc* arbitration. *Ad hoc* arbitration requires an arbitration agreement that regulates a number of issues. These include selection of arbitrators, applicable law and a large number of procedural questions. Some institutions, like the United Nations Commission on International Trade Law (UNCITRAL), have developed standard rules that may be incorporated into the parties' agreement.

(a) ICSID

The majority of investment cases are brought under the Convention on the Settlement of Investment Disputes between States and Nationals of Other States.³⁸ The Convention was drafted in the framework of the World Bank, was adopted on 18 March 1965 in Washington and entered into force on 14 October 1966. It created the International Centre for Settlement of Investment Disputes (ICSID, 'the Centre'), which is why the Convention is commonly referred to as the ICSID Convention. Sometimes it is also referred to as the Washington Convention. By early 2021, 155 States were parties to the Convention.³⁹

The aim of the ICSID Convention, as expressed in its Preamble, is to promote economic development through the creation of a favourable investment climate.

³⁷ SW Schill (ed), *International Investment Law and Comparative Public Law* (2010).

³⁸ 575 UNTS159; (1965) 4 ILM 524.

³⁹ Three States have terminated their participation by denouncing the ICSID Convention in accordance with its Article 71: Bolivia on 2 May 2007; Ecuador on 6 July 2009; and Venezuela on 24 January 2012. Ecuador rejoined the ICSID Convention on 4 August 2021.

ICSID provides a system of dispute settlement that is designed exclusively for investor–State disputes. It offers standard clauses for the use of the parties, detailed rules of procedure and institutional support.⁴⁰ The institutional support extends not only to the selection of arbitrators but also to the conduct of arbitration proceedings: for instance, each tribunal is assisted by a legal secretary who is a staff member of ICSID; venues for hearings are arranged by ICSID; and all financial arrangements surrounding the arbitration are administered by ICSID. The Secretary-General of ICSID exercises a screening power over requests for arbitration and will refuse to register a request that is manifestly outside ICSID’s jurisdiction.⁴¹

The jurisdiction of ICSID requires an investment dispute of a legal nature between a State party to the Convention and a national of another State that is also a party to the Convention. In addition, the two parties to the dispute (the host State and the investor) must have consented to ICSID’s jurisdiction.⁴² Participation in the ICSID Convention is not sufficient to establish jurisdiction since it does not amount to consent to jurisdiction.⁴³

Proceedings under the ICSID Convention are self-contained. This means that they are not subject to the intervention of any outside bodies. In particular, domestic courts have no power to stay, to compel or to otherwise influence ICSID proceedings. Nor do domestic courts have the power to set aside or otherwise review ICSID awards.

ICSID proceedings are not threatened by the non-cooperation of a party. If one of the parties should fail to act, the proceedings will not be stalled. The Convention provides a watertight system against the frustration of proceedings by a recalcitrant party: arbitrators not appointed by the parties will be appointed by the Centre;⁴⁴ the decision on whether there is jurisdiction in a particular case is with the tribunal;⁴⁵ non-submission of memorials or non-appearance at hearings by a party will not stall the proceedings;⁴⁶ and non-cooperation by a party will not affect the award’s binding force and enforceability.

⁴⁰ For a concise overview see L Reed, J Paulsson, and N Blackaby, *Guide to ICSID Arbitration*, 2nd edn (2010). For a more detailed exposition see SW Schill et al (eds), *Schreuer’s Commentary on the ICSID Convention*, 3rd edn (2022).

⁴¹ See XII.11(b) below.

⁴² The ICSID Convention, Article 25(1), provides in relevant part:

The jurisdiction of the Centre shall extend to any legal dispute arising directly out of an investment, between a Contracting State (or any constituent subdivision or agency of a Contracting State designated to the Centre by that State) and a national of another Contracting State, which the parties to the dispute consent in writing to submit to the Centre.

⁴³ ICSID Convention, Preamble, para 7:

Declaring that no Contracting State shall by the mere fact of its ratification, acceptance or approval of this Convention and without its consent be deemed to be under any obligation to submit any particular dispute to conciliation or arbitration

⁴⁴ ICSID Convention Article 38.

⁴⁵ ICSID Convention Article 41.

⁴⁶ ICSID Convention Article 45.

ICSID Awards are binding and final and not subject to review except under the narrow conditions provided by the Convention itself (Arts 49–52). Non-compliance with an award by a State would be a breach of the Convention and would lead to a revival of the right to diplomatic protection by the investor's State of nationality (Arts 53 and 27). The Convention provides its own system of enforcement: awards are recognized as final in all States parties to the Convention. Pecuniary obligations arising from awards are to be enforced in the same way as final judgements of the local courts in all States parties to the Convention (Article 54).

ICSID had a slow start. The Convention entered into force in 1966 but the first case was not registered before 1972. The 1970ies and 1980ies saw steady but only intermittent action; one or two cases per year were typical for that period. Since the mid-1990s there has been a dramatic increase in activity. In 1996 the Secretary-General registered three new cases. During calendar year 2020 the Secretary-General registered 54 new cases. In April 2021, 295 cases were pending.⁴⁷

(b) ICSID Additional Facility

In 1978, the Administrative Council of ICSID created the Additional Facility.⁴⁸ It is open to parties that submit to its jurisdiction in certain cases that are outside ICSID's jurisdiction. The most important situation involves cases in which only one side is either a party to the ICSID Convention or a national of a party to the ICSID Convention. Additional categories include cases which do not directly arise from an investment and fact-finding.⁴⁹

The practical relevance of the Additional Facility lies in cases where either the host State or the investor's home State is not a party to the ICSID Convention.

⁴⁷ For detailed information look for the latest issue of: The ICSID Caseload Statistics.

⁴⁸ For detailed treatment of the Additional Facility see A Broches, 'The "Additional Facility" of the International Centre for Settlement of Investment Disputes (ICSID)' (1979) 4 *Yearbook Commercial Arbitration* 373; P Toriello, 'The Additional Facility of the International Centre for Settlement of Investment Disputes' (1978–79) 4 *Italian Yearbook of International Law* 59; A Parra, *The History of ICSID*, 2nd edn (2017) 128–137, 193–202; SW Schill et al (eds), *Schreuer's Commentary on the ICSID Convention*, 3rd edn (2022) Article 25, paras 12–19, 480–496, 513–518, 614–615.

⁴⁹ Article 2 of the Additional Facility Rules provides:

The Secretariat of the Centre is hereby authorized to administer, subject to and in accordance with these Rules, proceedings between a State (or a constituent subdivision or agency of a State) and a national of another State, falling within the following categories:

- (a) conciliation and arbitration proceedings for the settlement of legal disputes arising directly out of an investment which are not within the jurisdiction of the Centre because either the State party to the dispute or the State whose national is a party to the dispute is not a Contracting State;
- (b) conciliation and arbitration proceedings for the settlement of legal disputes which are not within the jurisdiction of the Centre because they do not arise directly out of an investment, provided that either the State party to the dispute or the State whose national is a party to the dispute is a Contracting State; and
- (c) fact-finding proceedings.

This was especially important in the context of the NAFTA⁵⁰ since during most of the period of NAFTA's existence only the United States had ratified the ICSID Convention but Canada and Mexico had not. Many cases under the NAFTA were conducted under the Additional Facility.

Additional Facility Proceedings receive institutional support from ICSID in a similar way as proceedings under the ICSID Convention. Arbitration under the Additional Facility is not, however, governed by the ICSID Convention but by separate Additional Facility Rules. This means that the ICSID Convention's provisions on the recognition and enforcement of awards are not applicable to awards rendered under the Additional Facility. Rather, the Convention on the Recognition and Enforcement of Foreign Arbitral Awards of 1958 (the New York Convention) applies. Also, awards rendered under the Additional Facility, unlike ICSID awards, are not exempt from the scrutiny and setting aside of competent national courts.⁵¹

(c) Non-ICSID investment arbitration

ICSID has become the main forum for the settlement of disputes between a foreign investor and the host State. However, ICSID is not the only institution for foreign investment arbitration. Not all States are parties to the ICSID Convention. Moreover, it is not unusual that BITs leave the investor with a choice between ICSID and other types of arbitration. Despite clear differences between classical commercial arbitration and investment arbitration, institutions dealing primarily with commercial arbitration such as the International Chamber of Commerce (ICC) or the London Court of International Arbitration (LCIA), do not exclude investor-State arbitration. This applies also to the Arbitration Centres in Stockholm, Frankfurt, Vienna, Cairo, Kuala Lumpur, Singapore, and Hong Kong, or the China International Economic and Trade Arbitration Commission (CIETAC). These arbitrations are conducted either under the respective institutions' own arbitration rules or under the UNCITRAL Arbitration Rules or under the ICC Arbitration Rules.

As to the procedural law applicable in fora other than ICSID, the clear tendency is to reduce or eliminate the role of the domestic arbitration law at the place of arbitration and instead to develop and apply rules designed specifically for international proceedings. However, in non-ICSID proceedings, the law of the place of arbitration determines the extent to which local courts can intervene in arbitral proceedings and the applicable procedural law.

⁵⁰ The North American Free Trade Agreement (NAFTA), (1993) 32 ILM 289, 605, was a trilateral treaty between Canada, Mexico, and the United States that existed between 1994 and 2020.

⁵¹ See eg *Mexico v Metalclad*, Judicial Review, Supreme Court of British Columbia, 2 May 2001, 5 ICSID Reports 236.

All procedures have in common that the parties can control the composition of the tribunal and the law applicable in the proceedings. Other common elements include the competence of tribunals to decide on their own competence,⁵² the tribunal's power to determine the rules of procedure in the absence of a choice by the parties,⁵³ and the principle of confidentiality.⁵⁴ Basic procedural requirements are set forth in broad terms. For instance, the ICC Rules state that a tribunal 'shall act fairly and impartially and ensure that each party has a reasonable opportunity to present its case'.⁵⁵ Some variations exist in regard to document production, the taking of evidence, ethical standards for arbitrators and counsel, and the cost structure.

aa. The International Chamber of Commerce

The most established international arbitral institution is the ICC, with its seat in Paris. It has been in existence since 1923. Its current rules date from 2017 as amended in 2021. Its most distinctive feature is the administrative assistance and guidance provided by the so-called International Court of Arbitration. Despite its name, this is an administrative body made up of representatives from different countries. Similar to the 'Permanent Court of Arbitration',⁵⁶ the ICC Court provides technical assistance and a list of arbitrators but will not itself render a judgment or award. The Court will appoint the arbitrator(s) unless the parties agree otherwise.

A special feature in ICC proceedings is the 'Terms of Reference' which the arbitrators will usually draw up once they receive the files of the case from the ICC Secretariat.⁵⁷ Generally speaking, these Terms provide for a short characterization of the case, including a summary of the claims and, especially, a list of the issues to be decided. While these Terms are helpful for the parties and the tribunal in their focus on the relevant issues, the Terms reflect the impression of the tribunal at an early stage, and the issues may evolve substantially during the proceedings.

Another peculiar feature concerns the manner in which an ICC tribunal reaches its final award. Once the tribunal has agreed on a draft, this document is forwarded to the ICC Court of Arbitration, and the Court will check the formal side, ensuring that all relevant matters are covered and that there are no obvious mathematical errors or misprints in the draft.⁵⁸ However, responsibility for the final substance of the award remains with the tribunal and not with the Court.

⁵² UNCITRAL Rules Article 23 section 1; ICC Rules, Article 6 sections 3 and 5.

⁵³ UNCITRAL Rules Article 17; ICC Rules, Article 19.

⁵⁴ UNCITRAL Rules Article 28 section 3; ICC Rules, Article 22 section 3.

⁵⁵ ICC Rules Article 22 section 4; see also UNCITRAL Rules Article 17 section 1 ('parties are treated with equality and ... at an appropriate stage of the proceedings each party is given a reasonable opportunity of presenting its case').

⁵⁶ See XII.4(c)ee below.

⁵⁷ ICC Rules Article 23.

⁵⁸ ICC Rules Article 34.

bb. The London Court of International Arbitration

The LCIA has existed since 1981, following the previous London Chamber of Arbitration established in 1892. Regardless of the nationalities of the parties, the London Court is designed to deal with disputes arising out of commercial transactions, including investor–State disputes. The ‘Arbitration Court’ includes practitioners from all the major trading countries. The current Rules entered into force in October 2020. If requested, the Court will also apply the UNCITRAL Rules or act as an appointing authority.

cc. The UNCITRAL Rules

The UNCITRAL Rules of Arbitration 1976 (revised in 2010),⁵⁹ differ fundamentally from the previously described settings. They are rules only and they do not establish a machinery to administer proceedings in a particular case. It is up to the parties to provide an administrative framework for a case, and they may create an ad hoc tribunal anywhere in the world.⁶⁰ Alternatively, the UNCITRAL Rules may be applied by an existing institution such as ICSID⁶¹ or the LCIA.⁶² In some cases proceedings under the UNCITRAL Rules are administered by the Permanent Court of Arbitration (PCA).⁶³

The UNCITRAL Rules are considered to reflect a modern, universally established set of international arbitration rules. They essentially address all matters that may arise in international proceedings, from the notice of arbitration to the appointment of arbitrators, interim measures, the rules governing the proceedings, and the form and effect of an award including the decision on costs.

UNCITRAL has also influenced the development of international arbitration by way of a proposal for national legislation called the UNCITRAL Model Law on International Commercial Arbitration (1985, amended 2006) and a corresponding proposal on international conciliation (2002). The Model Law is not binding, but individual States may adopt it by incorporating it into their domestic law. The useful UNCITRAL Notes on Organizing Arbitral Proceedings (2016) list and describe issues which will come up in international arbitrations. The 19 points cover matters such as decision-making, agreement on rules, language, place of arbitration, form of communications, confidentiality, evidence, and rules on hearings and on the award.

⁵⁹ A 2013 version incorporates the UNCITRAL Rules on Transparency for Treaty-based Investor–State Arbitration.

⁶⁰ See eg *CME v Czech Republic*, Final Award, 14 March 2003; *Lauder v Czech Republic*, Final Award, 3 September 2001.

⁶¹ See eg *Aven v Costa Rica*, Final Award, 18 September 2018.

⁶² See eg *Occidental Exploration v Ecuador*, Final Award, 1 July 2004.

⁶³ See eg *Chevron v Ecuador I*, Final Award, 31 August 2011.

dd. The Iran–United States Claims Tribunal

Starting with the Jay Treaty in 1794 between Great Britain and the United States, States have often set up arbitral tribunals and mixed commissions⁶⁴ in order to resolve claims arising out of specific wars, revolutions, civil strife or other major events affecting foreign nationals. The Iran–United States Claims Tribunal was established in 1981 by the Algiers Declaration for the resolution of claims of both US and Iranian nationals and companies arising out of events of the Iranian revolution. The Algiers Declaration described the law applicable as ‘such choice of law rules and principles of commercial and international law as the Tribunal determines to be applicable, taking into account relevant usages of trade, contract provisions and changed circumstances’.

Since its inception, the Tribunal, which is seated in The Hague, has addressed general issues of international law relating to foreign investment, such as matters of expropriation, State responsibility, nationality, and international arbitral procedure.

The jurisprudence of the Tribunal has made valuable contributions to the clarification and evolution of international law in general and investment law in particular. Its decisions are often cited by other tribunals and commentators. This is a remarkable achievement by a machinery set up to deal effectively with sensitive legal matters arising between two States with radically different political and legal values.

The Tribunal has decided over 3,900 cases but has still not concluded its work after almost 40 years. The Tribunal has resolved the claims by nationals of one State Party against the other State Party and certain claims between the State Parties. The remaining cases involve large and complex claims between the States Parties.

ee. The Permanent Court of Arbitration

The PCA was initially established in 1899 by the Hague Peace Conference which adopted the Convention on Pacific Settlement of International Disputes. In 1907 the Second Peace Conference decided to retain the Court. The PCA has its seat in The Hague.

The PCA is not, strictly speaking, a court. It only administers or facilitates arbitration, conciliation, and fact-finding. The parties to proceedings may be States, private parties, and international organizations. The PCA may address disputes both under public international law and private international law. Cases pertaining to foreign investment also fall within its wide range of activities.⁶⁵ The PCA’s Secretariat, the International Bureau, may register a case, provide legal support to

⁶⁴ R Dolzer ‘Mixed Claims Commissions’ in R Wolfrum (ed) *Max-Planck-Encyclopedia of Public International Law*, vol VII (2012) 295.

⁶⁵ See eg *Saluka v Czech Republic*, Partial Award, 17 March 2006; *Frontier Petroleum v Czech Republic*, Final Award, 12 November 2010; *Almås v Poland*, Award, 27 June 2016; *Doutremepuich v Mauritius*, Award on Jurisdiction, 23 August 2019.

tribunals, process documents and conduct communications between parties, as well as provide legal research and organize meetings and hearings. The Bureau also maintains a list of arbitrators who may be chosen by the parties to a dispute.

The Secretary General of the Bureau may serve as appointing authority in UNCITRAL arbitrations or may be requested to designate an appointing authority and may rule on the challenge of an arbitrator.

The PCA Arbitration Rules of 2012 are a consolidation of prior sets of PCA procedural rules and include the Optional Rules for Arbitrating Disputes between Two Parties of Which Only One is a State (1993). Annexed are model arbitration clauses for use in connection with the PCA Arbitration Rules, which parties may consider inserting in treaties, contracts, or other agreements.

5. Investment disputes

The existence of a legal dispute concerning an investment is a jurisdictional requirement in investment arbitration. If proceedings are to be conducted under the ICSID Convention, the test is that there is a 'legal dispute arising directly out of an investment' (Article 25(1)). Each of these elements, the existence of a dispute, the legal nature of the dispute, the directness of the dispute and the existence of an investment may raise jurisdictional questions.

(a) The dispute

The International Court of Justice has defined a dispute as 'a disagreement on a point of law or fact, a conflict of legal views or interests between parties'.⁶⁶ In another case the ICJ referred to 'a situation in which the two sides held clearly opposite views concerning the question of the performance or non-performance of certain treaty obligations'.⁶⁷ The Tribunal in *Texaco v Libya* referred to a 'present divergence of interests and opposition of legal views'.⁶⁸ ICSID tribunals have adopted similar definitions of 'disputes'.⁶⁹

⁶⁶ See *Case concerning East Timor (Portugal v Australia)*, Judgment, 30 June 1995, ICJ Reports (1995) 90, paras 21–22 and the references to earlier cases cited there.

⁶⁷ *Interpretation of the Peace Treaties with Bulgaria, Hungary and Romania*, Advisory Opinion, 30 March 1950 (first phase), ICJ Reports (1950) 65, 74; see also *Case Concerning Certain Property (Liechtenstein v Germany)*, Judgment, 10 February 2005, ICJ Reports (2005) 6, paras 20–27.

⁶⁸ *Texaco v Libya*, Preliminary Award, 27 November 1975, 53 ILR 389, 416.

⁶⁹ *AGIP v Congo*, Award, 30 November 1979, 1 ICSID Reports 306, paras 38–42; *Maffezini v Spain*, Decision on Jurisdiction, 25 January 2000, paras 93–98; *Tokios Tokelés v Ukraine*, Decision on Jurisdiction, 29 April 2004, paras 106, 107; *Lucchetti v Peru*, Award, 7 February 2005, para 48; *Impregilo v Pakistan*, Decision on Jurisdiction, 22 April 2005, paras 302, 303; *El Paso v Argentina*, Decision on Jurisdiction, 27 April 2006, para 61; *Suez and InterAgua v Argentina*, Decision on Jurisdiction, 16 May 2006, para 29; *Helnan v Egypt*, Decision on Jurisdiction, 17 October 2006, para 52; *AMTO v Ukraine*, Final Award, 26 March 2008, paras 49–54; *Pey Casado v Chile*, Award, 8 May 2008, paras 440–447; *ATA*

The existence of a dispute requires a minimum of communication between the parties. The matter must have been taken up with the other party which must have either positively opposed the claimant's position or must have failed to respond.⁷⁰ This does not apply if acceptance of the claimant's position cannot reasonably be expected, for instance in case of legislative measures which leave no room for flexibility.

The disagreement between the parties must also have some practical relevance for their relationship and must not be purely theoretical. The dispute must go beyond general grievances and must be susceptible of being stated in terms of a concrete claim.⁷¹

The dispute must exist when proceedings are started.⁷² This follows from the general principle of adjudication that jurisdiction will be determined by reference to the date of institution of proceedings. Some BITs state that they shall not apply to disputes that have arisen before the BIT's entry into force. But the time of a dispute is not identical with the time of the events leading to the dispute. Typically, the incriminated acts will have occurred at some time before the dispute. Therefore, the exclusion of disputes occurring before a certain date cannot be read as excluding jurisdiction over events occurring before that date. A dispute requires the development of the events to a degree where a difference of legal positions becomes apparent and communication between the parties demonstrates that difference.⁷³

(b) The legal nature of the dispute

Disputes are legal if they 'concern the existence or scope of a legal right or obligation, or the nature or extent of the reparation to be made for breach of a legal obligation.'⁷⁴ Respondents have sometimes argued that the tribunal lacked jurisdiction because the dispute before it was not legal but rather of a political or economic nature. Tribunals have invariably rejected these arguments since the claims had been presented in legal terms.

In *Suez and InterAguas v Argentina* the Tribunal found that the claimant had made legal claims. It said:

v Jordan, Award, 18 May 2010, paras 98–109, 115–120; *Burlington v Ecuador*, Decision on Jurisdiction, 2 June 2010, paras 254–340; *Teinver v Argentina*, Decision on Jurisdiction, 21 December 2012, para 119; *Lao Holdings v Laos*, Decision on Jurisdiction, 21 February 2014, paras 120–121; *Crystallex v Venezuela*, Award, 4 April 2016, para 447; *EuroGas v Slovakia*, Award, 18 August 2017, para 437.

⁷⁰ *Valores Mundiales v Venezuela*, Award, 25 July 2017, para 231.

⁷¹ *Maffezini v Spain*, Decision on Jurisdiction, 25 January 2000, para 94; *Tokios Tokelés v Ukraine*, Decision on Jurisdiction, 29 April 2004, para 106; *AES v Argentina*, Decision on Jurisdiction, 26 April 2005, para 43; *Ecuador v United States*, Award, 29 September 2012, paras 198–207.

⁷² *Siemens v Argentina*, Decision on Jurisdiction, 3 August 2004, para 161.

⁷³ See II.2(b) above.

⁷⁴ Report of the Executive Directors to the ICSID Convention, para 26.

A legal dispute, in the ordinary meaning of the term, is a disagreement about legal rights or obligations... In the present case, the Claimants clearly base their case on legal rights which they allege have been granted to them under the bilateral investment treaties that Argentina has concluded with France and Spain. In their written pleadings and oral arguments, the Claimants have consistently presented their case in legal terms... the dispute as presented by the Claimants is legal in nature.⁷⁵

Political elements in a dispute do not affect its legal nature. In *CSOB v Slovakia*, the respondent stressed the dispute's political background and its close link with the dissolution of the former Czech and Slovak Federal Republic. The Tribunal found that this did not affect the dispute's legal nature:

While it is true that investment disputes to which a State is a party frequently have political elements or involve governmental actions, such disputes do not lose their legal character as long as they concern legal rights or obligations or the consequences of their breach.⁷⁶

Other tribunals have adopted similar descriptions of legal disputes and have rejected attempts to contest their jurisdiction on the ground that the disputes before them were political or economic.⁷⁷ It follows from the practice of tribunals that the legal nature of a dispute is determined by the way the claimant presents its claim. If the claim is couched in terms of violation of legal rights, is based on legal arguments, and seeks legal remedies, there is a legal dispute.

(c) The directness of the dispute in relation to the investment

Under Article 25(1) of the ICSID Convention, the dispute must arise directly out of an investment. The element of directness applies to the dispute in relation to the

⁷⁵ *Suez and InterAgua v Argentina*, Decision on Jurisdiction, 16 May 2006, paras 34–37.

⁷⁶ *CSOB v Slovakia*, Decision on Jurisdiction, 24 May 1999, para 61.

⁷⁷ See *Maffezini v Spain*, Decision on Jurisdiction, 25 January 2000, paras 94–98; *Gas Natural v Argentina*, Decision on Jurisdiction, 17 June 2005, paras 20–23; *Camuzzi v Argentina*, Decision on Jurisdiction, 11 May 2005, paras 54–55; *AES v Argentina*, Decision on Jurisdiction, 26 April 2005, paras 40–47; *Sempra v Argentina*, Decision on Jurisdiction, 11 May 2005, paras 67–68; *Continental Casualty v Argentina*, Decision on Jurisdiction, 22 February 2006, paras 66–69; *El Paso v Argentina*, Decision on Jurisdiction, 27 April 2006, paras 47–62; *Jan de Nul v Egypt*, Decision on Jurisdiction, 16 June 2006, para 74; *National Grid v Argentina*, Decision on Jurisdiction, 20 June 2006, paras 142–143, 160; *Pan American v Argentina*, Decision on Preliminary Objections, 27 July 2006, paras 71–91; *Saipem v Bangladesh*, Decision on Jurisdiction, 21 March 2007, paras 93–97; *Noble Energy v Ecuador*, Decision on Jurisdiction, 5 March 2008, paras 121–123; *Perenco v Ecuador*, Decision on Jurisdiction, 30 June 2011, paras 132–147; *von Pezold v Zimbabwe*, Award, 28 July 2015, paras 183–191; *Magyar Farming v Hungary*, Award, 13 November 2019, paras 277–279; *Interocean v Nigeria*, Award, 6 October 2020, paras 109–110.

investment. It does not relate to the investment as such. In *Fedax v Venezuela*, the respondent argued that the disputed transaction, debt instruments issued by the Republic of Venezuela, was not a 'direct foreign investment' and therefore could not qualify as an investment under the ICSID Convention. The Tribunal rejected this argument. It pointed out that

jurisdiction can exist even in respect of investments that are not direct, so long as the dispute arises directly from such transaction.⁷⁸

Tribunals have held consistently that investments can be made indirectly, that is, through intermediate companies.⁷⁹

Tribunals have found that the dispute must have a reasonably close connexion to the investment.⁸⁰ The Tribunal in *Metalpar v Argentina* described this requirement in the following terms:

there must be an immediate 'cause-and-effect' relationship between the acts of the host State and the effects of such acts on the protected investments; a first-hand causal link must be established between the investment and the events of the receiving State that cause it to be affected. This does not mean, however, that the measures adopted by the State must be directed specifically against the investment. It is enough that an immediate link can be established (as opposed to a remote one) between the effects on the investment and the acts that cause them.⁸¹

An investment operation often consists of a series of individual transactions and legal relationships. They may include financing, the acquisition of property, construction, the lease of land, purchase of various goods, marketing of produced goods, activities to comply with the regulatory framework, the payment of taxes, etc. Some of these activities are merely ancillary or peripheral to the investment although in economic terms, these transactions are all more or less linked to the investment. To answer the question whether disputes relating to these activities arise directly out of the investment, tribunals have developed the doctrine of the unity of the investment.⁸²

In several cases, Argentina argued that the measures it had taken were of a general nature, were designed to serve the national welfare and were not specifically

⁷⁸ *Fedax v Venezuela*, Decision on Jurisdiction, 11 July 1997, para 24. See also *Siemens v Argentina*, Decision on Jurisdiction, 3 August 2004, para 150.

⁷⁹ *CMS v Argentina*, Decision on Jurisdiction, 17 July 2003, paras 66, 68; *Siemens v Argentina*, Decision on Jurisdiction, 3 August 2004, para 150. See also IV.9 above.

⁸⁰ *Tokios Tokelés v Ukraine*, Decision on Jurisdiction, 29 April 2004, paras 87–93; *Burimi v Albania*, Award, 29 May 2013, paras 142–146; *Bridgestone v Panama*, Decision on Expedited Objections, 13 December 2017, para 238.

⁸¹ *Metalpar v Argentina*, Decision on Jurisdiction, 27 April 2006, para 95.

⁸² See IV.5 above

directed at the particular investor's operation. Therefore, in Argentina's view, the dispute about these measures did not arise directly out of the investment. The Tribunal in *CMS v Argentina* did not accept this argument. It said:

the Tribunal concludes on this point that it does not have jurisdiction over measures of general economic policy adopted by the Republic of Argentina and cannot pass judgment on whether they are right or wrong. The Tribunal also concludes, however, that it has jurisdiction to examine whether specific measures affecting the Claimant's investment or measures of general economic policy having a direct bearing on such investment have been adopted in violation of legally binding commitments made to the investor in treaties, legislation or contracts.⁸³

Other tribunals have followed this line of argument.⁸⁴ It follows that a host State cannot rely on the general policy nature of measures taken by it if these measures had a concrete effect on the investment and violated specific commitments and obligations. These commitments may arise from legislation, a contract, or a treaty.⁸⁵

(d) The investment

The existence of an investment is a cornerstone of the jurisdiction of investment tribunals. Yet, the ICSID Convention offers no definition of the term 'investment'. Investment protection treaties as well as investment legislation offer a variety of definitions.

Other issues that arise in connexion with the concept of an investment include the unity of the investment, indirect investments, the legality of investments, the origin of the invested funds, and the requirement that the investment take place in the host State's territory. The relevant issues are discussed above in Chapter IV on 'Investments'.⁸⁶

⁸³ *CMS v Argentina*, Decision on Jurisdiction, 17 July 2003, para 33.

⁸⁴ *LG&E v Argentina*, Decision on Jurisdiction, 30 April 2004, para 67; *AES v Argentina*, Decision on Jurisdiction, 26 April 2005, paras 56–57; *Sempra v Argentina*, Decision on Jurisdiction, 11 May 2005, para 71; *Camuzzi v Argentina*, Decision on Jurisdiction, 11 May 2005, paras 56 et seq; *Gas Natural v Argentina*, Decision on Jurisdiction, 17 June 2005, paras 37–40; *Continental Casualty v Argentina*, Decision on Jurisdiction, 22 February 2006, paras 71–74; *Suez and InterAgua v Argentina*, Decision on Jurisdiction, 16 May 2006, paras 27–30; *El Paso v Argentina*, Decision on Jurisdiction, 27 April 2006, paras 89–100; *National Grid v Argentina*, Decision on Jurisdiction, 20 June 2006, paras 123–141; *Pan American v Argentina*, Decision on Preliminary Objections, 27 July 2006, paras 55–70; *Daimler v Argentina*, Award, 22 August 2012, paras 100–104.

⁸⁵ See also VII.3(h) above.

⁸⁶ See IV above.

6. The parties to investment disputes

Investment arbitration is mixed in the sense that it involves a sovereign State (the host State) on one side and a private foreign investor on the other.

(a) The host State

In investment arbitration, the host State is nearly always the respondent. Cases in which the host State acts as claimant are rare.⁸⁷ In most situations, host States can assert their position vis-à-vis foreign investors through their legislative and executive powers under domestic law. Investment protection treaties typically grant access to international arbitration to foreign investors but not to host States. The ICSID Convention is neutral on the respective position of host States and investors.⁸⁸

Under the ICSID Convention, jurisdiction extends to Contracting States, parties to the ICSID Convention. Mere signatories are not Contracting States. Whether a particular State has ratified the Convention is evident from the List of Contracting States and Other Signatories of the Convention maintained by ICSID and available on its website.⁸⁹ The status as a Contracting State may be terminated by a written notice whereby the State denounces the Convention. Such a denunciation becomes effective after six months and does not affect perfected consent to the jurisdiction of the Centre given prior to the denunciation.⁹⁰

The status of a Contracting State cannot be obtained through State succession.⁹¹ New States must join the ICSID Convention as parties and are not able to derive their status as a Contracting State from their predecessor State. This practice was followed after the dissolution of Czechoslovakia, with the Czech and the Slovak Republics joining ICSID as new Contracting States. After the dissolution of the Socialist Federal Republic of Yugoslavia, Slovenia, Bosnia and Herzegovina, Croatia, and North Macedonia, and later Serbia and Montenegro acceded as new Contracting States to the Convention. Following the secessions of Timor-Leste,

⁸⁷ For cases initiated by the host State or an agency of the host State, see *East Kalimantan v PT Kaltim Prima Coal*, Award on Jurisdiction, 28 December 2009, paras 173–174; *Gabon v Société Serete*, Order Taking Note of the Discontinuance of the Proceedings, 27 February 1978; *TANESCO v IPTL*, Final Award, 12 July 2001 para 13; *Peru v Caravelí*, Procedural Order Taking Note of the Discontinuance of the Proceeding, 26 December 2013.

⁸⁸ The ICSID Convention Article 25 speaks of a legal dispute 'between a Contracting State (or any constituent subdivision or agency of a Contracting State designated to the Centre by that State) and a national of another Contracting State'. Under Article 36 a request for arbitration may be submitted by '[a]ny Contracting State or any national of a Contracting State'.

⁸⁹ List of Contracting States and other Signatories of the Convention ICSID/3.

⁹⁰ Articles 71 and 72 of the ICSID Convention.

⁹¹ J Tams, 'State Succession to Investment Treaties' (2016) 31 *ICSID Rev* 314; P Dumberry, *A Guide to State Succession in International Investment Law* (2018).

Kosovo, and South Sudan, these new States followed the same procedure and became new Contracting States.

The critical time for the status of a State as an ICSID Contracting State is the date of the registration of the request for arbitration by the Secretary-General of ICSID. A State may give its consent to submit to the Centre's jurisdiction before becoming a Contracting State. But this consent becomes effective only once the State satisfies the requirements of a Contracting State.⁹² A State that is not a Contracting State of the Convention is not subject to ICSID's jurisdiction even if it has given its consent to jurisdiction.

The host State may deal with foreign investors either through a central State organ such as a government ministry or through a separate entity. This may be a territorial entity such as a province or municipality. It may also be a specialized government agency such as an investment board or a privatization agency. Acts in violation of international law may be attributed to the central government even if they were committed by a sub-entity of the host State. Under the international law of State responsibility, the State is responsible for all its organs including those of a territorial unit as well as for State entities exercising elements of governmental authority.⁹³

The ICSID Convention contains a provision that makes it possible for a sub-entity of the host State to appear in proceedings. Article 25, after referring to the Contracting State, adds in parentheses 'or any constituent subdivision or agency of a Contracting State designated to the Centre [ie ICSID] by that State'. This clause opens the possibility for such entities, by means of a designation by a Contracting State, to become party to ICSID proceedings.

The term 'constituent subdivisions' includes any territorial entity below the level of the State such as a province, a state or a municipality. The term 'agency' refers to an entity of the host State. Designations of constituent subdivisions or agencies serve procedural convenience, but do not affect questions of State responsibility. The State entity's party status is independent of the issue of the attribution of its actions to the State and solely depends on a valid designation pursuant to Article 25(1).⁹⁴

The Convention requires that the constituent subdivision or agency be designated to ICSID. Designation assures an investor that the particular agency or entity with which it is dealing has been properly authorized by the State. Nevertheless, Article 25(3) of the ICSID Convention requires additionally that the constituent subdivision or agency's consent to ICSID's jurisdiction be approved by the State to which it belongs. ICSID keeps a public register of designated subdivisions and

⁹² *Amco v Indonesia*, Decision on Jurisdiction, 25 September 1983, para 34; *LETCO v Liberia*, Decision on Jurisdiction, 24 October 1984, 2 ICSID Reports 351; *Cable TV v St Kitts and Nevis*, Award, 13 January 1997, para 4.09; *Generation Ukraine v Ukraine*, Award, 16 September 2003, paras 12.4–12.6.

⁹³ See Chapter X above.

⁹⁴ *Vivendi v Argentina*, Award, 21 November 2000, paras 41, 46, 51.

agencies of States.⁹⁵ Only relatively few countries have made designations under this provision. Constituent subdivisions or agencies have played a limited role in ICSID practice.⁹⁶

In *Cable Television v St. Kitts and Nevis*,⁹⁷ the claimant had entered into a contract with the Nevis Island Administration (NIA) containing consent to ICSID arbitration. The Tribunal found that the NIA was a constituent subdivision of the Federation of St. Kitts & Nevis, a sovereign State, and a party to the ICSID Convention. But NIA had not been designated to ICSID as a constituent subdivision or agency in accordance with Article 25(1) of the ICSID Convention. Nor had its consent been approved by the Federation in accordance with Article 25(3). In turn, the Federation was not a party to the contract containing consent to ICSID's jurisdiction. The Tribunal found that it had no jurisdiction.⁹⁸

(b) The investor

The role of investors is discussed in more detail above in Chapter III on 'Investor'.⁹⁹ In most instances, investors are juridical persons ie corporations. At times, also individuals appear as claimants in investment arbitration.¹⁰⁰

Investment arbitration is designed for the protection of private investors. The ICSID Convention's Preamble speaks specifically of the role of private international investment. This would indicate that the investor must be a private individual or corporation. But State-owned corporations and State entities will be accepted as investors if they act in a private commercial capacity.¹⁰¹

In *CSOB v Slovakia*, the respondent contested the Tribunal's competence arguing that the claimant, a bank, was a State agency of the Czech Republic rather than an independent commercial entity and that it was discharging essentially governmental activities. The Tribunal rejected this contention. It held that access to arbitration did not depend upon whether or not the company was partially or

⁹⁵ Designations by Contracting States Regarding Constituent Subdivisions or Agencies (ICSID/8-C).

⁹⁶ See *TANESCO v IPTL*, Award, 12 July 2001, para 13; *Noble Energy v Ecuador*, Decision on Jurisdiction, 5 March 2008, para 63; *East Kalimantan v PT Kaltim Prima Coal*, Award on Jurisdiction, 28 December 2009, paras 186–202; *Cambodia Power v Cambodia*, Decision on Jurisdiction, 22 March 2011, paras 215–259; *Niko Resources v Bangladesh*, Decision on Jurisdiction, 19 August 2013, paras 257–348.

⁹⁷ *Cable Television v St. Kitts and Nevis*, Award, 13 January 1997.

⁹⁸ See also *Hamester v Ghana*, Award, 18 June 2010, paras 27, 62, where the Secretary-General of ICSID refused to register a Request for Arbitration against an undesignated State agency.

⁹⁹ See III above.

¹⁰⁰ See eg *Azinian v Mexico*; *Feldman v Mexico*; *Goetz v Burundi*; *Gruslin v Malaysia*; *Maffezini v Spain*; *Olguín v Paraguay*; *Soufraki v UAE*; *Doutremepuich v Mauritius*.

¹⁰¹ *CDC v Seychelles*, Award, 17 December 2003, paras 6, 19, 34; *Flughafen Zürich v Venezuela*, Award, 18 November 2014, paras 262–286; *Beijing Urban Construction v Yemen*, Decision on Jurisdiction, 31 May 2017, paras 31–44; *Masdar v Spain*, Award, 16 May 2018, paras 144(i), 145, 155, 169–173; *Stadtwerke München v Spain*, Award, 2 December 2019, paras 133, 134.

wholly owned by the Government. The decisive test was whether the company was discharging essentially governmental functions. CSOB's banking activities had to be judged by their nature and not by their purpose and were hence commercial.¹⁰²

It has always been beyond doubt that arbitral proceedings are open to more than one claimant in one and the same case. The practice under the ICSID Convention shows numerous proceedings with more than one party on the claimants' side.¹⁰³

In *Abaclat v Argentina*,¹⁰⁴ a group of more than 180,000 Italian bondholders, later reduced to about 60,000, instituted arbitration proceedings against Argentina for failing to honour government bonds. The Tribunal noted that this was not a class action since each investor had individually consented to the arbitration. Argentina's offer of consent, given through its BIT with Italy, included claims presented by multiple claimants in a single proceeding. The Tribunal, alluding to the fact that the BIT's definition of investment covered bonds, said:

where the BIT covers investments which are susceptible of involving a high number of investors, and where such investments require a collective relief in order to provide effective protection to such investment, it would be contrary to the purpose of the BIT, and to the spirit of ICSID, to require in addition to the consent to ICSID arbitration in general, a supplementary express consent to the form of such arbitration.¹⁰⁵

The Tribunal also rejected Argentina's objections to the admissibility of the proceeding. Any adaptations of the standard procedure under the ICSID Convention that may become necessary were within the Tribunal's powers. The claims were sufficiently homogeneous for the claimants to be treated as a group and to justify a simplification of the procedure.

Sometimes claimants start separate proceedings that are closely related because they arise from the same set of facts. Some investment treaties,¹⁰⁶ foresee the

¹⁰² *CSOB v Slovakia*, Decision on Jurisdiction, 24 May 1999, paras 15–27. See also *Rumeli v Kazakhstan*, Award, 29 July 2008, paras 325–328: the Tribunal found that the extent of any control over claimants by the Turkish Government and the possibility that the proceeds of any award might be remitted to the Turkish Treasury did not deprive the claimants of their status as commercial entities.

¹⁰³ *Goetz v Burundi*, Award, 10 February 1999, paras 84–89; *Champion Trading v Egypt*, Decision on Jurisdiction, 21 October 2003, para 1; *Foresti v South Africa*, Award, 4 August 2010, para 1; *Ambiente Ufficio v Argentina*, Decision on Jurisdiction and Admissibility, 8 February 2013, paras 126–172; *Alemanni v Argentina*, Decision on Jurisdiction and Admissibility, 17 November 2014, paras 270–272, 287–295, 321–325; *von Pezold v Zimbabwe*, Award, 28 July 2015, para 9; *Spence v Costa Rica*, Interim Award, 25 October 2016, para 1; *Valores Mundiales v Venezuela*, Award, 25 July 2017, para 2; *Marfin v Cyprus*, Award, 26 July 2018, paras 2–20; *Adamakopoulos v Cyprus*, Decision on Jurisdiction, 7 February 2020, paras 188, 197–261.

¹⁰⁴ *Abaclat v Argentina*, Decision on Jurisdiction, 4 August 2011, paras 216, 294–298, 480–492, 506–551.

¹⁰⁵ At para 518.

¹⁰⁶ NAFTA Article 1126; USMCA Article 14.D.12.

consolidation of closely related proceedings.¹⁰⁷ Consolidation of separate proceedings may also simply be based on an agreement of the parties.¹⁰⁸ Exceptionally, claims arising from the same overall transaction between the same parties but subject to several jurisdictional instruments may call for consolidation: one and the same case may involve several investment protection treaties and may be conducted under more than one set of procedural rules.¹⁰⁹ Another possible method to coordinate separate claims that are closely related because they arise from related facts consists in the creation of tribunals that are formally separate but identically composed.¹¹⁰

(c) The investor's nationality

The investor's nationality has a number of procedural and jurisdictional consequences.¹¹¹ In order to gain access to dispute settlement under the ICSID Convention, there is a positive as well as a negative nationality requirement: an investor is required to be a 'national of another Contracting State', of a State that is a party to the ICSID Convention. Also, the investor must not be a national of the host State (Article 25).

If the investor relies on a jurisdictional clause in a treaty, it must also have the nationality of one of the States parties to that treaty. In the case of arbitration based on a BIT, the host State must be one of the parties to the BIT and the investor must demonstrate that it is a national of the other party to the BIT.

In the case of natural persons (individuals) the nationality of the Contracting State to the ICSID Convention must exist at two separate dates: an individual investor has to be a national of a Contracting State at the time the parties' consent to submit to ICSID's jurisdiction and also on the date the request for arbitration or conciliation is registered by ICSID. In addition, the individual investor must not be a national of the host State on either of these dates. A loss of nationality after the

¹⁰⁷ See *Canfor v United States*, *Tembec v United States*, *Terminal Forest Products v United States*, Order of the Consolidation Tribunal, 7 September 2005; *Corn Products v Mexico*, *Archer Daniels Midland v Mexico*, Order of the Consolidation Tribunal, 20 May 2005.

¹⁰⁸ *Pan American v Argentina*, Decision on Preliminary Objections, 27 July 2006, paras 1–4, 7; *Unglaube v Costa Rica*, Award, 16 May 2012, paras 8, 13, 14, 27; *Churchill Mining and Planet Mining v Indonesia*, Award, 6 December 2016, paras 2–7.

¹⁰⁹ See *Suez and Vivendi v Argentina* (ICSID) and *AWG v Argentina* (UNCITRAL), Decision on Jurisdiction, 3 August 2006, paras 1–4, 7; *Noble Energy v Ecuador*, Decision on Jurisdiction, 5 March 2008, paras 186–207.

¹¹⁰ See *Alcoa Minerals v Jamaica*, *Kaiser Bauxite v Jamaica* and *Reynolds v Jamaica*; *Camuzzi v Argentina*, Decision on Jurisdiction, 11 May 2005, para 4 and *Sempre v Argentina*, Decision on Jurisdiction, 11 May 2005, para 5; *Salini v Morocco*, Decision on Jurisdiction, 16 July 2001 and *RFCC v Morocco*, Decision on Jurisdiction, 16 July 2001; *von Pezold v Zimbabwe*, Award, 28 July 2015, paras 5–8.

¹¹¹ More generally on the nationality of investors see III.2 and III.3 above.

date of the request's registration does not affect the tribunal's jurisdiction *ratione personae*.¹¹²

An individual's nationality is determined primarily by the domestic legislation of the State whose nationality is claimed. A certificate of nationality is strong evidence but not conclusive proof of nationality.

An investor's nationality must be determined objectively irrespective of an agreement between the host State and the investor. An agreement between a host State and an investor may specifically indicate the investor's nationality. Such an agreement creates a presumption but is not conclusive. In particular, it cannot create a nationality that does not objectively exist.

Investors who hold the nationality of the host State are barred from bringing claims before the Centre. The purpose of ICSID is to encourage the settlement of disputes that involve States and foreign investors. This will apply also to investors with dual nationality if one of the two nationalities is that of the host State even if it is not the effective one.

A claimant bears the burden of proving its nationality. The burden to prove that the claimant has the nationality of the host State falls on the respondent.¹¹³

A juridical person (company) must have the nationality of a State Party to the ICSID Convention only on the day the parties consented to submit to ICSID's jurisdiction. Juridical persons will normally qualify as nationals of Contracting States through their place of incorporation or seat of business.

A juridical person may, however, possess the host State's nationality and still qualify as a national of another Contracting State under an exception contained in Article 25(2)(b).¹¹⁴ The prevalence of investment arbitration based on treaties has led to a decline in importance of this possibility for locally incorporated companies that are under foreign control to institute ICSID arbitration. Many of these treaties include shareholding or participation in companies in their definitions of investment. This allows the foreign shareholders in the locally incorporated company to pursue the claim internationally.¹¹⁵

(d) The significance of the Additional Facility

As set out above, under Article 25(1) of the ICSID Convention the host State and the investor's State of nationality must be Contracting States. If one or the other of

¹¹² *Kim v Uzbekistan*, Decision on Jurisdiction, 8 March 2017, para 223.

¹¹³ *Ambiente Ufficio v Argentina*, Decision on Jurisdiction and Admissibility, 8 February 2013, para 312.

¹¹⁴ For more detailed treatment of the application of Article 25(2)(b) of the ICSID Convention see Chapter III.4.

¹¹⁵ For more detailed treatment see IV.9(b) above.

these States is not a party to the Convention, the requirements *ratione personae* are not fulfilled and there is no jurisdiction.

If only one of the two States is a party to the ICSID Convention, the Additional Facility¹¹⁶ offers a method of dispute settlement. The Additional Facility enables a non-Contracting State or a national of a non-Contracting State to the ICSID Convention to participate in dispute settlement proceedings administered by ICSID. If both States are parties to the Convention, the parties must use the procedure under the Convention and may not use the Additional Facility. Also, there must be a separate submission to dispute settlement under the Additional Facility.

7. Consent to investment arbitration

Consent to arbitration by the host State and by the investor is an indispensable requirement for a tribunal's jurisdiction. Treaties play an important role but cannot, by themselves, establish jurisdiction. Both parties, the host State and the investor, must have expressed their consent.

In practice, consent is given in one of three ways: first, a consent clause may be included in a direct agreement between the parties. Dispute settlement clauses providing for investor-State arbitration are common in contracts between States and foreign investors.

A second technique to give consent to arbitration is a provision in the national legislation of the host State. Such a provision offers arbitration to foreign investors in general terms. Many capital importing countries have adopted such provisions. The mere existence of such a provision in national legislation will not suffice, but the investor may accept the offer in writing at any time while the legislation is in effect. The acceptance may also be made simply by instituting proceedings.

The third, most frequently used method to give consent to arbitration is through a treaty between the host State and the investor's State of nationality. Most BITs contain clauses offering arbitration to the nationals of one State party to the treaty against the other State party to the treaty. The same method is employed by a number of regional multilateral treaties such as the Energy Charter Treaty (ECT). Offers of consent contained in treaties must also be perfected by an acceptance on the part of the investor.

In some cases, claimants relied on several instruments to establish consent. Jurisdiction was said to exist on the basis of a contract and legislation,¹¹⁷ on

¹¹⁶ See XII.4(b) above.

¹¹⁷ *Lighthouse v Timor-Leste*, Award, 22 December 2017, paras 1, 114.

the basis of a contract as well as on a treaty,¹¹⁸ on the basis of legislation and a treaty,¹¹⁹ or on more than one treaty.¹²⁰

(a) Consent by direct agreement

An agreement between the parties recording consent to arbitration may be achieved through a compromissory clause in an investment agreement between the host State and the investor submitting future disputes arising from the investment operation to arbitration.¹²¹ It is equally possible to submit a dispute that has already arisen between the parties through consent expressed in a *compromis*. Therefore, consent may be given with respect to existing or future disputes.¹²²

The agreement on consent between the parties need not be recorded in a single instrument. An investment application made by the investor may provide for arbitration. If the application is approved by the competent authority of the host State, there is consent to arbitration by both parties.¹²³

An agreement between the parties may record their consent to arbitration by reference to another legal instrument. Reference to a BIT that never entered into force,¹²⁴ submission to domestic law that provides for arbitration¹²⁵ and even a reference to standard terms and conditions that contain an arbitration clause,¹²⁶ may amount to contractual consent.

¹¹⁸ *Noble Energy v Ecuador*, Decision on Jurisdiction, 5 March 2008, paras 22, 23, 150, 178; *Duke Energy v Ecuador*, Award, 18 August 2008, paras 99, 102, 111–189; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, para 60; *Millicom v Senegal*, Decision on Jurisdiction, 16 July 2010, para 26.

¹¹⁹ *Sistem Mühendislik v Kyrgyzstan*, Decision on Jurisdiction, 13 September 2007, paras 57, 99–131; *Rumeli v Kazakhstan*, Award, 29 July 2008, paras 162, 165, 220–222; *Mobil v Venezuela*, Decision on Jurisdiction, 10 June 2010, para 24; *Pac Rim v El Salvador*, Decision on Preliminary Objections, 2 August 2010, paras 21–23, 242, 253; *CEMEX v Venezuela*, Decision on Jurisdiction, 30 December 2010, para 59; *Khan Resources v Mongolia*, Decision on Jurisdiction, 25 July 2012, paras 3, 69–71; *Burimi v Albania*, Award, 29 May 2013, paras 92, 94–95; *ConocoPhillips v Venezuela*, Decision on Jurisdiction and the Merits, 3 September 2013, paras 1, 11, 222.

¹²⁰ *Poštová banka v Greece*, Award, 9 April 2015, para 1; *von Pezold v Zimbabwe*, Award, 28 July 2015, para 1; *Tenaris v Venezuela I*, Award, 29 January 2016, para 7; *Ampal-American v Egypt*, Decision on Jurisdiction, 1 February 2016, para 4; *Churchill Mining and Planet Mining v Indonesia*, Award, 6 December 2016, para 2; *Adamakopoulos v Cyprus*, Decision on Jurisdiction, 7 February 2020, paras 1, 213, 218–219, 270.

¹²¹ See also V.3 above. ICSID has developed a set of Model Clauses to facilitate the drafting of consent clauses in investment contracts. See ICSID Model Clauses, Doc. ICSID/5/Rev 2 of 1993. Reproduced in 4 ICSID Reports 357.

¹²² Agreements to submit existing disputes to arbitration are rare. But see *MINE v Guinea*, Award, 6 January 1988, 4 ICSID Reports 61, 67; *Santa Elena v Costa Rica*, Award, 17 February 2000, para 26.

¹²³ *Amco v Indonesia*, Decision on Jurisdiction, 25 September 1983, paras 10, 25. See also *Planet Mining v Indonesia*, Decision on Jurisdiction, 24 February 2014, paras 11–18, 199–217.

¹²⁴ *CSOB v Slovakia*, Decision on Jurisdiction, 24 May 1999, paras 49–55.

¹²⁵ *Inceysa v El Salvador*, Award, 2 August 2006, para 331.

¹²⁶ *Lighthouse v Timor-Leste*, Award, 22 December 2017, paras 9, 16, 144, 228–282.

The parties are free to delimit their consent to arbitration by defining it in general terms, by excluding certain types of disputes or by listing the questions they are submitting to arbitration. In practice, broad inclusive consent clauses are the norm. Consent clauses contained in investment agreements typically refer to ‘any dispute’ or to ‘all disputes’ under the respective agreements.¹²⁷

Investment operations sometimes involve complex arrangements expressed in several successive agreements. Arbitration clauses may be contained in some of these agreements but not in others. The question arises whether the consent to arbitration extends to the entire operation or is confined to the specific agreements containing the arbitration clauses.

Tribunals have generally taken a broad view of expressions of consent of this kind. The arbitration clauses were not applied narrowly to the specific document containing them but were read in the context of the parties’ overall relationship. The interrelated contracts were seen as representing the legal framework for one investment operation. Therefore, arbitration clauses contained in some, though not all, of the different contracts were interpreted as applying to the entire operation.¹²⁸

In *Duke Energy v Peru*, the investor had concluded several successive contracts with Peru in relation to the same investment. Only one of the contracts contained a clause whereby the parties consented to ICSID arbitration. The Tribunal applied the principle of the ‘unity of the investment’.¹²⁹ At the same time it held that the claimant would have to substantiate its claims by reference to the contract containing the arbitration clause. The other contracts would be taken into consideration for the purpose of interpreting and applying that contract.¹³⁰

(b) Consent through host State legislation

The host State may offer consent to arbitration to foreign investors in general terms. However, not every reference to investment arbitration in national legislation amounts to consent to jurisdiction. Therefore, the respective provisions in national laws must be studied carefully.

Some national investment laws provide unequivocally for dispute settlement by international arbitration. For instance, Article 8(2) of the Albanian Law on Foreign Investment of 1993 states in part:

¹²⁷ *World Duty Free v Kenya*, Award, 4 October 2006, para 6.

¹²⁸ See *Holiday Inns v Morocco*, Decision on Jurisdiction, 12 May 1974. The case is unpublished but described by P Lalive, ‘The First “World Bank” Arbitration (*Holiday Inns v Morocco*)—Some Legal Problems’ (1980) 51 *BYIL* 123, 156–159; *Klöckner v Cameroon*, Award, 21 October 1983, 2 ICSID Reports 9, 13, 65–69; *SOABI v Senegal*, Decision on Jurisdiction, 1 August 1984, paras 47–58, Award, 25 February 1988, paras 4.01–4.52.

¹²⁹ See IV.5 above.

¹³⁰ *Duke Energy v Peru*, Decision on Jurisdiction, 1 February 2006, paras 119–134; Decision on Annulment, 1 March 2011, paras 145–160.

the foreign investor may submit the dispute for resolution and the Republic of Albania hereby consents to the submission thereof, to the International Centre for Settlement of Investment Disputes.¹³¹

Other provisions are less explicit but still indicate that they express the State's consent to international arbitration. National laws may state that 'the investors may submit' the dispute to, or that the dispute 'shall be settled' by international arbitration.¹³²

Other references in national legislation to investment arbitration do not amount to consent. Some provisions make it clear that further action by the host State is required to establish consent.¹³³ This would be the case where the law in question provides that the parties 'may agree' to settle investment disputes through arbitration.¹³⁴

Some provisions are unclear and have led to disputes as to whether the host State has given its consent.¹³⁵ The Venezuelan Investment Law of 1999 contained Article 22 which, translated to English, reads:

Disputes arising between an international investor whose country of origin has in effect with Venezuela a treaty or agreement on the promotion and protection of investments, or disputes to which are applicable the provision of the Convention Establishing the Multilateral Investment Guarantee Agency (OMGI-MIGA) or the Convention on the Settlement of Investment Disputes between States and Nationals of other States (ICSID), shall be submitted to international arbitration according to the terms of the respective treaty or agreement, if it so provides, without prejudice to the possibility of using, if appropriate, the dispute resolution means provided for under the Venezuelan legislation in effect.

In *Mobil v Venezuela*, the claimants sought to rely on this clause to establish ICSID's jurisdiction. The Tribunal undertook a detailed analysis of this text. It noted that the provision contrasted with clear expressions of consent in some of Venezuela's BITs. The Tribunal reached the conclusion that an intention of Venezuela to offer consent to ICSID's jurisdiction on the basis of this ambiguous clause could

¹³¹ See *Tradex v Albania*, Decision on Jurisdiction, 24 December 1996, 5 ICSID Reports 47, 54.

¹³² *Zhinvali v Georgia*, Award, 24 January 2003, paras 337–342; *Lighthouse v Timor-Leste*, Award, 22 December 2017, paras 283–334.

¹³³ *PNG Sustainable Development v Papua New Guinea*, Award, 5 May 2015, para 286.

¹³⁴ *Biwater Gauff v Tanzania*, Award, 24 July 2008, paras 326–337; *Metal-Tech v Uzbekistan*, Award, 4 October 2013, paras 381–388; *MNSS v Montenegro*, Award, 4 May 2016, paras 166–167; *Besserglik v Mozambique*, Award, 28 October 2019, paras 397–417.

¹³⁵ See *SPP v Egypt*, Decision on Jurisdiction I, 27 November 1985, paras 70–78; Decision on Jurisdiction II, 14 April 1988, paras 53–117.

not be established.¹³⁶ Other tribunals interpreting Article 22 of the Venezuelan Investment Law reached the same result.¹³⁷

A legislative provision containing consent to arbitration is merely an offer by the State to investors. To perfect an arbitration agreement the investor must accept that offer. The investor may accept the offer simply by instituting arbitration.¹³⁸ The host State may repeal its offer at any time unilaterally until the investor has accepted it. Therefore, an investor is well advised to accept the offer of consent to arbitration through a written communication as early as possible.¹³⁹

The investor's acceptance of consent can be given only to the extent of the offer made in the legislation. But it is entirely possible for the investor's acceptance to be narrower than the offer and to extend only to certain matters or only to a particular investment operation.

Some offers of consent to arbitration in national laws are quite broad and refer to disputes concerning foreign investment in general terms.¹⁴⁰ Others delimit the questions covered by consent clauses. Some laws offer consent only for disputes that relate to an expropriation.¹⁴¹ Other references to international arbitration relate only to the application and interpretation of the piece of legislation in question.¹⁴²

The host State's offer of consent contained in its legislation may be subject to certain conditions, time limits, or formalities. In some investment laws, consent is linked to the process of obtaining an investment authorization.¹⁴³ Other investment laws require that the investor must accept the offer of consent to arbitration within certain time limits.

(c) Consent through bilateral treaties

Most investment arbitration cases are based on jurisdiction established through bilateral treaties. These are typically BITs. Free trade agreements (FTAs) may also

¹³⁶ *Mobil v Venezuela*, Decision on Jurisdiction, 10 June 2010, paras 67–140. The Tribunal found that it had jurisdiction on the basis of the BIT between The Netherlands and Venezuela, at paras 142–206.

¹³⁷ *CEMEX v Venezuela*, Decision on Jurisdiction, 30 December 2010, paras 63–139; *Brandes v Venezuela*, Award, 2 August 2011, paras 79–118; *Tidewater v Venezuela*, Decision on Jurisdiction, 8 February 2013, paras 103–141; *OPIC Karimum v Venezuela*, Award, 28 May 2013, paras 100–108, 165–179; *ConocoPhillips v Venezuela*, Decision on Jurisdiction and the Merits, 3 September 2013, para 259; *Highbury v Venezuela*, Award, 26 September 2013, paras 237–241; *Venoklim v Venezuela*, Award, 3 April 2015, paras 81–113.

¹³⁸ *Tradex v Albania*, Decision on Jurisdiction, 24 December 1996, 5 ICSID Reports 47, 63; *Zhinvali v Georgia*, Award, 24 January 2003, para 342.

¹³⁹ *SPP v Egypt*, Decision on Jurisdiction I, 27 November 1985, para 40. See also *ABCI Investments v Tunisia*, Decision on Jurisdiction, 18 February 2011, paras 89–134.

¹⁴⁰ *Inceysa v El Salvador*, Award, 2 August 2006, para 331.

¹⁴¹ *Tradex v Albania*, Award, 29 April 1999, paras 92, 132, 203–205.

¹⁴² *SPP v Egypt*, Decision on Jurisdiction I, 27 November 1985, para 70.

¹⁴³ *Lighthouse v Timor-Leste*, Award, 22 December 2017, paras 310–334.

contain clauses providing for arbitration between States and investors. The States parties to these treaties offer consent to arbitration to nationals of the other contracting party. Mutual consent is perfected through the acceptance of that offer by an eligible investor.

Treaties can provide a basis for consent to arbitration only if they are in force at the relevant time. In some cases, tribunals found that a treaty invoked by claimant was not in force.¹⁴⁴

The vast majority of BITs contain clauses referring to investment arbitration.¹⁴⁵ Most investor–State dispute settlement clauses in BITs offer unequivocal consent to arbitration. This will be the case where the treaty states that each Contracting Party ‘hereby consents’ or where the dispute ‘shall be submitted’ to arbitration.¹⁴⁶

Not all references to investor/State arbitration in bilateral treaties necessarily constitute binding offers of consent by the host State. Some clauses referring to arbitration are phrased in terms of an undertaking by the host State to give consent in the future. For instance, the States may promise to accede to a demand by an investor to submit to arbitration by stating that the host State ‘shall consent’ to arbitration in case of a dispute.¹⁴⁷ In *Millicom v Senegal*, the Netherlands–Senegal BIT provided that the State concerned ‘*devra consentir*’ (‘shall assent’) to a dispute’s submission to ICSID arbitration. Senegal objected on the ground that this did not amount to consent but that under this formula the State retained a discretionary power to give or withhold consent. The Tribunal rejected this objection and found that the treaty provision amounted to ‘a unilateral offer and a commitment by Senegal to submit itself to ICSID jurisdiction.’¹⁴⁸

Some references to arbitration in BITs merely provide that the host State will give sympathetic consideration to a request for dispute settlement through arbitration. A clause of this kind does not amount to consent by the host State. Also, some BITs merely envisage a future agreement between the host State and the investor containing consent to arbitration.

Many dispute settlement clauses in BITs offer several alternatives. These may include the domestic courts of the host State, procedures agreed to by the parties to the dispute, ICSID arbitration, ICC arbitration, and ad hoc arbitration often under the UNCITRAL rules. The precise legal effect of such clauses depends upon their wording. Some of these composite settlement clauses require a subsequent

¹⁴⁴ *Tradex v Albania*, Decision on Jurisdiction, 24 December 1996, 5 ICSID Reports 47, 58; *CSOB v Slovakia*, Decision on Jurisdiction, 24 May 1999, paras 37–47; *Besserglik v Mozambique*, Award, 28 October 2019, paras 325–396.

¹⁴⁵ See R Dolzer and M Stevens, *Bilateral Investment Treaties* (1995) 129 et seq; KJ Vandeveld, *Bilateral Investment Treaties* (2010) 433 et seq.

¹⁴⁶ The first case brought successfully on the basis of a clause of this kind was *AAPL v Sri Lanka*, Award, 27 June 1990, para 2.

¹⁴⁷ See Article 10(2) of the Japan–Pakistan BIT of 1998.

¹⁴⁸ *Millicom v Senegal*, Decision on Jurisdiction, 16 July 2010, paras 56, 61–66. See also *Churchill Mining v Indonesia*, Decision on Jurisdiction, 24 February 2014, paras 154–231. But see *Planet Mining v Indonesia*, Decision on Jurisdiction, 24 February 2014, paras 153–198.

agreement by the disputing parties to select one of these procedures. Others contain the State's advance consent to all of them, thereby giving the party that initiates arbitration a choice. Some BITs offering several methods of settlement specifically state that the choice among them is with the investor.

A provision on consent to arbitration in a BIT is merely an offer by the respective States that requires acceptance by the other party. That offer may be accepted by a national of the other State party to the BIT.

It is established practice that an investor may accept an offer of consent contained in a treaty by instituting arbitration proceedings.¹⁴⁹ In *Abaclat v Argentina*, the Tribunal said:

Within the context of BIT-based arbitration, it is widely admitted that an arbitration clause contained in a BIT and providing for ICSID arbitration constitutes a valid written offer for ICSID arbitration by the relevant State. ... Such an offer of consent may be validly accepted by an investor through the initiation of ICSID proceedings.¹⁵⁰

Acceptance of an offer of consent contained in a BIT is possible not only by way of instituting proceedings. The investor may express its consent in writing at any time during the BIT's validity even before a dispute arises. In the case of arbitration clauses contained in treaties, a withdrawal of an offer of consent before its acceptance would be more difficult than in the case of national legislation. An offer of arbitration in a treaty remains valid notwithstanding an attempt to terminate it unless there is a basis for the termination under the law of treaties.

After the *Achmea* Judgment of the Court of Justice of the European Union (CJEU),¹⁵¹ respondent States as well as the EU Commission have taken the position that consent to arbitration under treaties between EU Member States has become inapplicable. They argued that these treaties have become inapplicable by virtue of subsequent incompatible provisions of EU law, since these provisions have superseded the arbitration provisions of these BITs and the ECT by virtue of

¹⁴⁹ *Generation Ukraine v Ukraine*, Award, 16 September 2003, paras 12.2, 12.3; *Saipem v Bangladesh*, Decision on Jurisdiction, 21 March 2007, para 74; *Kardassopoulos v Georgia*, Decision on Jurisdiction, 6 July 2007, para 118; *Tokios Tokelés v Ukraine*, Award, 26 July 2007, para 104; *Toto v Lebanon*, Decision on Jurisdiction, 11 September 2009, para 94; *SGS v Paraguay*, Decision on Jurisdiction, 12 February 2010, para 70; *Millicom v Senegal*, Decision on Jurisdiction, 16 July 2010, paras 56–66; *Urbaser v Argentina*, Decision on Jurisdiction, 19 December 2012, para 47; *Ambiente Ufficio v Argentina*, Decision on Jurisdiction and Admissibility, 8 February 2013, para 208; *Agility v Pakistan*, Decision on Jurisdiction, 27 February 2013, paras 157–162; *E energija v Latvia*, Award, 22 December 2017, para 502.

¹⁵⁰ *Abaclat v Argentina*, Decision on Jurisdiction and Admissibility, 4 August 2011, para 258.

¹⁵¹ *Slovak Republic v Achmea*, Judgment, 6 March 2018, Case C-284/16. The CJEU found that investment arbitration pursuant to a treaty between Member States of the European Union was incompatible with Articles 267 and 344 of the TFEU. See also Declaration of the Representatives of the Governments of the Member States, of 15 January 2019 on the Legal Consequences of the Judgment of the Court of Justice in *Achmea* and on Investment Protection in the European Union.

Articles 30¹⁵² and 59¹⁵³ of the Vienna Convention on the Law of Treaties (VCLT). Tribunals have rejected these arguments holding, *inter alia*, that the relevant provisions of EU law were not later in time,¹⁵⁴ that the provisions of EU law and the arbitration provisions in the BITs and the ECT did not address the same subject-matter,¹⁵⁵ and that the two sets of provisions were not incompatible.¹⁵⁶ The Tribunal in *UP and C.D v Hungary*, said:

The BIT and the TFEU do not relate to the same subject matter, and this renders Art. 59(1)(b) of the VCLT (implicit termination of an earlier treaty by a subsequent one) and Art. 30(3) of the VCLT (inapplicability of incompatible provisions in the earlier treaty) inapplicable. The *lex posterior* rule of Art. 30 of the VCLT does not apply because neither requirement—(1) the existence of a fundamental incompatibility between provisions of two successively ratified treaties, or (2) that the two rules in conflict have the same subject matter—is fulfilled. Respondent has failed to demonstrate that a fundamental or material incompatibility exists between Art. 9(2) of the BIT and the TFEU.¹⁵⁷

Nevertheless, early acceptance of an offer of arbitration in a treaty is advisable. Once consent is perfected through the acceptance of the offer contained in the treaty, it remains in existence even if the States parties to the BIT agree to amend or terminate the treaty.¹⁵⁸ In some cases, investors have accepted offers of consent contained in BITs prior to the institution of proceedings.¹⁵⁹

¹⁵² Article 30 VCLT: ‘Application of successive treaties relating to the same subject matter 3. When all the parties to the earlier treaty are parties also to the later treaty but the earlier treaty is not terminated or suspended in operation under article 59, the earlier treaty applies only to the extent that its provisions are compatible with those of the later treaty.’

¹⁵³ Article 59(1)(b) VCLT: ‘Termination or suspension of the operation of a treaty implied by conclusion of a later treaty: 1. A treaty shall be considered as terminated if all the parties to it conclude a later treaty relating to the same subject matter and: ... (b) the provisions of the later treaty are so far incompatible with those of the earlier one that the two treaties are not capable of being applied at the same time.’

¹⁵⁴ *Vattenfall v Germany II*, Decision on the *Achmea* Issue, 31 August 2018, para 218.

¹⁵⁵ *Marfin v Cyprus*, Award, 26 July 2018, paras 583–595; *NextEra v Spain*, Decision on Jurisdiction, Liability and Quantum Principles, 12 March 2019, para 352; *Eskosol v Italy*, Decision on Italy’s Request for Immediate Termination, 7 May 2019, paras 127–147; *OperaFund v Spain*, Award, 6 September 2019, para 383; *BayWa v Spain*, Decision on Jurisdiction and Liability, 2 December 2019, paras 272–273; *Micula v Romania II*, Award, 5 March 2020, paras 273–281.

¹⁵⁶ *Electrabel v Hungary*, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, para 4.191; *Blusun v Italy*, Award, 27 December 2016, paras 229–303; *United Utilities v Estonia*, Award, 21 June 2019, paras 544–566; *Belenergia v Italy*, Award, 6 August 2019, paras 320–321.

¹⁵⁷ *UP and C.D v Hungary*, Award, 9 October 2018, para 218.

¹⁵⁸ See ‘Agreement for the termination of Bilateral Investment Treaties between the Member States of the European Union’. The agreement was concluded among 23 Member States of the EU on 5 May 2020 and entered into force on 29 August 2020.

¹⁵⁹ *ADC v Hungary*, Award, 2 October 2006, para 363; *Wintershall v Argentina*, Award, 8 December 2008, para 10; *Abaclat v Argentina*, Decision on Jurisdiction and Admissibility, 4 August 2011, para 446; *Saint-Gobain v Venezuela*, Decision on Liability and the Principles of Quantum, 30 December 2016, paras 359, 360.

(d) Consent through multilateral treaties

Some multilateral treaties also offer consent to arbitration. The ICSID Convention is not one of these treaties. The Convention offers a detailed framework for the settlement of investment dispute but requires separate consent by the host State and by the foreign investor. The last paragraph of the Preamble to the Convention makes this quite clear by saying:

no Contracting State shall by the mere fact of its ratification, acceptance or approval of this Convention and without its consent be deemed to be under any obligation to submit any particular dispute to conciliation or arbitration, ...

By contrast, some regional treaties do offer consent to arbitration. The ECT provides consent to investment arbitration in Article 26(3)(a):

each Contracting Party hereby gives its unconditional consent to the submission of a dispute to international arbitration or conciliation in accordance with the provisions of this Article.

Under the ECT the investor may submit the dispute to arbitration under the ICSID Convention, the ICSID Additional Facility Rules, the UNCITRAL Arbitration Rules, or under the Arbitration Institute of the Stockholm Chamber of Commerce.¹⁶⁰ The institution of proceedings constitutes the investor's acceptance of the offer of consent.¹⁶¹

Articles 1120 and 1122 of the NAFTA¹⁶² provided consent to arbitration under the ICSID Convention, under the ICSID Additional Facility Rules or under the UNCITRAL Arbitration Rules. The NAFTA was replaced by the United States–Mexico–Canada Agreement (USMCA) on 1 July 2020. But NAFTA's Chapter 11, dealing with investments including investment arbitration, remains available to investors from all three countries should they choose to use it, for three years after that date.

The USMCA provides for the settlement of investment disputes between the United States or Mexico and investors of the respective other country.¹⁶³ Under the USMCA, the means of dispute settlement are ICSID arbitration, Additional Facility arbitration, UNCITRAL arbitration, or any other form of arbitration

¹⁶⁰ Article 26(4) ECT.

¹⁶¹ *AMTO v Ukraine*, Final Award, 26 March 2008, paras 44–47.

¹⁶² The North American Free Trade Agreement (NAFTA), (1993) 32 ILM 289, 605, was a trilateral treaty between Canada, Mexico, and the United States that existed from 1994 to 2020.

¹⁶³ USMCA Annex 14-D. Canada does not participate in this dispute settlement mechanism. Investment disputes between Canada and Mexico are subject to the investor–State arbitration provisions of the CPTPP.

agreed to by the parties. The claimant must consent in writing to arbitration and must waive any right to initiate or continue proceedings in respect of the measure alleged to constitute the breach before any court or administrative tribunal under the law of either State.

The Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP)¹⁶⁴ contains Chapter 9 dealing with investment. Section B of that Chapter addresses investor-State dispute settlement. Article 9.19 provides for submission of a claim to arbitration under the ICSID Convention, the Additional Facility, and the UNCITRAL Rules.

The Central American Free Trade Agreement (CAFTA) of 2004 comprises the United States and five Central American countries. An FTA of the same year added the Dominican Republic (DR-CAFTA). Chapter 10 Section B of the DR-CAFTA provides for submission, at the investor's choice, to ICSID, Additional Facility, and UNCITRAL arbitration.

Other regional treaties providing for investment arbitration include the Treaty on the Eurasian Economic Union, the Eurasian Investment Agreement, the Association of Southeast Asian Nations (ASEAN), the Agreement for the Promotion and Protection of Investments, the Agreement on Promotion, Protection and Guarantee of Investments Among Member States of the Organisation of the Islamic Conference (OIC), the Organisation for the Harmonisation of Business Law in Africa (OHADA), and the Economic Community of West African States (ECOWAS).

(e) The irrevocability of consent

The binding and irrevocable nature of consent to arbitration is a manifestation of the maxim *pacta sunt servanda*. The principle applies not only where the consent is expressed in a direct agreement between the host State and the investor but also where an offer of consent is contained in national legislation or in a treaty. The irrevocability of consent operates only after the consent has been perfected. A mere offer of consent to arbitrate may be withdrawn at any time unless, of course, it is irrevocable by its own terms. In the case of national legislation and treaty clauses providing for arbitration, the investor must have accepted the consent in writing to make it irrevocable.

The irrevocability of consent applies only to unilateral attempts at withdrawal. The parties may terminate their consent by mutual agreement either before or after the institution of proceedings.

¹⁶⁴ On 30 December 2018, the CPTPP entered into force among the first six countries to ratify the agreement: Canada, Australia, Japan, Mexico, New Zealand, and Singapore. On 14 January 2019, the CPTPP entered into force for Vietnam.

Under the ICSID Convention, the irrevocability of consent is reflected in the Preamble¹⁶⁵ as well as in Article 25(1):

When the parties have given their consent, no party may withdraw its consent unilaterally.

Under Article 71 of the ICSID Convention, a Contracting State may denounce the Convention at six months' notice. Since participation by the host State and the investor's State of nationality are conditions for the validity of consent, the termination of either State's participation in the Convention could vitiate consent. Article 72 blocks this indirect way of withdrawing consent by providing that the Convention's denunciation shall not affect the rights and obligations arising out of consent given before receipt of the notice of denunciation.¹⁶⁶

If a direct agreement between the host State and the investor containing an arbitration clause is alleged to be invalid or is terminated, it could be argued that the arbitration clause is also invalidated or ceases to operate. But a unilateral invocation of invalidity or termination of the agreement cannot defeat the consent clause. Any other result would be contrary to the prohibition of unilateral withdrawal of consent. To this end, international arbitral practice has developed the doctrine of the severability or separability of the arbitration agreement.¹⁶⁷ Under this doctrine, the agreement providing for arbitration assumes a separate existence, which is autonomous and legally independent of the agreement containing it.¹⁶⁸

In *Millicom v Senegal*, the respondent had terminated the Concession containing the ICSID arbitration clause. The Tribunal rejected the contention that the Concession's termination had extinguished the arbitration clause. It said:

it is undisputed that an arbitration clause is autonomous and that the end of a contract in which it is incorporated does not eliminate its effects; on the contrary, the arbitration which is agreed to therein also covers the principle and effects of the end of the contract. To admit the contrary would amount to depriving

¹⁶⁵ ICSID Convention, Preamble: 'Recognizing that mutual consent by the parties to submit such disputes to conciliation or to arbitration through such facilities constitutes a binding agreement which requires in particular that due consideration be given to any recommendation of conciliators, and that any arbitral award be complied with' See also Report of the Executive Directors on the [ICSID] Convention, para 23: '[c]onsent to jurisdiction . . . once given cannot be withdrawn unilaterally (Article 25(1)).'

¹⁶⁶ *Fábrica de Vidrios v Venezuela*, Award, 13 November 2017, para 277.

¹⁶⁷ See SM Schwebel, *International Arbitration: Three Salient Problems* (1987) 1–60. Article 45(1) of the Arbitration (Additional Facility) Rules expressly provides for the separability of the arbitration agreement from the underlying contract.

¹⁶⁸ See ICC Rules of Arbitration (2021) Article 6(9); UNCITRAL Arbitration Rules (2013) Article 23(1); UNCITRAL Model Law on International Commercial Arbitration (1985, amended 2006) Article 16(1); Institut de Droit International (IDI), 'Resolution on Arbitration between States, State Enterprises or State Entities, and Foreign Enterprises' (1989) 63 Ann IDI 324, 326, Article 3(a).

it of an important part of its practical effect since it would suffice for a party to abandon a contract in order to escape from it. This reasoning must apply also to the Concession.¹⁶⁹

A host State is free to change its investment legislation, including the provision concerning consent to arbitration. An offer of consent contained in national legislation that has not been taken up by the investor will lapse when the legislation is repealed. Once the investor has accepted the offer in writing, while the legislation was still in force, the consent agreed to by the parties becomes insulated from the validity of the legislation containing the offer and assumes a contractual existence independent of the legislative instrument that helped to bring it about. Therefore, repeal of investment legislation will not have the effect of a withdrawal of consent if the investor has accepted the offer during the legislation's lifetime.¹⁷⁰

Consent based on treaties, once perfected by its acceptance by the investor, becomes irrevocable and hence insulated from attempts by the host State to terminate the treaty. BITs and multilateral international instruments providing for consent to arbitration are more difficult to terminate or amend than national legislation. However, some States have terminated some or all of their BITs.

In *CSOB v Slovakia*, the Tribunal found that the BIT had never entered into force despite the fact, that it was published in Slovakia's Official Gazette together with a notice announcing its entry into force. After the institution of ICSID proceedings, Slovakia published a corrective notice in its Official Gazette asserting the BIT's invalidity. The Tribunal confirmed that a unilateral withdrawal of consent by the host State is not possible and said:

In this connection, it should be noted that if the Notice were to be held to constitute a valid offer by the Slovak State to submit to international arbitration, the corrective notice published by the Slovak Ministry of Foreign Affairs in the Official Gazette on November 20, 1997, asserting the invalidity of the BIT, would be of no avail to Respondent, since Claimant accepted the offer in the Request for Arbitration filed prior to the publication of the corrective notice.¹⁷¹

Many BITs may be terminated unilaterally subject to 'sunset clauses.' Under these clauses, the BIT will continue to apply for a certain period to investments made before its termination. The Italy–Romania BIT entered into force in 1995 and was terminated in 2010. It contained a sunset clause providing for its continued application for five years for investments made before its termination. In *Gavazzi*

¹⁶⁹ *Millicom v Senegal*, Decision on Jurisdiction, 16 July 2010, para 91. See also *Duke Energy v Peru*, Decision on Annulment, 1 March 2011, paras 125–144.

¹⁷⁰ *Rumeli v Kazakhstan*, Award, 29 July 2008, paras 165, 220–222, 308, 332–336. But see *Ruby Roz v Kazakhstan*, Award on Jurisdiction, 1 August 2013, para 156.

¹⁷¹ *CSOB v Slovakia*, Decision on Jurisdiction, 24 May 1999, para 45.

v Romania, ICSID received the Request for Arbitration on 2 August 2012. The Tribunal proceeded to exercise jurisdiction based on the BIT without a discussion of its termination.¹⁷²

Respondent States as well as the European Commission have argued that, after the *Achmea* judgment of the CJEU¹⁷³ and of a Declaration of EU Member States on the legal consequences of that judgment,¹⁷⁴ consent to arbitration under treaties with other EU Member States had become inapplicable. Claimants have successfully argued that perfected consent was irrevocable under the ICSID Convention and not subject to withdrawal by way of a novel interpretation of EU law.¹⁷⁵

Tribunals have consistently rejected the '*Achmea* objection', *inter alia*, by relying on the impossibility of a unilateral withdrawal of consent under Article 25(1). The Tribunal in *Magyar Farming v Hungary* said to this effect:

the Claimants accepted the BIT's offer to arbitrate prior to its purported termination. Pursuant to Article 25 of the ICSID Convention, '[w]hen the parties [i.e. the investor and the State] have given their consent, no party may withdraw its consent unilaterally'. . . Thus, the consent to arbitrate, in the sense of a meeting of the minds, which is perfected by the investor's acceptance of the State's offer to arbitrate expressed in the BIT would not be retroactively invalidated by a subsequent termination of the BIT.¹⁷⁶

(f) The scope of consent

The parties to an agreement containing an arbitration clause are free to circumscribe their consent by defining it in general terms, by excluding certain types of disputes or by listing the questions they are submitting to arbitration. In practice, broad inclusive consent clauses, covering any dispute that may arise in connection with the agreement containing the clause, are the norm. Consent clauses contained in investment agreements typically refer to 'any dispute' or to 'all disputes' under the respective agreements.

Offers of consent to investment arbitration in national investment legislation may cover disputes between the foreign investor and the host State in general terms,

¹⁷² *Gavazzi v Romania*, Decision on Jurisdiction, Admissibility and Liability, 21 April 2015.

¹⁷³ *Slovak Republic v Achmea*, CJEU, Judgment, 6 March 2018, Case C-284/16.

¹⁷⁴ Declaration of the Representatives of the Governments of the Member States, of 15 January 2019 on the Legal Consequences of the Judgment of the Court of Justice in *Achmea* and on Investment Protection in the European Union.

¹⁷⁵ *UP and C.D v Hungary*, Award, 9 October 2018, paras 211, 221, 227–229; *United Utilities v Estonia*, Award, 21 June 2019, para 492; *InfraRed v Spain*, Award, 2 August 2019, para 227; *OperaFund v Spain*, Award, 6 September 2019, paras 355, 367.

¹⁷⁶ *Magyar Farming v Hungary*, Award, 13 November 2019, paras 213–214. See also *Marfin v Cyprus*, Award, 26 July 2018, paras 592–593; *Eskosol v Italy*, Decision on Italy's Request for Immediate Termination, 7 May 2019, para 226.

for instance by referring to ‘disputes between a foreign investor and a government body’.¹⁷⁷ Some offers are narrower and relate to the application and interpretation of the piece of legislation offering consent.¹⁷⁸ Some national laws circumscribe the issues that are subject to arbitration even more narrowly by limiting it to certain matters such as expropriation.

In *Tradex v Albania* the consent to arbitration expressed in the Albanian Law on Foreign Investment was limited in the following terms:

if the dispute arises out of or relates to expropriation, compensation for expropriation, or discrimination and also for the transfers in accordance with Article 7¹⁷⁹

After a detailed examination of the facts, the Tribunal found that the claimant had not been able to prove that an expropriation had occurred.¹⁸⁰

The scope of consent to arbitration offered in treaties also varies considerably. Many BITs in their consent clauses contain phrases such as ‘all disputes concerning investments’ or ‘any legal dispute concerning an investment’. These provisions do not restrict a tribunal’s jurisdiction to claims arising from the treaty’s substantive standards. By their own terms, these consent clauses encompass disputes that go beyond the interpretation and application of the treaty itself and include claims that arise from a contract in connection with the investment or from customary international law.

In *Vivendi v Argentina*,¹⁸¹ Article 8 of the BIT between France and Argentina, applicable in that case, offered consent for ‘[a]ny dispute relating to investments’. In its discussion of the BIT’s fork in the road clause, the ad hoc Committee said:

Article 8 deals generally with disputes ‘relating to investments made under this Agreement between one Contracting Party and an investor of the other Contracting Party’... Article 8 does not use a narrower formulation, requiring that the investor’s claim allege a breach of the BIT itself. Read literally, the requirements for arbitral jurisdiction in Article 8 do not necessitate that the Claimant allege a breach of the BIT itself: it is sufficient that the dispute relate to an investment made under the BIT. This may be contrasted, for example, with Article 11 of the BIT [dealing with State/State dispute settlement], which refers to disputes ‘concerning the interpretation or application of this Agreement’¹⁸²

¹⁷⁷ *Zhinvali v Georgia*, Award, 24 January 2003, para 329.

¹⁷⁸ *SPP v Egypt*, Decision on Jurisdiction I, 27 November 1985, para 70.

¹⁷⁹ *Tradex v Albania*, Decision on Jurisdiction, 24 December 1996, 5 ICSID Reports 47, 54–55.

¹⁸⁰ *Tradex v Albania*, Award, 29 April 1999, paras 132–205.

¹⁸¹ *Vivendi v Argentina*, Decision on Annulment, 3 July 2002.

¹⁸² At para 55.

Other tribunals have taken the same position.¹⁸³

The Tribunal in *SGS v Pakistan* decided otherwise. Article 9 of the applicable BIT between Switzerland and Pakistan referred to ‘disputes with respect to investments’. The Tribunal found that the phrase was merely descriptive of the factual subject matter of the disputes and did not relate to the legal basis of the claims or cause of action asserted in the claims. The Tribunal said: ‘from that description alone, without more, we believe that no implication necessarily arises that both BIT and purely contract claims are intended to be covered by the Contracting Parties in Article 9’. Therefore, the Tribunal held that it did not have jurisdiction with respect to contract claims which did not also constitute breaches of the substantive standards of the BIT.¹⁸⁴

Other tribunals have distanced themselves from that decision.¹⁸⁵ However, some tribunals, without analysing the matter, seem to operate under the unfounded perception that they are restricted to treaty claims regardless of the wording of a BIT’s jurisdiction clause.¹⁸⁶

Other treaty clauses offering consent to arbitration do not refer to investment disputes in general terms but circumscribe the types of disputes that may be submitted to arbitration. A provision that is typical for United States BITs is contained in Article VII of the Argentina–US BIT of 1991. It offers consent for investment disputes which are defined as follows:

a dispute between a Party and a national or company of the other Party arising out of or relating to (a) an investment agreement between that Party and such national or company; (b) an investment authorization granted by that Party’s foreign investment authority (if any such authorization exists) to such national or company; or (c) an alleged breach of any right conferred or created by this Treaty with respect to an investment.

Other treaties restrict consent to disputes involving the respective treaty’s substantive provisions. Tribunals operating under these restrictive clauses have found

¹⁸³ *Salini v Morocco*, Decision on Jurisdiction, 16 July 2001, para 61; *SGS v Philippines*, Decision on Jurisdiction, 29 January 2004, paras 131–135, 169(3); *Tokios Tokelès v Ukraine*, Decision on Jurisdiction, 29 April 2004, para 52, fn 42; *Impregilo v Pakistan*, Decision on Jurisdiction, 22 April 2005, paras 57, 82, 102, 188; *Siemens v Argentina*, Award, 6 February 2007, para 205; *Parkerings v Lithuania*, Award, 11 September 2007, paras 261–266; *Chevron v Ecuador I*, Interim Award, 1 December 2008, paras 203, 209–211; *SGS v Paraguay*, Decision on Jurisdiction, 12 February 2010, paras 129, 183–184; *Alpha v Ukraine*, Award, 8 November 2010, para 243; *Philip Morris v Uruguay*, Decision on Jurisdiction, 2 July 2013, paras 107, 109; *Metal-Tech v Uzbekistan*, Award, 4 October 2013, para 378.

¹⁸⁴ *SGS v Pakistan*, Decision on Jurisdiction, 6 August 2003, para 161.

¹⁸⁵ *SGS v Philippines*, Decision on Jurisdiction, 29 January 2004, paras 133–135; *Tokios Tokelès v Ukraine*, Decision on Jurisdiction, 29 April 2004, para 52, fn 42. See also the discussion in *Salini v Jordan*, Decision on Jurisdiction, 29 November 2004, paras 97–101.

¹⁸⁶ *Urbaser v Argentina*, Decision on Jurisdiction, 19 December 2012, para 254; *Kim v Uzbekistan*, Decision on Jurisdiction, 8 March 2017, paras 162–164; *Energija v Latvia*, Award, 22 December 2017, paras 498, 846, 853; *CMC v Mozambique*, Award, 24 October 2019, paras 219–222, 473.

that they could only apply the substantive standards contained in these treaties.¹⁸⁷ Under Article 26(1) of the ECT the scope of the consent is limited to disputes ‘which concern an alleged breach of an obligation . . . under Part III [of the ECT]’.¹⁸⁸

In *Iberdrola v Guatemala*, the Guatemala–Spain BIT provided for jurisdiction ‘concerning matters governed by this Agreement’.¹⁸⁹ The Tribunal contrasted this limited jurisdictional clause with comprehensive clauses contained in other treaties:

the Treaty contrasts with other bilateral investment treaties signed by Guatemala and by Spain, which extend arbitral jurisdiction to ‘any dispute’, ‘every dispute’, ‘the disputes’, ‘the differences’ or ‘every class of disputes or of differences’ as regards the extent of protection. The language of the Treaty is restricted . . . which means that the Republic of Guatemala did not give general consent to submit any kind of dispute or difference related to investments made in its territory to arbitration, but only those related to violations of substantive provisions of the treaty itself.¹⁹⁰

An umbrella clause in the BIT should extend the jurisdiction of tribunals to violations of contracts even if the consent to arbitration was restricted to claims arising from breaches of the treaty.¹⁹¹ If it is true that under the operation of an umbrella clause, violations of a contract relating to the investment become treaty violations, it follows that even a provision in a BIT merely offering consent to arbitration for violations of the BIT extends to contract violations covered by the umbrella clause.

In some treaties the subject-matter of consent to arbitration is even more narrowly confined. Consent is given only for disputes concerning specific standards. Typical examples for narrow clauses of this kind are expressions of consent that are limited to disputes relating to expropriations¹⁹² or to the amount of compensation for expropriations.¹⁹³ For instance, the Italy–Bangladesh BIT provides in Article 9 for the submission to arbitration, including to ICSID, of:

[a]ny dispute arising between a Contracting Party and the investors of the other, relating to compensation for expropriation, nationalization, requisition or similar measures including disputes relating to the amount of the relevant payments . . .

¹⁸⁷ *Suez and Vivendi v Argentina*, Decision on Liability, 30 July 2010, para 63; *Roussalis v Romania*, Award, 7 December 2011, paras 43, 679–683.

¹⁸⁸ *Kardassopoulos v Georgia*, Decision on Jurisdiction, 6 July 2007, paras 249–251.

¹⁸⁹ *Iberdrola v Guatemala*, Award, 17 August 2012, paras 296–310.

¹⁹⁰ At para 306 (footnotes omitted).

¹⁹¹ On umbrella clauses see VIII.6 above.

¹⁹² *Saipem v Bangladesh*, Decision on Jurisdiction, 21 March 2007, paras 116, 129–133 and Award, 30 June 2009, paras 120–132.

¹⁹³ *Telenor v Hungary*, Award, 13 September 2006, paras 18(2), 25, 57, 81–83; *ADC v Hungary*, Award, 2 October 2006, paras 12, 445; *Tza Yap Shum v Peru*, Decision on Jurisdiction and Competence, 19 June 2009, paras 129–188.

Tribunals have held that clauses of this kind restricted their jurisdiction to claims based on expropriation to the exclusion of other standards of protection.¹⁹⁴ However, some tribunals have held that clauses referring to compensation for expropriation extend to the question of the existence of an expropriation.¹⁹⁵

The USMCA limits consent to claims for violations of certain standards guaranteed by the Agreement. These are national treatment, most-favoured-nation (MFN) treatment, and expropriation and compensation (except with respect to indirect expropriation).¹⁹⁶

(g) The interpretation of consent

Where consent to arbitration is based on a treaty it would seem obvious to apply principles of treaty interpretation.¹⁹⁷ Reliance on domestic law principles of interpretation appears attractive where consent is based on a clause in domestic legislation. But it must be kept in mind that the perfected consent is neither a treaty nor simply a provision of domestic law, but an agreement between the host State and the foreign investor.

Tribunals have held that questions of jurisdiction, including consent, are not subject to the law applicable to the merits of the case. Rather, questions of jurisdiction are governed by their own system which is defined by the instruments determining jurisdiction.¹⁹⁸ In the words of the Tribunal in *CMS v Argentina*:

Article 42 [of the ICSID Convention]¹⁹⁹ is mainly designed for the resolution of disputes on the merits and, as such, it is in principle independent from the decision on jurisdiction, governed solely by Article 25 of the [ICSID] Convention and those other provisions of the consent instrument which might be applicable, in the instant case the Treaty provisions.²⁰⁰

¹⁹⁴ *Telenor v Hungary*, Award, 13 September 2006, paras 18(2), 25, 57, 81–83; *Saipem v Bangladesh*, Decision on Jurisdiction, 21 March 2007, paras 70, 129–133; *Emmis v Hungary*, Award, 16 April 2014, paras 142–145; *Vigotop v Hungary*, Award, 1 October 2014, para 634; *WNC v Czech Republic*, Award, 22 February 2017, paras 362–364.

¹⁹⁵ *Tza Yap Shum v Peru*, Decision on Jurisdiction and Competence, 19 June 2009, paras 129–188; *Beijing Urban Construction v Yemen*, Decision on Jurisdiction, 31 May 2017, paras 50, 59–69, 74–108.

¹⁹⁶ Annex 14-D, Article 14.D.3.1. USMCA.

¹⁹⁷ For a general discussion of treaty interpretation in the context of investment law see II.1. above.

¹⁹⁸ *Azurix v Argentina*, Decision on Jurisdiction, 8 December 2003, paras 48–50; *Enron v Argentina*, Decision on Jurisdiction, 14 January 2004, para 38; *Siemens v Argentina*, Decision on Jurisdiction, 3 August 2004, paras 29–31; *Camuzzi v Argentina*, Decision on Jurisdiction, 11 May 2005, paras 15–17, 57; *AES v Argentina*, Decision on Jurisdiction, 26 April 2005, paras 34–39; *Jan de Nul v Egypt*, Decision on Jurisdiction, 16 June 2006, paras 65–68.

¹⁹⁹ Article 42 of the ICSID Convention deals with the law applicable to the dispute.

²⁰⁰ *CMS v Argentina*, Decision on Jurisdiction, 17 July 2003, para 88.

Tribunal practice varies in its emphasis on domestic and on international law. Some of this variation is due to the different ways in which consent is expressed by way of contracts, on the basis of legislation, or on the basis of treaties. This leads to a methodological mix involving treaty interpretation, statutory interpretation, and general principles of contract law.

In *CSOB v Slovakia*, consent to arbitration was based on a contract between the parties that referred to a BIT. Although the BIT had never entered into force, the Tribunal concluded that the parties by referring to the BIT had intended to incorporate the arbitration clause in the BIT into their contract. With respect to the interpretation of the consent agreement, the Tribunal had no doubt that it was governed by international law:

The question of whether the parties have effectively expressed their consent to ICSID jurisdiction is not to be answered by reference to national law. It is governed by international law as set out in Article 25(1) of the ICSID Convention.²⁰¹

The host State's domestic law will be relevant to jurisdiction if the consent to arbitration is based on a provision in its legislation.²⁰² But from the perspective of international law, the offer of consent in domestic legislation is a unilateral act that may have to be interpreted accordingly.²⁰³ In cases involving consent by way of domestic legislation, tribunals have grappled with the relative emphasis to be given to domestic law and international law.²⁰⁴

In *Mobil v Venezuela*, the claimant relied on an ambiguous clause in Venezuela's Investment Law that referred to the ICSID Convention.²⁰⁵ The Tribunal said:

Legislation and more generally unilateral acts by which a State consents to ICSID jurisdiction must be considered as standing offers to foreign investors under the ICSID Convention. Those unilateral acts must accordingly be interpreted according to the ICSID Convention itself and to the rules of international law governing unilateral declarations of States.²⁰⁶

²⁰¹ *CSOB v Slovakia*, Decision on Jurisdiction, 24 May 1999, para 35.

²⁰² *SPP v Egypt*, Decision on Jurisdiction II, 14 April 1988, paras 55–61; *Inceysa v El Salvador*, Award, 2 August 2006, paras 131, 222–264; *Zhinvali v Georgia*, Award, 24 January 2003, paras 229, 339–340.

²⁰³ See ILC, 'Guiding Principles Applicable to Unilateral Declarations of States Capable of Creating Legal Obligations' (2006) UN Doc A/CN.4/L.703; WM Reisman and MH Arsanjani, 'The Question of Unilateral Governmental Statements as Applicable Law in Investment Disputes' (2004) 19 *ICSID Rev* 328.

²⁰⁴ *CEMEX v Venezuela*, Decision on Jurisdiction, 30 December 2010, paras 67–139; *Brandes v Venezuela*, Award, 2 August 2011, paras 36, 81; *OPIC Karimun v Venezuela*, Award, 28 May 2013, paras 70–76; *ConocoPhillips v Venezuela*, Decision on Jurisdiction and the Merits, 3 September 2013, para 255; *Tidewater v Venezuela*, Decision on Jurisdiction, 8 February 2013, paras 75–141; *PNG Sustainable Development v Papua New Guinea*, Award, 5 May 2015, paras 264–265; *Pac Rim v El Salvador*, Decision on Jurisdiction, 1 June 2012, paras 5.32–5.33; Award, 14 October 2016, para 5.71; *Lighthouse v Timor-Leste*, Award, 22 December 2017, paras 149–153.

²⁰⁵ See XII.7(b) above.

²⁰⁶ *Mobil v Venezuela*, Decision on Jurisdiction, 10 June 2010, para 85.

Where consent is based on a treaty, tribunals have applied principles of treaty interpretation.²⁰⁷ But the arbitration clause in a treaty is only the first step towards agreed consent. The consent, once accepted by the investor, is neither a treaty nor simply a contract under domestic law, but an agreement between the host State and the investor based on a treaty.

In some cases, the respondents argued that an expression of consent to arbitration should be construed restrictively. Most tribunals have rejected this argument. Some tribunals seemed to be leaning more towards an extensive interpretation of consent clauses.²⁰⁸ The majority of tribunals have subscribed to a balanced approach that accepts neither a restrictive nor an expansive approach to the interpretation of consent clauses.²⁰⁹

In *SPP v Egypt*, the argument of the restrictive interpretation of jurisdictional instruments was raised in relation to an arbitration clause in national legislation. The Tribunal found that there was no presumption of jurisdiction and that jurisdiction only existed insofar as consent thereto had been given by the parties. Equally, there was no presumption against the conferment of jurisdiction with respect to a sovereign State. After referring to several international judgements and awards, the Tribunal said:

Thus, jurisdictional instruments are to be interpreted neither restrictively nor expansively, but rather objectively and in good faith, and jurisdiction will be found to exist if—but only if—the force of the arguments militating in favor of it is preponderant.²¹⁰

²⁰⁷ *Fedax v Venezuela*, Decision on Jurisdiction, 11 July 1997, para 20; *Vestey v Venezuela*, Award, 15 April 2016, paras 114–115.

²⁰⁸ *SGS v Philippines*, Decision on Jurisdiction, 29 January 2004, para 116; *Eureko v Poland*, Partial Award, 19 August 2005, para 248; *Tradex v Albania*, Decision on Jurisdiction, 24 December 1996, para 68; *Millicom v Senegal*, Decision on Jurisdiction, 16 July 2010, para 98.

²⁰⁹ *Amco v Indonesia*, Decision on Jurisdiction, 25 September 1983, paras 12–24; *SOABI v Senegal*, Award, 25 February 1988, paras 4.08–4.10; *Cable TV v St. Kitts and Nevis*, Award, 13 January 1997, para 6.27; *CSOB v Slovakia*, Decision on Jurisdiction, 24 May 1999, para 34; *Ethyl v Canada*, Award on Jurisdiction, 24 June 1998, para 55; *Loewen v United States*, Decision on Competence and Jurisdiction, 5 January 2001, para 51; *Methanex v United States*, Preliminary Award on Jurisdiction, 7 August 2002, paras 103–105; *Mondev v United States*, Award, 11 October 2002, paras 42–43; *Aguas del Tunari v Bolivia*, Decision on Jurisdiction, 21 October 2005, para 91; *El Paso v Argentina*, Decision on Jurisdiction, 27 April 2006, paras 68–70; *Suez and InterAgua v Argentina*, Decision on Jurisdiction, 16 May 2006, paras 59, 64; *Pan American v Argentina*, Decision on Preliminary Objections, 27 July 2006, paras 97–99; *Duke Energy v Ecuador*, Award, 18 August 2008, paras 129–130; *Austrian Airlines v Slovakia*, Final Award, 9 October 2009, paras 119–121; *Mobil v Venezuela*, Decision on Jurisdiction, 10 June 2010, paras 112–119; *CEMEX v Venezuela*, Decision on Jurisdiction, 30 December 2010, paras 104–114; *National Gas v Egypt*, Award, 3 April 2014, para 119; *PNG Sustainable Development v Papua New Guinea*, Award, 5 May 2015, paras 253–255; *Lighthouse v Timor-Leste*, Award, 22 December 2017, para 148.

²¹⁰ *SPP v Egypt*, Decision on Jurisdiction II, 14 April 1988, para 63.

8. Conditions for the institution of proceedings

(a) Waiting periods for amicable settlement

Many BITs contain the condition that a negotiated settlement must be attempted before resort can be had to investment arbitration. This requirement is subject to certain time limits ranging from three to twelve months. A typical waiting period under BITs would be six months. Similarly, Article 26(2) of the ECT will offer consent to arbitration if the dispute cannot be settled within three months from the date on which either party requested an amicable settlement. National legislation offering consent to arbitration may similarly provide for waiting periods.²¹¹

The reaction of tribunals to these provisions requiring an attempt at amicable settlement before the institution of arbitration has not been uniform.²¹² In the majority of cases, the tribunals found that the claimants had complied with these waiting periods before proceeding to arbitration.²¹³

In other cases, the tribunals found that non-compliance with the waiting periods did not affect their jurisdiction. Some tribunals found that the non-observance of the waiting period was inconsequential since further negotiations would have been pointless.²¹⁴ Some tribunals found that waiting periods for amicable settlement were merely procedural and not a condition for jurisdiction.²¹⁵

In *Biwater Gauff v Tanzania*, the UK–Tanzania BIT provided for a six-month period for settlement. There had been attempts to resolve the dispute, but the six-month period had not yet elapsed when the Request for Arbitration was filed. The Tribunal held that this did not preclude it from proceeding. It said:

²¹¹ *Tradex v Albania*, Decision on Jurisdiction, 24 December 1996, 5 ICSID Reports pp 47, 60–61.

²¹² For practice of the International Court of Justice on mandatory settlement periods see *Military and Paramilitary Activities in and against Nicaragua (Nicaragua v United States)*, Judgment (Jurisdiction and Admissibility), 26 November 1984, ICJ Reports (1984) 392, paras 81–83, and *Case Concerning Application of the International Convention on the Elimination of all forms of Racial Discrimination (Georgia v Russian Federation)*, Judgment, 1 April 2011, ICJ Reports (2011) 70, paras 115–184.

²¹³ See eg *Arif v Moldova*, Award, 8 April 2013, paras 336–342; *Marfin v Cyprus*, Award, 26 July 2018, para 637; *Cortec Mining v Kenya*, Award, 22 October 2018, para 282.

²¹⁴ *Ethyl v Canada*, Award on Jurisdiction, 24 June 1998, paras 76–84; *SGS v Pakistan*, Decision on Jurisdiction, 6 August 2003, para 184; *LESI-DIPENTA v Algeria*, Award, 10 January 2005, para 32(iv); *Teinver v Argentina*, Decision on Jurisdiction, 21 December 2012, paras 126–129; *Ambiente Ufficio v Argentina*, Decision on Jurisdiction and Admissibility, 8 February 2013, para 582; *Philip Morris v Uruguay*, Decision on Jurisdiction, 2 July 2013, paras 228–229; *Alemanni v Argentina*, Decision on Jurisdiction and Admissibility, 17 November 2014, paras 301–317; *Casinos Austria v Argentina*, Decision on Jurisdiction, 29 June 2018, paras 284, 311–313.

²¹⁵ *Wena Hotels v Egypt*, Decision on Jurisdiction, 29 June 1999, 6 ICSID Reports 74, 82 and 87; *Lauder v Czech Republic*, Final Award, 3 September 2001, para 187; *SGS v Pakistan*, Decision on Jurisdiction, 6 August 2003, para 184; *Bayindir v Pakistan*, Decision on Jurisdiction, 14 November 2005, paras 88–103; *Abaclat v Argentina*, Decision on Jurisdiction and Admissibility, 4 August 2011, para 564; *Casinos Austria v Argentina*, Decision on Jurisdiction, 29 June 2018, para 280.

this six-month period is procedural and directory in nature, rather than jurisdictional and mandatory. Its underlying purpose is to facilitate opportunities for amicable settlement. Its purpose is not to impede or obstruct arbitration proceedings, where such settlement is not possible. Non-compliance with the six month period, therefore, does not preclude this Arbitral Tribunal from proceeding. If it did so, the provision would have curious effects, including:

- preventing the prosecution of a claim, and forcing the claimant to do nothing until six months have elapsed, even where further negotiations are obviously futile, or settlement obviously impossible for any reason;
- forcing the claimant to recommence an arbitration started too soon, even if the six month period has elapsed by the time the Arbitral Tribunal considers the matter.²¹⁶

Some tribunals have found that waiting periods need not necessarily be complied with prior to initiating proceedings but can be fulfilled before the tribunal makes a decision on its jurisdiction.²¹⁷

Other tribunals have reached a different conclusion.²¹⁸ In *Burlington v Ecuador*, the BIT between Ecuador and the United States provided for consultation and negotiation in case of a dispute. ICSID arbitration would become available six months after the dispute had arisen. The Tribunal found that the claimant had only informed the respondent of the dispute with its submission of the dispute to ICSID arbitration. It followed that the claim was inadmissible:

by imposing upon investors an obligation to voice their disagreement at least six months prior to the submission of an investment dispute to arbitration, the Treaty effectively accords host States the right to be informed about the dispute at least six months before it is submitted to arbitration. The purpose of this right is to grant the host State an *opportunity* to redress the problem before the investor submits the dispute to arbitration. In this case, Claimant has deprived the host State of that opportunity. That suffices to defeat jurisdiction.²¹⁹

It would seem, that the decisive question is whether there was a promising opportunity for a settlement. There will be little point in declining jurisdiction and

²¹⁶ *Biwater Gauff v Tanzania*, Award, 24 July 2008, paras 338–350 at 343.

²¹⁷ *Western NIS v Ukraine*, Order, 16 March 2006; *Casinos Austria v Argentina*, Decision on Jurisdiction, 29 June 2018, paras 279–281, 312.

²¹⁸ *Goetz v Burundi*, Award, 10 February 1999, paras 90–93; *Enron v Argentina*, Decision on Jurisdiction, 14 January 2004, para 88; *Wintershall v Argentina*, Award, 8 December 2008, paras 133–157; *Murphy v Ecuador I*, Award on Jurisdiction, 15 December 2010, paras 90–157; *Tulip v Turkey*, Decision on Jurisdiction, 5 March 2013, paras 55–72; *Supervisión y Control v Costa Rica*, Award, 18 January 2017, paras 336–348, 351.

²¹⁹ *Burlington v Ecuador*, Decision on Jurisdiction, 2 June 2010, para 315. Italics original.

sending the parties back to the negotiating table if negotiations are obviously futile. Even if the institution of arbitration was premature, the waiting period will often have expired by the time the tribunal is ready to make its decision on jurisdiction. Under these circumstances, declining jurisdiction and compelling the claimant to start the proceedings anew would be uneconomical. An alternative way to deal with non-compliance with a waiting period is a suspension of proceedings to allow additional time for negotiations if these appear promising.

(b) The requirement to resort to domestic courts

Under traditional international law, before an international claim on behalf of an investor may be put forward in international proceedings, the investor must have exhausted the domestic remedies offered by the host State's legal system. But it is well established that, where there is consent to investor-State arbitration, there is generally no need to exhaust local remedies. One of the purposes of investor-State arbitration is to avoid the vagaries of proceedings in the host State's courts. Article 26 of the ICSID Convention specifically excludes the requirement to exhaust remedies 'unless otherwise stated'.²²⁰ ICSID²²¹ and non-ICSID tribunals²²² have confirmed that the claimants were entitled to institute international arbitration directly without first exhausting the remedies offered by local courts.

It is open to a host State to make the exhaustion of local remedies a condition of its consent to arbitration. In fact, some BITs offering consent require the exhaustion of local remedies. But clauses of this kind are rare and are found mostly in older BITs. In the absence of such a proviso, the investor does not need to exhaust local remedies before starting an international arbitration. The Tribunal in *Generation Ukraine v Ukraine* said:

13.4 The first sentence of Article 26 secures the exclusivity of a reference to ICSID arbitration vis-à-vis any other remedy. A logical consequence of this exclusivity is the waiver by Contracting States to the ICSID Convention of the remedies rule,

²²⁰ Article 26 of the ICSID Convention:

Consent of the parties to arbitration under this Convention shall, unless otherwise stated, be deemed consent to such arbitration to the exclusion of any other remedy. A Contracting State may require the exhaustion of local administrative or judicial remedies as a condition of its consent to arbitration under this Convention.

²²¹ *Amco v Indonesia*, Decision on Annulment, 16 May 1986, para 63; *Lanco v Argentina*, Decision on Jurisdiction, 8 December 1998, para 39; *IBM v Ecuador*, Decision on Jurisdiction and Competence, 22 December 2003, paras 77–84; *AES v Argentina*, Decision on Jurisdiction, 26 April 2005, paras 69–70; *Saipem v Bangladesh*, Award, 30 June 2009, paras 174–184.

²²² *CME v Czech Republic*, Final Award, 14 March 2003, para 412; *Yaung Chi Oo v Myanmar*, Award, 31 March 2003, para 40; *Nykomb v Latvia*, Award, 16 December 2003, sec 2.4. But see *Loewen v United States*, Award, 26 June 2003, paras 142–217.

so that the investor is not compelled to pursue remedies in the respondent State's domestic courts or tribunals before the institution of ICSID proceedings. This waiver is implicit in the second sentence of Article 26, which nevertheless allows Contracting States to reserve its right to insist upon the prior exhaustion of local remedies as a condition of its consent.²²³

In some cases, tribunals have required an attempt to obtain redress in domestic courts, not as a matter of jurisdiction or admissibility but as part of the evidence that the relevant standard of international law had indeed been violated. The Tribunal in *Waste Management* has described this phenomenon in the following terms: 'in this context the notion of exhaustion of local remedies is incorporated into the substantive standard and is not only a procedural prerequisite to an international claim.'²²⁴

In a similar vein, the Tribunal in *Generation Ukraine v Ukraine* said:

the failure to seek redress from national authorities disqualifies the international claim, not because there is a requirement of *exhaustion* of local remedies but because the very reality of conduct tantamount to expropriation is doubtful in the absence of a *reasonable*—not necessarily exhaustive—effort by the investor to obtain correction.²²⁵

Therefore, under this theory an attempt to seek redress in the domestic courts would be required to demonstrate that a substantive standard, such as protection against uncompensated expropriation or fair and equitable treatment, has indeed been violated.

This theory has been criticized severely. In *Helnan v Egypt*, the Tribunal relied on the above passage from *Generation Ukraine*. It found that the claimant's failure to challenge a key ministerial decision in the Egyptian administrative courts meant that there was no violation of the BIT's standards of protection.²²⁶ This finding was subsequently annulled. The ad hoc Committee said:

A requirement to pursue local court remedies would have the effect of disentitling a claimant from pursuing its direct treaty claim for failure by the executive to afford fair and equitable treatment, even where the decision was taken at the highest

²²³ *Generation Ukraine v Ukraine*, Award, 16 September 2003, para 13.4.

²²⁴ *Waste Management v Mexico II*, Award, 30 April 2004, para 97. Footnote omitted.

²²⁵ *Generation Ukraine v Ukraine*, Award, 16 September 2003, para 20.30. Italics original. See also *EnCana v Ecuador*, Award, 3 February 2006, para 194.

²²⁶ *Helnan v Egypt*, Award, 3 July 2008, para 148.

level of government within the host State... Such a consequence would be contrary to the express provisions of Article 26, ...²²⁷

Some BITs provide that an investor, before bringing a dispute before an international tribunal, must seek its resolution before the host State's domestic courts for a certain period of time, often eighteen months. The investor may proceed to international arbitration if the domestic proceedings do not result in the dispute's settlement during that period or if the dispute persists after the domestic decision. For instance, the Argentina–Germany BIT provides in Article 10(2) that any investment dispute shall first be submitted to the host State's competent tribunals. The provision continues:

(3) The dispute may be submitted to an international arbitration tribunal in any of the following circumstances:

(a) at the request of one of the parties to the dispute if no decision on the merits of the claim has been rendered after the expiration of a period of eighteen months from the date in which the court proceedings referred to in para. 2 of this Article have been initiated, or if such decision has been rendered, but the dispute between the parties persist;

Tribunals have held that this was not an application of the exhaustion of local remedies rule.²²⁸ The usefulness of such a requirement is questionable. It creates a considerable burden to the party seeking arbitration with little chance of advancing the settlement of the dispute. A substantive decision by the domestic courts in a complex investment dispute is unlikely within eighteen months, certainly if one includes the possibility of appeals. Even if such a decision should have been rendered, the dispute is likely to persist if the investor is dissatisfied with the decision's outcome. Therefore, arbitration remains an option after the expiry of the period of eighteen months. It follows that the most likely effect of a clause of this kind is delay and additional cost, since it is unlikely that the dispute will be resolved before the domestic courts within that time frame. One tribunal called a provision of this kind 'nonsensical from a practical point of view'.²²⁹

In some cases, tribunals found the requirement to submit the dispute to domestic courts for a certain period not to be jurisdictional but procedural. Therefore, it could be handled with some flexibility²³⁰ and could be complied with subsequent

²²⁷ *Helnan v Egypt*, Decision on Annulment, 14 June 2010, paras 43–57 at para 53. See also U Kriebaum, 'Local Remedies and the Standards for the Protection of Foreign Investment' in C Binder et al (eds) *International Investment Law for the 21st Century* (2009) 417.

²²⁸ *Maffezini v Spain*, Decision on Jurisdiction, 25 January 2000, para 28; *Siemens v Argentina*, Decision on Jurisdiction, 3 August 2004, para 104; *Gas Natural v Argentina*, Decision on Jurisdiction, 17 June 2005, para 30.

²²⁹ *Plama v Bulgaria*, Decision on Jurisdiction, 8 February 2005, para 224.

²³⁰ *Telefónica v Argentina*, Decision on Jurisdiction, 25 May 2006, paras 91–93; *TSA Spectrum v Argentina*, Award, 19 December 2008, paras 98–113; *Teinver v Argentina*, Decision on Jurisdiction, 12

to the initiation of ICSID arbitration but before the decision on jurisdiction is taken.²³¹ Other tribunals have insisted on the requirement's jurisdictional nature and its strict application.²³²

In some cases, tribunals decided that there was no need to comply with directions contained in treaties to resort to domestic courts prior to the institution of arbitration proceedings since this would have been futile and would not have served any useful purpose.²³³

Investors were often able to avoid the application of such a rule by invoking MFN clauses which allowed them to rely on other BITs of the host State that did not contain that requirement.²³⁴

Where investors had sought relief in domestic courts before resorting to international arbitration, tribunals found that it did not matter whether that relief had been sought under domestic law or international law. Therefore, tribunals did not require that the cause of action before them and before the domestic courts was the same.²³⁵

(c) The fork in the road

Another way in which BITs sometimes refer to domestic courts is a so-called fork in the road provision. Such a clause provides that the investor must choose between litigation in the host State's domestic courts and international arbitration and that the choice, once made, is final. For instance, Article 8(2) of the Argentina–France BIT provides:

December 2012, para 135; *Philip Morris v Uruguay*, Decision on Jurisdiction, 2 July 2013, paras 98–150; *İçkale v Turkmenistan*, Award, 8 March 2016, paras 195–263.

²³¹ *Casinos Austria v Argentina*, Decision on Jurisdiction, 29 June 2018, paras 315–328, 337.

²³² *Maffezini v Spain*, Decision on Jurisdiction, 25 January 2000, paras 24–37; *Wintershall v Argentina*, Award, 8 December 2008, paras 114–157; *Impregilo v Argentina*, Award, 21 June 2011, paras 79–91; *Daimler v Argentina*, Award, 22 August 2012, paras 160–281; *Kiliç v Turkmenistan*, Award, 2 July 2013, paras 6.1.4–6.4.2.

²³³ *Abaclat v Argentina*, Decision on Jurisdiction and Admissibility, 4 August 2011, paras 585–591; *Urbaser v Argentina*, Decision on Jurisdiction, 19 December 2012, paras 106–202; *Ambiente Ufficio v Argentina*, Decision on Jurisdiction and Admissibility, 8 February 2013, para 620; *Alemanni v Argentina*, Decision on Jurisdiction and Admissibility, 17 November 2014, paras 302–317.

²³⁴ *Maffezini v Spain*, Decision on Jurisdiction, 25 January 2000, paras 54–64; *Siemens v Argentina*, Decision on Jurisdiction, 3 August 2004, paras 32–110; *Gas Natural v Argentina*, Decision on Jurisdiction, 17 June 2005, paras 24–49; *Suez and Interagua v Argentina*, Decision on Jurisdiction, 16 May 2006, paras 52–66; *National Grid v Argentina*, Decision on Jurisdiction, 20 June 2006, paras 80–93; *Suez and Vivendi v Argentina*, Decision on Jurisdiction, 3 August 2006, paras 52–68. But see *Wintershall v Argentina*, Award, 8 December 2008, paras 158–197.

²³⁵ *Teinver v Argentina*, Decision on Jurisdiction, 21 December 2012, paras 132–133; *Philip Morris v Uruguay*, Decision on Jurisdiction, 2 July 2013, para 113; *Dede v Romania*, Award, 5 September 2013, paras 247, 250–253; *İçkale v Turkmenistan*, Award, 8 March 2016, paras 262–263; *Salini Impregilo v Argentina*, Decision on Jurisdiction, 23 February 2018, paras 115–140; *Casinos Austria v Argentina*, Decision on Jurisdiction, 29 June 2018, paras 296–305.

Once an investor has submitted the dispute either to the jurisdictions of the Contracting Party involved or to international arbitration, the choice of one or the other of these procedures shall be final.

Similarly, under the ECT consent of the States Parties listed in Annex ID does not apply where the investor has previously submitted the dispute to the host State's courts.²³⁶

Investors or their subsidiaries are often drawn into local legal disputes of one sort or another. However, not every appearance before a court or tribunal of the host State will constitute a choice under a fork in the road provision. While such disputes may relate in some way to the investment, they are not necessarily identical to the dispute before the international tribunal. The appearance before a domestic court does not necessarily reflect a choice that would preclude international arbitration.

Tribunals have held that the loss of access to international arbitration under a fork in the road clause applies only if the 'triple identity test' is satisfied, that is, if the same dispute involving the same cause of action, the same object and the same parties has been submitted to the domestic courts of the host State.²³⁷

In *Yukos Universal v Russian Federation*,²³⁸ the claimant argued that an objection based on a fork in the road provision must be based on a prior proceeding that satisfies the 'triple identity' test. The Tribunal said:

there is ample authority for the application of a 'triple identity' test in the context of a 'fork-in-the-road' provision. To that extent, there is no question that the various Russian court proceedings and applications to the European Court of Human Rights cited by Respondent fail to trigger the 'fork-in-the-road provision' of the ECT.²³⁹

Tribunals have held that domestic proceedings related to proceedings before the international tribunal but dealing with a different basis of claim or cause of action did not constitute the choice foreseen by a fork in the road provision.²⁴⁰ They also

²³⁶ See Article 26(3)(b)(i) of the ECT.

²³⁷ *Lauder v Czech Republic*, Final Award, 3 September 2001, paras 156–166; *CMS v Argentina*, Decision on Jurisdiction, 17 July 2003, paras 77–82; *Azurix v Argentina*, Decision on Jurisdiction, 8 December 2003, paras 37–41, 86–92; *Enron v Argentina*, Decision on Jurisdiction, 14 January 2004, paras 95–98; *Occidental Exploration v Ecuador*, Award, 1 July 2004, paras 37–63; *LG&E v Argentina*, Decision on Jurisdiction, 30 April 2004, paras 75–76; *Pan American v Argentina*, Decision on Preliminary Objections, 27 July 2006, paras 155–157; *Toto v Lebanon*, Decision on Jurisdiction, 11 September 2009, paras 203–217; *Pey Casado v Chile*, Award, 8 May 2008, paras 467–498; *Khan Resources v Mongolia*, Decision on Jurisdiction, 25 July 2012, paras 390–400.

²³⁸ *Yukos Universal v Russian Federation*, Interim Award on Jurisdiction and Admissibility, 30 November 2009, paras 587–600; Final Award, 18 July 2014, paras 1256–1272.

²³⁹ Interim Award, para 598.

²⁴⁰ *Vivendi v Argentina*, Award, 21 November 2000, para 55; *Genin v Estonia*, Award, 25 June 2001, paras 321, 331–332; *Middle East Cement v Egypt*, Award, 12 April 2002, para 70–73.

held that only an identity of object in the domestic and international proceedings would trigger a fork in the road provision.²⁴¹ If there was no identity of the parties in the domestic and international proceedings the fork in the road did not apply.²⁴²

In a smaller group of cases tribunals found that fork in the road clauses, represented an obstacle to their jurisdiction since claimants had submitted their disputes with the respondent State to the domestic courts. In these cases, the tribunals did not apply the triple identity test but looked at the fundamental basis of the claim.²⁴³

(d) Waiver clauses

Some treaties providing for consent to arbitration require that the investor waive the right to initiate or continue dispute settlement procedures before domestic courts with respect to the same measures. Examples for clauses of this type are Article 1121(1) of the NAFTA, Article 14.D.5(1)(e) of the USMCA, and Article 10.18(2) of the DR-CAFTA. Tribunals have to assess the sufficiency of waivers under these treaties.²⁴⁴

In *Waste Management v Mexico*, the Tribunal found that the claimant's waiver did not satisfy Article 1121 of NAFTA. A waiver under Article 1121 could not be limited to claims specifically made under the NAFTA itself, but had to cover any claim concerning a measure that was in dispute, even if the basis of the claim was purely domestic. Therefore, the Tribunal declined jurisdiction.²⁴⁵ The claimant resubmitted the same claim to arbitration accompanied by an amended waiver. The second Tribunal decided that the first Tribunal's dismissal on jurisdictional grounds did not preclude the resubmission,²⁴⁶ and proceeded to give an Award on the merits.²⁴⁷

²⁴¹ *Olguín v Paraguay*, Decision on Jurisdiction, 8 August 2000, para 30; *Total v Argentina*, Decision on Liability, 27 December 2010, para 443; *Mobil v Argentina*, Decision on Jurisdiction and Liability, 10 April 2013, paras 139–146.

²⁴² *Champion Trading v Egypt*, Decision on Jurisdiction, 21 October 2003, sec 3.4.3; *LG&E v Argentina*, Decision on Jurisdiction, 30 April 2004, paras 19, 75; *Charanne v Spain*, Final Award, 21 January 2016, para 408; *Greentech v Italy*, Final Award, 23 December 2018, paras 195–205.

²⁴³ *Pantechniki v Albania*, Award, 30 July 2009, para 51 et seq; *H&H v Egypt*, Award, 6 May 2014, paras 366–378; *Supervisión y Control v Costa Rica*, Award, 18 January 2017, paras 294–318.

²⁴⁴ *Thunderbird v Mexico*, Award, 26 January 2006, paras 111–118; *Railroad Development v Guatemala*, Decision on Jurisdiction, 17 November 2008, paras 43–76; *Pac Rim v El Salvador*, Decision on Preliminary Objections, 2 August 2010, paras 173–188, 239–243, 250–253; *Commerce Group v El Salvador*, Award, 14 March 2011, paras 69–128; *Vannessa v Venezuela*, Award, 16 January 2013, para 229; *Corona v Dominican Republic*, Award, 31 May 2016, paras 10, 266–268; *Supervisión y Control v Costa Rica*, Award, 18 January 2017, paras 6, 133–146, 292–300; *Salini Impregilo v Argentina*, Decision on Jurisdiction, 23 February 2018, paras 141–149; *Casinos Austria v Argentina*, Decision on Jurisdiction, 29 June 2018, paras 329–335, 339.

²⁴⁵ *Waste Management v Mexico I*, Award, 2 June 2000.

²⁴⁶ *Waste Management v Mexico II*, Decision on Preliminary Objection Concerning the Previous Proceedings, 26 June 2002.

²⁴⁷ *Waste Management v Mexico II*, Award, 30 April 2004. See also *B-Mex v Mexico*, Partial Award, 19 July 2019, paras 43–44.

9. MFN clauses and dispute settlement

An MFN clause contained in a treaty will extend the better treatment granted to a third State or its nationals to a beneficiary of the treaty.²⁴⁸ Most BITs and some other treaties for the protection of investment²⁴⁹ contain MFN clauses. This has led to the question whether these clauses apply only to the treaty's substantive clauses or also to its provisions on dispute settlement.²⁵⁰

(a) The wording of MFN clauses

The extent to which MFN clauses apply depends primarily upon their exact wording. Most MFN clauses are worded in general terms and typically just refer to the treatment of investments. But some MFN clauses indicate whether they cover dispute settlement.²⁵¹

MFN clauses in British BITs typically specify the articles to which MFN treatment is to apply. In *Garanti Koza v Turkmenistan*, the United Kingdom–Turkmenistan BIT specified that its MFN clause applied to Articles 1–11. Since Article 8 of the BIT, dealing with investor–State arbitration, was among the listed Articles, the Tribunal found that the claimant, as a UK investor, was entitled by the MFN provision to avail itself of the more favourable dispute settlement provision contained in the Switzerland–Turkmenistan BIT.²⁵²

In *Beijing Urban Construction v Yemen*, Article 3 of the China–Yemen BIT contained an MFN clause that related to ‘treatment accorded to investors of the other Contracting Party in its territory’.²⁵³ The Tribunal rejected the application of this MFN clause to jurisdiction. The words ‘in its territory’ suggested the clause’s application to substantive rights and not to international arbitration, which is not an activity inherently linked to the host State’s territory.²⁵⁴

²⁴⁸ Generally on MFN clauses see VIII.5 above.

²⁴⁹ NAFTA Article 1103; USMCA Article 14.5; ECT Article 10(7).

²⁵⁰ Some tribunals have cast doubt on the validity of this distinction. See *RosInvest v Russian Federation*, Award on Jurisdiction, 5 October 2007, paras 131–132; *Renta 4 v Russian Federation*, Award on Preliminary Objections, 20 March 2009, paras 99–100.

²⁵¹ The UK Model BIT confirms ‘for the avoidance of doubt’ that MFN treatment applies to a list of Articles that include the settlement of investor–State disputes. The BIT between Austria and Kazakhstan in Article 3(3) specifically includes dispute settlement in its MFN clause.

²⁵² *Garanti Koza v Turkmenistan*, Decision on Jurisdiction, 3 July 2013, paras 39–96. In the same sense, *Krederi v Ukraine*, Award, 2 July 2018, paras 283–343.

²⁵³ Emphasis added.

²⁵⁴ *Beijing Urban Construction v Yemen*, Decision on Jurisdiction, 31 May 2017, paras 110–121.

(b) MFN treatment and conditions for the institution
of proceedings

The cases discussing the applicability of MFN clauses to conditions for the institution of proceedings, typically concerned the requirement to use domestic courts for a certain period of time before resorting to arbitration.

In *Maffezini v Spain*,²⁵⁵ the consent clause in the Argentina–Spain BIT required resort to the host State’s domestic courts for 18 months before the institution of arbitration. That BIT contained the following MFN clause: ‘In all matters subject to this Agreement, this treatment shall not be less favorable than that extended by each Party to the investments made in its territory by investors of a third country.’

On the basis of that clause, the Argentinean claimant relied on the Chile–Spain BIT which does not contain the requirement to try the host State’s courts for 18 months. The Tribunal undertook a detailed analysis of the applicability of MFN clauses to dispute settlement arrangements²⁵⁶ and concluded:

the most favored nation clause included in the Argentine–Spain BIT embraces the dispute settlement provisions of this treaty... the Tribunal concludes that Claimant had the right to submit the instant dispute to arbitration without first accessing the Spanish courts.²⁵⁷

At the same time, the *Maffezini* Tribunal warned against exaggerated expectations attached to the operation of MFN clauses and distinguished between the legitimate extension of rights and benefits and disruptive treaty-shopping. In particular, the MFN clause should not override public policy considerations that the contracting parties had in mind as fundamental conditions for their acceptance of the agreement.²⁵⁸

Subsequent decisions dealing with the application of MFN clauses to the requirement to seek a settlement in domestic courts for 18 months have adopted the same solution. The tribunals confirmed that the claimants were entitled to rely on the MFN clause in the applicable treaty to invoke the more favourable dispute settlement clause of another treaty that did not contain the 18-month rule.²⁵⁹ These

²⁵⁵ *Maffezini v Spain*, Decision on Jurisdiction, 25 January 2000.

²⁵⁶ At paras 38–64.

²⁵⁷ At para 64.

²⁵⁸ At paras 62–63.

²⁵⁹ *Siemens v Argentina*, Decision on Jurisdiction, 3 August 2004, paras 32–110; *Gas Natural v Argentina*, Decision on Jurisdiction, 17 June 2005, paras 24–31, 41–49; *Suez and Interagua v Argentina*, Decision on Jurisdiction, 16 May 2006, paras 52–66; *Suez and Vivendi v Argentina*, Decision on Jurisdiction, 3 August 2006, paras 52–68 (confirmed in Decision on Annulment, 5 May 2017, paras 220–261); *Telefónica v Argentina*, Decision on Jurisdiction, 25 May 2006, paras 91–114; *National Grid v Argentina*, Decision on Jurisdiction, 20 June 2006, paras 53–94; *Impregilo v Argentina*, Award, 21 June 2011, paras 51–109; *Hochtief v Argentina*, Decision on Jurisdiction, 24 October 2011, paras 56–99; *Teinver v Argentina*, Decision on Jurisdiction, 21 December 2012, paras 137–186.

tribunals expressed their conviction that arbitration was an important part of the protection of foreign investors and that MFN clauses should apply to dispute settlement. For instance, the Tribunal in *Gas Natural v Argentina* said:

assurance of independent international arbitration is an important—perhaps the most important—element in investor protection. Unless it appears clearly that the state parties to a BIT or the parties to a particular investment agreement settled on a different method for resolution of disputes that may arise, most-favored-nation provisions in BITs should be understood to be applicable to dispute settlement.²⁶⁰

However, practice on the application of MFN clauses to overcome procedural hurdles to arbitration is not uniform. In another group of cases, tribunals were more restrictive and refused to apply MFN clauses to overcome the requirement to first seek a remedy in domestic courts for a certain period of time.²⁶¹ In these decisions, tribunals relied on the central role of consent in international adjudication, on the *ejusdem generis* principle, on the Parties' presumed intention, as well as on the separability of dispute settlement clauses.

(c) MFN treatment and consent

In some cases, claimants invoked MFN clauses not to avoid procedural obstacles to the institution of proceedings but to overcome shortcomings in respondents' consent and to create a jurisdiction that was otherwise absent. In these cases, tribunals have overwhelmingly rejected reliance on MFN clauses.

In *Plama v Bulgaria*, the Tribunal found that it had jurisdiction on the basis of Article 26 of the ECT.²⁶² The claimant had additionally attempted to base the Tribunal's jurisdiction on the Bulgaria–Cyprus BIT. That BIT provides for investor–State arbitration only in very limited terms but it does contain an MFN clause that refers to 'treatment which is no less favourable'. The claimant sought to use that MFN clause to avail itself of the Bulgaria–Finland BIT which did provide for investor–State arbitration in broad terms. Therefore, the reliance on the MFN clause was not directed at overcoming a procedural obstacle but was an attempt to create a jurisdiction that would not have existed otherwise.

The Tribunal rejected this attempt stating that any intention to incorporate dispute settlement provisions from another treaty, by way of an MFN clause, would have to be expressed clearly and unambiguously. It said:

²⁶⁰ *Gas Natural v Argentina*, Decision on Jurisdiction, 17 June 2005, para 49.

²⁶¹ *Wintershall v Argentina*, Award, 8 December 2008, paras 158–197; *Daimler v Argentina*, Award, 22 August 2012, paras 160–281; *Kiliç v Turkmenistan*, Award, 2 July 2013, paras 7.1.1–7.9.1; *H&H v Egypt*, Award, 6 May 2014, paras 356–358.

²⁶² *Plama v Bulgaria*, Decision on Jurisdiction, 8 February 2005, para 179.

an MFN provision in a basic treaty does not incorporate by reference dispute settlement provisions in whole or in part set forth in another treaty, unless the MFN provision in the basic treaty leaves no doubt that the Contracting Parties intended to incorporate them.²⁶³

In *Telenor v Hungary*²⁶⁴ the clause in the BIT between Hungary and Norway, offering consent to investor–State arbitration, was limited to the compensation or other consequences of expropriation. The claimant sought to rely on the MFN clause in the BIT to benefit from wider dispute resolution provisions in BITs between Hungary and other countries. The Tribunal endorsed the solution adopted in *Plama*. It found that the term ‘treatment’ contained in the MFN clause referred to substantive but not to procedural rights. Deciding otherwise would lead to undesirable treaty-shopping creating uncertainty and instability. Also, the jurisdiction of an arbitral tribunal as determined by a BIT was not to be inferentially extended by an MFN clause seeing that Hungary and Norway had made a deliberate choice to limit arbitration.²⁶⁵ The Tribunal said:

The Tribunal therefore concludes that in the present case the MFN clause cannot be used to extend the Tribunal’s jurisdiction to categories of claim other than expropriation, for this would subvert the common intention of Hungary and Norway in entering into the BIT in question.²⁶⁶

In other cases too tribunals have rejected the reliance on MFN clauses to create or expand jurisdiction that did not exist under the basic treaty.²⁶⁷

Here too, however, practice is not uniform. A smaller number of tribunals have allowed the use of MFN clauses also to matters of jurisdiction to supplement consent.²⁶⁸ In *RosInvest v Russian Federation*,²⁶⁹ the UK–Russia BIT offered consent to jurisdiction over the amount of compensation in case of an expropriation. Based on an MFN clause in that treaty, the Tribunal applied a dispute settlement provision in the Denmark–Russia BIT which covered any dispute in connection with

²⁶³ At para 223.

²⁶⁴ *Telenor v Hungary*, Award, 13 September 2006.

²⁶⁵ At paras 90–97.

²⁶⁶ At para 100.

²⁶⁷ *Salini v Jordan*, Decision on Jurisdiction, 29 November 2004, paras 102–119; *Berschader v Russian Federation*, Award, 21 April 2006, paras 159–208; *Tza Yap Shum v Peru*, Decision on Jurisdiction and Competence, 19 June 2009, paras 189–220; *Austrian Airlines v Slovakia*, Final Award, 9 October 2009, paras 109–140; *Accession Mezzanine v Hungary*, Decision on Respondent’s Objection under Rule 41(5), 16 January 2013, paras 73–74; *Ansung Housing v China*, Award, 9 March 2017, paras 123–141; *Menzies v Senegal*, Award, 5 August 2016, paras 132–145; *A11Y v Czech Republic*, Decision on Jurisdiction, 9 February 2017, paras 92–108; *Doutremepuich v Mauritius*, Award on Jurisdiction, 23 August 2019, paras 188–236; *Itisaluna v Iraq*, Award, 3 April 2020, paras 192–225.

²⁶⁸ See also *UP and C.D v Hungary*, Decision on Jurisdiction, 3 March 2016, paras 159–222.

²⁶⁹ *RosInvest v Russian Federation*, Award on Jurisdiction, October 2007, paras 124–139.

an investment. The Tribunal noted that the very character of an MFN clause is that protection not accepted in one treaty is widened by transferring the protection accorded in another treaty.²⁷⁰ But the Tribunal's conclusion was limited to finding that the MFN clause enabled it to decide whether there had, in fact, been a valid expropriation.

The cases in which tribunals relied on MFN clauses may be distinguishable on factual grounds from those cases in which they did not. Most of the cases in which the tribunals accepted the applicability of the MFN clauses to dispute settlement concerned procedural obstacles. Most of the cases in which the effect of the MFN clauses was denied concerned attempts to extend consent to issues not covered by the arbitration clauses in the basic treaties. But not all cases fit this distinction. In addition, there is substantial contradiction in the reasoning of the tribunals. Both groups of tribunals made broad statements as to the applicability, or otherwise, of MFN clauses to dispute settlement in general. These broad statements are impossible to reconcile.²⁷¹

The widespread disagreement on this point is underlined by carefully drafted dissenting opinions to decisions dealing with MFN clauses and dispute settlement. This applies both to decisions permitting the use of MFN clauses in connection with dispute settlement²⁷² and to decisions disallowing their use.²⁷³

The acceptance of MFN clauses for purposes of attracting substantive standards from other treaties²⁷⁴ but their rejection when it comes to dispute settlement leads to a paradoxical situation. The importation of additional substantive standards of protection by way of an MFN clause inevitably has effects on the jurisdiction of tribunals. This is particularly evident where the jurisdiction of a tribunal is limited to violations of the treaty. For instance, if the basic treaty does not contain an umbrella clause or a guarantee of fair and equitable treatment, the applicability of these standards by way of an MFN clause will also widen the jurisdiction of a tribunal. The effect is that certain jurisdictional limitations in clauses dealing with dispute settlement can be overcome with the help of an MFN clause while others cannot.

The CETA and other treaties negotiated by the EU exclude not only investor-State dispute settlement procedures but also more favourable substantive obligations in other treaties from the effect of MFN clauses.²⁷⁵

²⁷⁰ At para 131.

²⁷¹ See S Schill, 'Maffezini v. Plama: Reflections on the Jurisprudential Schism in the Application of Most-Favored-Nation Clauses to Matters of Dispute Settlement' in M Kinnear et al (eds) *Building International Investment Law* (2016) 251.

²⁷² *Impregilo v Argentina*, Award, 21 June 2011, paras 51–109 (Diss Op B Stern); *Hochtief v Argentina*, Decision on Jurisdiction, 24 October 2011 (Diss Op C Thomas); *Garanti Koza v Turkmenistan*, Decision on Jurisdiction, 3 July 2013 (Diss Op L Boisson de Chazounes).

²⁷³ *Renta4 v Russian Federation*, Award on Preliminary Objections, 20 March 2009, paras 68–120 (Sep Op C Brower); *Austrian Airlines v Slovakia*, Final Award, 9 October 2009, paras 109–140 (Sep Op C Brower); *A11Y v Czech Republic*, Decision on Jurisdiction, 9 February 2017, para 108 (Decl S Alexandrov).

²⁷⁴ See VIII.5(e) above.

²⁷⁵ CETA Article 8.7.

(d) Cherry picking

Another open question is the effect of a successful invocation of an MFN clause. Does the MFN clause attract only those provisions of the third-party treaty that are beneficial to the party invoking it? Or does it lead to the substitution of the relevant provision in the basic treaty by the provision in the third-party treaty including those aspects that are less beneficial? For instance, if the MFN clause is used to avoid a requirement to resort to domestic courts for a certain period of time, would a fork in the road clause in the third-party treaty, that is not contained in the basic treaty, become applicable?

The Tribunal in *Siemens v Argentina* took the view that the party invoking the MFN clause could pick and chose. It said:

a benefit by the operation of an MFN clause does not carry with it the acceptance of all the terms of the treaty which provides for such benefit whether or not they are considered beneficial to the party making the claim;²⁷⁶ ... its application will be related only to the benefits that the treaty of reference may grant and to the extent that benefits are perceived to be such.²⁷⁷

The Tribunal in *Hochtief v Argentina* reached a different result. It found that the claimant could not use an MFN clause to avoid the requirement to litigate in domestic courts for 18 months without at the same time being subject to a fork in the road provision in the third-party treaty. The Tribunal said: 'The MFN provision does not permit the selective picking of components from each set of conditions, so as to manufacture a synthetic set of conditions to which no State's nationals would be entitled.'²⁷⁸

10. Treaty claims and contract claims

(a) The selection of domestic courts in contracts

Contracts between host States and foreign investors frequently contain forum selection clauses that refer disputes arising from the application of these contracts to the host States' domestic courts. When disputes in connection with the

²⁷⁶ *Siemens v Argentina*, Decision on Jurisdiction, 3 August 2004, para 109.

²⁷⁷ At para 120. See also *RosInvest v Russian Federation*, Final Award, 12 September 2010, paras 269–271; *Garanti Koza v Turkmenistan*, Decision on the Objection to Jurisdiction for Lack of Consent, 3 July 2013, para 76.

²⁷⁸ *Hochtief v Argentina*, Decision on Jurisdiction, 24 October 2011, para 98. Underlining original. See also *ICS v Argentina I*, Award on Jurisdiction, 10 February 2012, para 320; *Daimler v Argentina*, Award, 22 August 2012, paras 244–250.

investments arose, investors would invoke the provisions of treaties, usually BITs, granting them access to international arbitration. In turn, the host States would rely on the forum selection clauses in the contracts arguing that the investors had waived their right to international arbitration.

The arbitral tribunals confronted with these arguments have taken a differentiated attitude.²⁷⁹ *Vivendi v Argentina I*,²⁸⁰ involved a concession contract between the French investor and a province of Argentina. The contract contained a forum selection that referred disputes arising from the contract to the jurisdiction of the province's courts. The investor, seeking to bring its claim before an international tribunal rather than before a domestic court, relied on the BIT between Argentina and France to establish the jurisdiction of ICSID. Argentina challenged the ICSID Tribunal's jurisdiction by relying on the forum selection clause in the Concession Contract.

The ICSID Tribunal distinguished between claims based on the BIT and claims based on the Concession Contract. The forum selection clause in the Concession Contract did not affect the claimant's right to go to international arbitration to pursue violations of the BIT.²⁸¹ Nevertheless, the Tribunal found that all claims were closely linked to the performance of the Concession Contract and that it was impossible to separate the two types of claims. Therefore, resort to ICSID arbitration should be open to claimants only after they had failed in the pursuit of their claims before the domestic courts. The Tribunal added that the need to resort to domestic courts was not based on a requirement to exhaust local remedies but was based on the Concession Contract's forum selection clause.²⁸²

The Award was partly annulled.²⁸³ The ad hoc Committee, which had to decide on the request for annulment of the Award, found that the Tribunal had manifestly exceeded its powers by not examining the merits of some of the claims before it. The Committee ruled that a particular investment dispute may at the same time involve issues of the interpretation and application of a treaty and of a contract.²⁸⁴ On the relation between breach of treaty and breach of contract, the ad hoc Committee pointed out that these related to independent standards:

A state may breach a treaty without breaching a contract, and *vice versa* . . . whether there has been a breach of the BIT and whether there has been a breach of contract are different questions. . . the existence of an exclusive jurisdiction clause in a

²⁷⁹ In some cases, tribunals denied the existence of a forum selection seeing that the domestic courts had jurisdiction anyway under domestic law and that this jurisdiction was not subject to agreement or waiver: *LANCO v Argentina*, Decision on Jurisdiction, 8 December 1998, para 26; *Salini v Morocco*, Decision on Jurisdiction, 16 July 2001, paras 25–27.

²⁸⁰ *Vivendi v Argentina*, Award, 21 November 2000.

²⁸¹ At paras 53–54.

²⁸² At paras 77–81.

²⁸³ *Vivendi v Argentina*, Decision on Annulment, 3 July 2002.

²⁸⁴ At paras 60, 72, 76.

contract between the claimant and the respondent state or one of its subdivisions cannot operate as a bar to the application of the treaty standard... A state cannot rely on an exclusive jurisdiction clause in a contract to avoid the characterisation of its conduct as internationally unlawful under a treaty.²⁸⁵

The Decision on Annulment in *Vivendi* established the principle that a forum selection clause in a contract pointing to domestic courts will not oust the jurisdiction of an international tribunal based on a treaty. The decisive reason is that contract claims and treaty claims have different legal bases. Practice has since followed the distinction between contract claims, which are subject to contractual forum selection clauses, and treaty claims which are unaffected by such clauses. Under this practice the treaty-based jurisdiction of international arbitral tribunals to decide on violations of these treaties is not affected by domestic forum selection clauses in contracts. The contractual selection of domestic courts is restricted to violations of the respective contracts.²⁸⁶

For instance, in *AES v Argentina*, the jurisdiction of the international Tribunal was based on an offer of consent, accepted by the investor, in the BIT between Argentina and the United States. Argentina relied on forum selection clauses contained in concession contracts and objected to ICSID's jurisdiction. The Tribunal rejected Argentina's argument. It said:

the Entities concerned have consented to a forum selection clause electing Administrative Argentine law and exclusive jurisdiction of Argentine administrative tribunals in the concession contracts and related documents. But this

²⁸⁵ At paras 95–96, 101, 103.

²⁸⁶ *CMS v Argentina*, Decision on Jurisdiction, 17 July 2003, paras 70–76; *SGS v Pakistan*, Decision on Jurisdiction, 6 August 2003, paras 43–74, 147–173; *Azurix v Argentina*, Decision on Jurisdiction, 8 December 2003, paras 26–36, 75–79; *Enron v Argentina*, Decision on Jurisdiction, 14 January 2004, paras 89–94; *SGS v Philippines*, Decision on Jurisdiction, 29 January 2004, paras 136–155, 160–163; *LG&E v Argentina*, Decision on Jurisdiction, 30 April 2004, paras 58–62; *Siemens v Argentina*, Decision on Jurisdiction, 3 August 2004, paras 174–183; *Salini v Jordan*, Decision on Jurisdiction, 29 November 2004, paras 92–96; *Impregilo v Pakistan*, Decision on Jurisdiction, 22 April 2005, paras 286–289; *Camuzzi v Argentina*, Decision on Jurisdiction, 11 May 2005, paras 105–119; *Sempra v Argentina*, Decision on Jurisdiction, 11 May 2005, paras 116–128; *Eureko v Poland*, Partial Award, 19 August 2005, paras 81, 89, 92–114; *Aguas del Tunari v Bolivia*, Decision on Jurisdiction, 21 October 2005, paras 94–123; *Bayindir v Pakistan*, Decision on Jurisdiction, 14 November 2005, paras 139–167; *Suez and InterAgua v Argentina*, Decision on Jurisdiction, 16 May 2006, paras 41–45; *National Grid v Argentina*, Decision on Jurisdiction, 20 June 2006, paras 167–170; *Inceysa v El Salvador*, Award, 2 August 2006, paras 43, 212–217; *Total v Argentina*, Decision on Jurisdiction, 25 August 2006, paras 82–85; *Fraport v Philippines I*, Award, 16 August 2007, paras 388–391; *Vivendi v Argentina*, Resubmitted Case: Award, 20 August 2007, paras 7.3.1–7.3.11.; *Helnan v Egypt*, Award, 3 July 2008, paras 102–103; *TSA Spectrum v Argentina*, Award, 19 December 2008, paras 42–66; *Enron v Argentina*, Decision on Annulment, 30 July 2010, paras 128–150; *Abaclat v Argentina*, Decision on Jurisdiction and Admissibility, 4 August 2011, paras 498–499; *Impregilo v Argentina*, Award, 21 June 2011, paras 141–189; *Crystallex v Venezuela* Award, 4 April 2016, paras 471–484, 686–708; *MNSS v Montenegro*, Award, 4 May 2016, paras 148–159; *Casinos Austria v Argentina*, Decision on Jurisdiction, 29 June 2018, paras 214–222; *ESPF v Italy*, Award, 14 September 2020, paras 358–377.

exclusivity only plays within the Argentinean legal order, for matters in relation with the execution of these concession contracts. They do not preclude AES from exercising its rights as resulting, within the international legal order from two international treaties, namely the US–Argentina BIT and the ICSID Convention.

94. In other terms, the present Tribunal has jurisdiction over any alleged breach by Argentina of its obligations under the US–Argentina BIT.²⁸⁷

Umbrella clauses will convert contract breaches into treaty breaches, although this point is not undisputed.²⁸⁸ Some tribunals have held that a forum selection clause in a contract constitutes a waiver of treaty-based jurisdiction over contract claims and that such claims could not be submitted to investor–State arbitration, including by virtue of the operation of the umbrella clause, either because the tribunal lacks jurisdiction²⁸⁹ or because the claims are inadmissible.²⁹⁰

(b) Jurisdiction of international tribunals over contract claims

The distinction between contract claims and treaty claims has appeared in many investment arbitrations.²⁹¹ In disputes before tribunals established under treaties, the question arises whether jurisdiction is limited to claims arising from violations of the treaty's substantive standards or extends to alleged violations of contracts. It is incorrect to assume that the jurisdiction of a treaty-based tribunal is necessarily restricted to violations of the treaty's substantive provisions. An investment

²⁸⁷ *AES v Argentina*, Decision on Jurisdiction, 26 April 2005, paras 93–94.

²⁸⁸ See VIII.6 above.

²⁸⁹ *Toto v Lebanon*, Decision on Jurisdiction, 11 September 2009, paras 187–202; *MNSS v Montenegro*, Award, 4 May 2016, paras 148–165, 308–310.

²⁹⁰ *SGS v Philippines*, Decision on Jurisdiction, 29 January 2004, paras 113–155; *BIVAC v Paraguay*, Decision on Jurisdiction, 29 May 2009, paras 143–159; *Bosh v Ukraine*, Award, 25 October 2012, paras 242–259. But see: *SGS v Paraguay*, Decision on Jurisdiction, 12 February 2010, paras 172–180.

²⁹¹ *El Paso v Argentina*, Decision on Jurisdiction, 27 April 2006, paras 63–65; *Jan de Nul v Egypt*, Decision on Jurisdiction, 16 June 2006, paras 79–82; *LESI & ASTALDI v Algeria*, Decision on Jurisdiction, 12 July 2006, para 84; *Telenor v Hungary*, Award, 13 September 2006, paras 32, 50, 47(1), 50; *Saipem v Bangladesh*, Decision on Jurisdiction, 21 March 2007, paras 139–142; *Parkerings v Lithuania*, Award, 11 September 2007, paras 257, 260–266, 289, 317, 345; *BG Group v Argentina*, Final Award, 24 December 2007, paras 177–185; *Helnan v Egypt*, Award, 3 July 2008, paras 102, 107; Decision on Annulment, 14 June 2010, paras 58–66; *Biwater Gauff v Tanzania*, Award, 24 July 2008, paras 468–475; *Rumeli v Kazakhstan*, Award, 29 July 2008, para 330; *Bayindir v Pakistan*, Award, 27 August 2009, paras 133–139, 197, 367–375; *Toto v Lebanon*, Decision on Jurisdiction, 11 September 2009, paras 95–130; *Burlington v Ecuador*, Decision on Jurisdiction, 2 June 2010, paras 76–81; *Hamester v Ghana*, Award, 18 June 2010, paras 325–331; *Daimler v Argentina*, Award, 22 August 2012, paras 54–64; *Tenaris v Venezuela I*, Award, 29 January 2016, paras 300–312; *Ampal-American v Egypt*, Decision on Jurisdiction, 1 February 2016, paras 249–257; *İçkale v Turkmenistan*, Award, 8 March 2016, paras 306–310; *Saint-Gobain v Venezuela*, Decision on Liability and the Principles of Quantum, 30 December 2016, paras 369–373; *Beijing Urban Construction v Yemen*, Decision on Jurisdiction, 31 May 2017, paras 139–146.

tribunal may well have jurisdiction over contract claims. This may be a consequence of broadly worded jurisdiction clauses covering all types of investment disputes.²⁹²

The scope of jurisdiction, as determined by treaty clauses providing for consent to arbitration, varies.²⁹³ Under some treaties, jurisdiction for investor–State disputes is limited to disputes arising out of the interpretation and application of the treaty’s substantive standards. For instance, under Article 26(1) of the ECT, the scope of the consent is limited to disputes ‘which concern an alleged breach of an obligation ... under Part III [of the ECT]’.²⁹⁴

By contrast, many BITs, in their consent clauses, contain phrases such as ‘all disputes concerning investments’ or ‘any legal dispute concerning an investment’. These provisions do not restrict a tribunal’s jurisdiction to claims arising from alleged violations of the BITs’ substantive standards. By their own terms, these consent clauses encompass disputes that go beyond the interpretation and application of the BIT itself and include disputes that arise from a contract and other rules of law in connection with the investment.²⁹⁵

Therefore, a tribunal, whose jurisdiction derives from an offer of consent in a treaty, is not necessarily restricted to applying the substantive protections of that treaty. If the clause circumscribing its jurisdiction is sufficiently broad to cover bases of claims that include contracts, the tribunal is authorized to entertain claims based on contract.²⁹⁶

In *Metal-Tech v Uzbekistan*, the Tribunal said:

Article 8 of the Treaty contains the consent of the Contracting Parties to submit to ICSID any ‘any legal dispute ... concerning an investment of the latter in the territory of the former.’ Article 8 is thus a broad dispute resolution clause not limited to claims arising under the standards of protection of the BIT.²⁹⁷

²⁹² See C Schreuer, ‘Jurisdiction and Applicable Law in Investment Treaty Arbitration’ (2014) 1 *MJDR* 1, 6.

²⁹³ See also XII.7(f) above.

²⁹⁴ Similarly, under Article 1116 of the NAFTA the scope of the consent to arbitration was limited to claims arising from alleged breaches of the NAFTA itself.

²⁹⁵ *Salini v Morocco*, Decision on Jurisdiction, 16 July 2001, para 61; *Tokios Tokelès v Ukraine*, Decision on Jurisdiction, 29 April 2004, para 52, note 42; *Siemens v Argentina*, Award, 6 February 2007, para 205. See also the discussions in *Salini v Jordan*, Decision on Jurisdiction, 29 November 2004, paras 97–101; *Bayindir v Pakistan*, Decision on Jurisdiction, 15 November 2005, paras 57, 82, 102, 188; *Vivendi v Argentina*, Decision on Annulment, 3 July 2002, para 55; *Parkerings v Lithuania*, Award, 11 September 2007, paras 261–266; *MCI v Ecuador*, Decision on Annulment, 19 October 2009, paras 71–72; *SGS v Paraguay*, Decision on Jurisdiction, 12 February 2010, paras 129, 183–184; *Alpha v Ukraine*, Award, 8 November 2010, para 243; *Philip Morris v Uruguay*, Decision on Jurisdiction, 2 July 2013, paras 107, 109. *Contra*: *SGS v Pakistan*, Decision on Jurisdiction, 6 August 2003, para 161.

²⁹⁶ See S Alexandrov, ‘Breaches of Contract and Breaches of Treaty’ (2004) 5 *JWIT* 555, 572; AM Steingruber, *Consent in International Arbitration* (2012) 299–302.

²⁹⁷ *Metal-Tech v Uzbekistan*, Award, 4 October 2013, para 378.

(c) Distinguishing treaty claims from contract claims

In many cases, the need remains to distinguish treaty claims from contract claims. The distinction between contract claims and treaty claims is a recurrent feature in many investment arbitrations.²⁹⁸ The respondent's objection that the case only involves contract claims and the claimant's insistence on its treaty rights have become routine arguments in these cases.²⁹⁹

A clear-cut separation between treaty claims and contract claims is often difficult and hinges on the facts of each case. A particular course of action by the host State may well constitute a breach of contract as well as a violation of international law. The two categories are not mutually exclusive. Rather, two different standards must be applied to determine whether one or the other or both have been violated.

Tribunals have found that the nature of a claim as treaty or contract based, depended on how claimants presented their case. Therefore, for purposes of jurisdiction, the characterization of the claims must be undertaken primarily by reference

²⁹⁸ *Vivendi v Argentina*, Award, 21 November 2000, paras 53, 54; Decision on Annulment, 3 July 2002, paras 4160, 95, 96, 101–112; *CMS v Argentina*, Decision on Jurisdiction, 17 July 2003, 70–76; *SGS v Pakistan*, Decision on Jurisdiction, 6 August 2003, 43, 44, 48–74, 147–173; *Azurix v Argentina*, Decision on Jurisdiction, 8 December 2003, paras 26, 79; *Enron v Argentina*, Decision on Jurisdiction, 14 January 2004, para 91; *IBM v Ecuador*, Decision on Jurisdiction and Competence, 22 December 2003, paras 50–70; *LG&E v Argentina*, Decision on Jurisdiction, 30 April 2004, paras 58–62; *Siemens v Argentina*, Decision on Jurisdiction, 3 August 2004, paras 174–183; *Salini v Jordan*, Decision on Jurisdiction, 29 November 2004, paras 92–96; *Impregilo v Pakistan*, Decision on Jurisdiction, 22 April 2005, paras 219, 258, 286–289; *AES v Argentina*, Decision on Jurisdiction, 26 April 2005, paras 90–99; *Camuzzi v Argentina*, Decision on Jurisdiction, 11 May 2005, paras 105–119; *Sempra v Argentina*, Decision on Jurisdiction, 11 May 2005, paras 95–101; *Aguas del Tunari v Bolivia*, Decision on Jurisdiction, 21 October 2005, paras 94–123; *Suez and InterAgua v Argentina*, Decision on Jurisdiction, 16 May 2006, paras 41–45; *National Grid v Argentina*, Decision on Jurisdiction, 20 June 2006, paras 167–170; *Vivendi v Argentina*, Resubmitted Case: Award, 20 August 2007, paras 7.3.1–7.3.11.; *TSA Spectrum v Argentina*, Award, 19 December 2008, para 58; *Gemplus v Mexico*, Award, 16 June 2010, paras 6–22, 6–25, 8–26; *Malicorp v Egypt*, Award, 7 February 2011, para 103; *Abaclat v Argentina*, Decision on Jurisdiction and Admissibility, 4 August 2011, paras 302–332; *Philip Morris v Uruguay*, Decision on Jurisdiction, 2 July 2013, paras 107–113; *Tulip v Turkey*, Award, 10 March 2014, paras 329–365; *Venezuela Holdings v Venezuela*, Award, 9 October 2014, para 254; *İçkale v Turkmenistan*, Award, 8 March 2016, paras 306–310; *Saint-Gobain v Venezuela*, Decision on Liability and the Principles of Quantum, 30 December 2016, paras 369–373; *Supervisión y Control v Costa Rica*, Award, 18 January 2017, paras 278–279; *Karkey v Pakistan*, Award, 22 August 2017, paras 562–563; *CMC v Mozambique*, Award, 24 October 2019, paras 219–222.

²⁹⁹ *El Paso v Argentina*, Decision on Jurisdiction, 27 April 2006, paras 63–65; *Telefónica v Argentina*, Decision on Jurisdiction, 25 May 2006, paras 21–22; *Jan de Nul v Egypt*, Decision on Jurisdiction, 16 June 2006, paras 79–82; *LESI & ASTALDI v Algeria*, Decision on Jurisdiction, 12 July 2006, para 84; *Telenor v Hungary*, Award, 13 September 2006, paras 32, 47(1), 50; *Saipem v Bangladesh*, Decision on Jurisdiction, 21 March 2007, paras 139–142; *Parkerings v Lithuania*, Award, 11 September 2007, paras 257, 260–266, 289, 317, 345; *BG Group v Argentina*, Final Award, 24 December 2007, paras 177–185; *Helnan v Egypt*, Award, 3 July 2008, paras 102, 107; *Biwater Gauff v Tanzania*, Award, 24 July 2008, paras 468–475; *Rumeli v Kazakhstan*, Award, 29 July 2008, para 330; *Bayindir v Pakistan*, Award, 27 August 2009, paras 133–139, 197, 367–375; *Toto v Lebanon*, Decision on Jurisdiction, 11 September 2009, paras 95–130; *Burlington v Ecuador*, Decision on Jurisdiction, 2 June 2010, paras 76–81; *Helnan v Egypt*, Decision on Annulment, 14 June 2010, paras 58–66; *Beijing Urban Construction v Yemen*, Decision on Jurisdiction, 31 May 2017, paras 139–145; *Unión Fenosa v Egypt*, Award, 31 August 2018, para 9.55; *ICS v Argentina II*, Award on Jurisdiction, 8 July 2019, paras 319–321, 324.

to the claimant's pleadings. It follows that whether for purposes of jurisdiction a dispute arises from a contract or from the treaty depends on how the claims are put forward by the claimant.³⁰⁰

In *Saipem v Bangladesh*, the respondent had submitted that the claim was in reality a contractual claim dressed up as a treaty claim. The Tribunal rejected this contention and said:

In the Tribunal's view, the essence of Saipem's case is that the courts of Bangladesh acted in violation of the New York Convention and in an 'illegal, arbitrary and idiosyncratic' manner amounting to a violation of the protection afforded to foreign investors under Article 5 of the BIT. Saipem does not request relief under the Contract; it does not raise contract claims over which the Tribunal would have no jurisdiction.³⁰¹

The fact that claims are closely related to a contract does not disqualify them as treaty claims. The Tribunal in *BG Group v Argentina* said in this respect:

The fact that claims under a treaty may relate to underlying rights set out in domestic law, or in a concession, license or contract is not, in and of itself, an impediment to adjudication in the treaty forum. . . .³⁰²

In some cases, the tribunals did not restrict themselves to looking at the claims as presented by the claimants but examined whether the treaty claims put forward by them were plausible.³⁰³ In *Crystalex v Venezuela*, the Tribunal was not content with accepting the treaty claims as formulated by the claimant. It said:

³⁰⁰ *Vivendi v Argentina*, Award, 21 November 2000, para 53 and Decision on Annulment, 3 July 2002, para 74; *SGS v Pakistan*, Decision on Jurisdiction, 6 August 2003, paras 144–145; *Azurix v Argentina*, Decision on Jurisdiction, 8 December 2003, para 76; *Siemens v Argentina*, Decision on Jurisdiction, 3 August 2004, para 180; *Camuzzi v Argentina*, Decision on Jurisdiction, 11 May 2005, paras 83–90; *Telefónica v Argentina*, Decision on Jurisdiction, 25 May 2006, para 87; *Rumeli v Kazakhstan*, Award, 29 July 2008, para 330; *SGS v Paraguay*, Decision on Jurisdiction, 12 February 2010, para 137; *Daimler v Argentina*, Award, 22 August 2012, para 62; *Tenaris v Venezuela I*, Award, 29 January 2016, paras 300–312; *Ampal-American v Egypt*, Decision on Jurisdiction, 1 February 2016, paras 249–257.

³⁰¹ *Saipem v Bangladesh*, Decision on Jurisdiction, 21 March 2007, para 141.

³⁰² *BG Group v Argentina*, Final Award, 24 December 2007, para 181.

³⁰³ *Azinian v Mexico*, Award, 1 November 1999, paras 86–92; *UPS v Canada*, Award on Jurisdiction, 22 November 2002, paras 33–37; *SGS v Philippines*, Decision on Jurisdiction, 29 January 2004, paras 26, 72, 83, 96(e), 157, 160–164, 169(5); *PSEG v Turkey*, Decision on Jurisdiction, 4 June 2004, paras 63–65; *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, paras 47, 80, 89, 92; *Joy Mining v Egypt*, Award on Jurisdiction, 6 August 2004, paras 29, 30, 78; *Salini v Jordan*, Decision on Jurisdiction, 29 November 2004, paras 131–151; *Impregilo v Pakistan*, Decision on Jurisdiction, 22 April 2005, paras 237–254; *Bayindir v Pakistan*, Decision on Jurisdiction, 14 November 2005, paras 185–247; *RSM v Grenada II*, Award, 10 December 2010, paras 7.3.6–7.3.7; *Glencore v Colombia*, Award, 27 August 2019, paras 1036–1038.

The Tribunal's starting point will be the Claimant's prayers for relief and the formulation of its claims, as it is for a claimant to file its claim and thus define the nature of the claim that it submits before a tribunal. However, it would of course not be sufficient for a claimant to simply label contract breaches as treaty breaches to avoid the jurisdictional hurdles present in a BIT. The Tribunal's jurisdictional inquiry is a matter of objective determination, and the Tribunal would in case of pure 'labeling' be at liberty and have the duty to re-characterize the alleged breaches.³⁰⁴

The separate treatment of contract claims and treaty claims leads to situations where the claimant may be compelled to pursue part of its claim through national and another part through international procedures. This has undesirable consequences. The need to dissect cases into contract claims and treaty claims to be dealt with by separate fora requires claim splitting and has the potential of leading to parallel proceedings. This is uneconomical and contrary to the goal of reaching final and comprehensive resolutions of disputes.

11. Procedure

(a) Arbitration rules

Arbitration requires a comprehensive body of procedural rules. In investment arbitration the most commonly applied set of rules are those provided for in the ICSID Convention and in the ICSID Arbitration Rules. In addition, ICSID offers a set of Institution Rules as well as Administrative and Financial Regulations. The Regulations and Rules are adopted by ICSID's Administrative Council. An amendment of the ICSID Rules and Regulations came into effect on 10 April 2006. At the time of writing these Rules and Regulations are in the process of being replaced by a new set of Rules and Regulations.

Article 44 of the ICSID Convention provides that arbitration proceedings are to be conducted in accordance with the Convention and, except as the parties otherwise agree, in accordance with the Arbitration Rules in effect on the date on which the parties consented to arbitration. This means that after the adoption of a new set of Rules, the previous ones will continue to apply for some time.

The parties may agree on a modification of the Arbitration Rules, but certain international minimum standards of fair procedure must be observed by the parties when agreeing on procedural issues. These standards would include such principles as the tribunal's obligation to hear both sides (*audiatur et altera pars*), each

³⁰⁴ *Crystallex v Venezuela*, Award, 4 April 2016, para 475.

party's right to be informed of the other side's arguments and equal treatment of the parties.³⁰⁵

Procedural questions are typically discussed and agreed upon between the parties and the tribunal at the tribunal's first session. The agreements on procedure are almost invariably recorded in the form of the tribunal's Procedural Order No 1. Any question of procedure not covered by the Convention, the Arbitration Rules or an agreement is to be decided by the tribunal usually in the form of procedural orders.

ICSID proceedings are self-contained and denationalized; that is, they are independent of any national law including the law of the tribunal's seat. Domestic courts do not have the power to intervene.

Non-ICSID arbitration is governed by other sets of rules. Proceedings under the Additional Facility are subject to the Arbitration (Additional Facility) Rules. Proceedings under the auspices of other arbitration institutions are subject to the respective rules provided by these institutions.³⁰⁶ For ad hoc arbitration, the parties frequently select the UNCITRAL Arbitration Rules.³⁰⁷ Non-ICSID proceedings are not insulated from national law. For the sake of convenience, this Chapter focuses on ICSID procedure.

(b) Institution of proceedings

ICSID proceedings are initiated by a request for arbitration directed to the Secretary-General of ICSID.³⁰⁸ The request may be submitted by either the investor or the host State. In practice, the investor is nearly always the claimant. The request must be drafted in one of ICSID's official languages (English, French, and Spanish). A non-refundable lodging fee of USD25,000 is due with the request. After the tribunal's constitution, an administrative fee of USD42,000 is payable per year.

The request for arbitration must contain information concerning the dispute, the parties and the jurisdictional requirements, including the basis of consent.³⁰⁹ The Secretary-General will register the request unless she finds that the dispute is manifestly outside the Centre's jurisdiction.³¹⁰ Registration is often preceded by correspondence with both parties and a call by ICSID for further clarifications. Once the request is registered, the Secretary-General will notify the parties in writing.

³⁰⁵ *MINE v Guinea*, Decision on Annulment, 14 December 1989, para 5.06.

³⁰⁶ See XII.4(c) above.

³⁰⁷ The original UNCITRAL Arbitration Rules were adopted in 1976, (1976) 15 ILM 701. A revised version was adopted by UN General Assembly resolution 65/22 in 2010. In 2013, a new Article 1, para 4 was added dealing with transparency.

³⁰⁸ ICSID Convention Article 36(1).

³⁰⁹ ICSID Convention Article 36(2); Institution Rule 2.

³¹⁰ ICSID Convention Article 36(3).

A decision by the Secretary-General to register a request for arbitration does not bind the tribunal in its determination of jurisdiction. A respondent remains free to raise jurisdictional objections and a tribunal remains free to accept or decline jurisdiction.

A decision by the Secretary-General not to register a request for arbitration is final and not subject to any form of review, but a party may at any time submit a new request based on the same claim.³¹¹ A new request would have to follow the same procedure including the payment of the lodging fee.

(c) Constitution and composition of the tribunal

Tribunals are nearly always composed of three arbitrators. Sole arbitrators are relatively rare. Under the standard procedure for the appointment of arbitrators at ICSID, each party appoints one arbitrator and the third, who is the tribunal's president, is appointed by agreement of the parties.³¹² A different mode of appointment may be agreed by the parties.³¹³ Sometimes the two party-appointed arbitrators are charged with the appointment of the tribunal's president.

If the tribunal is not constituted after 90 days, either party may request the Chairman of the Administrative Council³¹⁴ to make any outstanding appointments.³¹⁵ In doing so, the Chairman will consult with the parties as far as possible. The purpose of this provision is to avoid a stalemate if one party is uncooperative. The Chairman is bound to make this appointment from the Panel of Arbitrators kept by ICSID.³¹⁶ Arbitrators thus appointed must not be nationals of the State party to the dispute or co-nationals of the investor party to the dispute.

In the case of party-appointed arbitrators, national arbitrators are also excluded.³¹⁷ But this prohibition would not apply if each individual member of the tribunal is appointed by agreement of the parties. The idea behind this rule is to guarantee maximum objectivity of the arbitrators.

There are no rules on the nationality of arbitrators not related to the two parties. Also, there is no requirement that the arbitrators represent different forms of civilization or different legal systems. Nor is there a rule requiring arbitrators on a

³¹¹ *Accession Mezzanine v Hungary*, Decision on Jurisdiction, 8 August 2013, paras 7–8.

³¹² ICSID Convention Article 37(2)(b).

³¹³ ICSID Arbitration Rule 2.

³¹⁴ Under Article 5 of the Convention the President of the International Bank for Reconstruction and Development is *ex officio* Chairman of ICSID's Administrative Council.

³¹⁵ ICSID Convention Article 38.

³¹⁶ ICSID Convention Article 40(1). Articles 12 to 16 of the Convention establish a Panel of Arbitrators to be maintained by the Centre.

³¹⁷ This effect is achieved through Article 39 and Arbitration Rule 1(3).

tribunal to be of different nationalities.³¹⁸ There has been some concern about the insufficient representation of arbitrators from developing countries³¹⁹ although this situation is improving.

Arbitrators must be of high moral character, have recognized competence in the fields of law, commerce, industry, or finance and may be relied upon to exercise independent judgment.³²⁰ In addition, arbitrators must be independent of the parties. Each arbitrator must sign a declaration providing details of any relationships with the parties.³²¹ Arbitrators have a continuing obligation to notify any relationship or relevant circumstance that may arise during the arbitral proceedings. A conflict of interest is a bar to the appointment and may lead to the arbitrator's disqualification.

Once a tribunal is constituted its composition is fixed and can only change under limited circumstances. In case of the death, incapacity, or resignation of an arbitrator the resulting vacancy will be filled by the same method that was applied for the original appointment.³²²

A party may propose the disqualification of an arbitrator on the ground that the arbitrator manifestly lacks the qualities required for his or her appointment.³²³ The decision on a proposal to disqualify is made by the unchallenged members of the tribunal. If the unchallenged members do not agree the decision is made by the Chairman of the Administrative Council who also decides if a sole arbitrator or a majority of the arbitrators is challenged.³²⁴

Proposals for disqualification typically involve allegations of a conflict of interest or other lack of independent judgment,³²⁵ although non-compliance with the nationality requirements under the Convention is another possible ground.³²⁶

³¹⁸ Some tribunals were composed, by agreement of the parties, of three arbitrators who all had the nationality of the respondent State. See *IBM v Ecuador*, Decision on Jurisdiction and Competence, 22 December 2003, para 4.

³¹⁹ AK Bjorklund et al, 'The Diversity Deficit in International Investment Arbitration' (2020) 21 *JWIT* 410.

³²⁰ ICSID Convention Articles 14(1) and 40(2).

³²¹ ICSID Arbitration Rule 6(2).

³²² ICSID Convention Article 56(1); Arbitration Rule 8. Exceptionally under Article 56(3) in the case of a resignation by a party-appointed arbitrator without the consent of the tribunal, the resulting vacancy is to be filled by the Chairman. See *ConocoPhillips v Venezuela*, Decision on the Proposal to Disqualify a Majority of the Tribunal, 1 July 2015.

³²³ ICSID Convention Article 57.

³²⁴ ICSID Convention Article 58; Arbitration Rule 9. See *Abaclat v Argentina*, Decision on Challenge, 21 December 2011.

³²⁵ *Amco v Indonesia*, Decision on the Proposal to Disqualify an Arbitrator, 24 June 1982; *Generation Ukraine v Ukraine*, Award, 16 September 2003, paras 4.8–4.18; *Salini v Jordan*, Award, 31 January 2006, paras 5, 9; *Siemens v Argentina*, Award, 6 February 2007, paras 31, 35–38; *Saipem v Bangladesh*, Decision on Proposal for Disqualification, 11 October 2005 (unpublished) and Decision on Jurisdiction, 21 March 2007, para 47; *Total v Argentina*, Decision on Argentine Republic's Proposal to Disqualify Ms Teresa Cheng, 26 August 2015; *Fábrica de Vidrios v Venezuela*, Reasoned Decision on the Proposal to Disqualify L Yves Fortier, QC, 28 March 2016.

³²⁶ *Olgüin v Paraguay*, Decision on Jurisdiction, 8 August 2000, paras 12–13; Award, 26 July 2001, paras 15–16.

Some cases involved ‘issue conflicts’, that is, situations in which an arbitrator can be perceived as having prejudged a legal or factual issue.³²⁷ A position taken by an arbitrator in academic writings will not, as a rule, lead to a successful challenge.³²⁸ Similarly, prior adverse rulings in the same case will not be accepted as evidence of a lack of independence or impartiality.³²⁹

In *Blue Bank v Venezuela*, the Chairman distinguished between impartiality and independence. He decided that the relevant test was not actual proof of bias, but the appearance of bias or dependence, assessed from an objective point of view. The Decision said:

Impartiality refers to the absence of bias or predisposition towards a party. Independence is characterized by the absence of external control. Independence and impartiality both ‘*protect parties against arbitrators being influenced by factors other than those related to the merits of the case*’. Articles 57 and 14(1) of the ICSID Convention do not require proof of actual dependence or bias; rather it is sufficient to establish the appearance of dependence or bias.

The applicable legal standard is an ‘*objective standard based on a reasonable evaluation of the evidence by a third party*.’ As a consequence, the subjective belief of the party requesting the disqualification is not enough to satisfy the requirements of the Convention.³³⁰

Following the *Blue Bank* decision, the same legal standard was applied in other cases.³³¹

Decisions on challenges of arbitrators often refer to the non-binding International Bar Association (IBA) Guidelines on Conflict of Interest in International Arbitration.³³² At the time of writing, ICSID and the UNCITRAL

³²⁷ *Caratube and Hourani v Kazakhstan*, Decision on the Proposal for Disqualification of Mr Bruno Boesch, 20 March 2014.

³²⁸ *Urbaser v Argentina*, Decision on the Claimant’s Proposal to Disqualify Prof Campbell McLachlan, 12 August 2010.

³²⁹ *Abaclat v Argentina*, Decision on the Proposal to Disqualify a Majority of the Tribunal, 4 February 2014, para 80; *Quiborax v Bolivia*, Award, 16 September 2015, para 42; *Vattenfall v Germany II*, Recommendation Pursuant to the Request by ICSID on the Respondent’s Proposal to Disqualify All Members of the Arbitral Tribunal, 4 March 2019, paras 64–78.

³³⁰ *Blue Bank v Venezuela*, Decision on the Parties’ Proposals to Disqualify a Majority of the Tribunal, 12 November 2013, paras 59–60. Italics original. Footnotes omitted.

³³¹ *Caratube and Hourani v Kazakhstan*, Decision on the Proposal for Disqualification of Mr Bruno Boesch, 20 March 2014, paras 54–57; *İçkale v Turkmenistan*, Decision on Claimant’s Proposal to Disqualify Prof Philippe Sands, 11 July 2014, para 117; *Interocean v Nigeria*, Decision on the Proposal to Disqualify All Members of the Tribunal, 3 October 2017, paras 68–69; *Kruck v Spain*, Decision on the Proposal to Disqualify Mr Gary B Born, 16 March 2018, para 50; *KS and TLS v Spain*, Decision on the Proposal to Disqualify Prof Gary Born, 30 April 2018, paras 39–45; *Vattenfall v Germany II*, Recommendation Pursuant to the Request by ICSID on the Respondent’s Proposal to Disqualify All Members of the Arbitral Tribunal, 4 March 2019, paras 47–50; *PNB Banka v Latvia*, Decision on the Proposals to Disqualify Messrs James Spiegelman, Peter Tomka and John M Townsend, 16 June 2020, paras 152–160.

³³² IBA Guidelines on Conflicts of Interest in International Arbitration (adopted 23 October 2014).

are working on a Code of Conduct for Adjudicators in Investor–State Dispute Settlement. The Code of Conduct is intended to apply to all ‘adjudicators’ in investor–State cases, that is, arbitrators, members of annulment committees, members of an appeal mechanism, or judges on a bilateral or multilateral standing mechanism.³³³ Once it will be finalized, the Code may become binding through incorporation into investment treaties and arbitral rules.

(d) Provisional measures

Under the ICSID Convention, the tribunal has the possibility to take provisional measures.³³⁴ The purpose of provisional measures is to induce behaviour by the parties that is conducive to a successful conduct of the proceedings. Provisional measures must be taken at a time when the outcome of a dispute is still uncertain. In fact, provisional measures are often requested before the tribunal has made a decision on jurisdiction. Therefore, the tribunal must strike a balance between the urgency of a request for provisional measures and the need not to prejudge the case. Tribunals have held that they have the power to take provisional measures on the basis of their *prima facie* evaluation of jurisdiction and that this is without prejudice to a subsequent determination of jurisdiction.³³⁵

The guiding principles for the indication of provisional measures are necessity and urgency.³³⁶ For instance, it may be necessary to induce the parties to cooperate in the proceedings and to furnish all relevant evidence; it may be necessary to take early measures to secure compliance with an eventual award; it may be necessary to stop the parties from resorting to self-help or seeking relief through other remedies; and it may be necessary to prevent a general aggravation of the situation through unilateral action.

The requirement of urgency means that provisional measures will only be appropriate if the question cannot await the outcome of the award on the merits. The

³³³ See Draft Code of Conduct for Adjudicators in Investor–State Dispute Settlement (1 May 2020).

³³⁴ ICSID Convention Article 47; Arbitration Rule 39. Under Arbitration Rule 39(6) provisional measures by domestic courts are possible in ICSID proceedings only in the unlikely case that the parties have so agreed in their consent agreement.

³³⁵ *Pey Casado v Chile*, Decision on Provisional Measures, 25 September 2001, paras 5–14; *SGS v Pakistan*, Procedural Order No 2, 16 October 2002, 8 ICSID Reports 388, at p 391/92; *Azurix v Argentina*, Decision on Provisional Measures, 6 August 2003, paras 29–31; *Biwater Gauff v Tanzania*, Procedural Order No 1, 31 March 2006, paras 32, 47, 70; *Occidental Petroleum v Ecuador*, Decision on Provisional Measures, 17 August 2007, para 55; *Perenco v Ecuador*, Decision on Provisional Measures, 8 May 2009 para 43; *Caratube and Hourani v Kazakhstan*, Decision on Provisional Measures, 4 December 2014, paras 107, 108.

³³⁶ *Saipem v Bangladesh*, Decision on Jurisdiction and Recommendation on Provisional Measures, 21 March 2007, paras 174, 182, 185; *Valle Verde v Venezuela*, Decision on Provisional Measures, 25 January 2016, para 86; *InterOcean v Nigeria*, Procedural Order No 6, 1 February 2017, para 26.

Tribunal in *Azurix v Argentina* related the probability of prejudice to the requirement of urgency as follows:

Given that the purpose of the measures is to preserve the rights of the parties, the urgency is related to the imminent possibility that the rights of a party be prejudiced before the tribunal has rendered its award.³³⁷

Parties to proceedings have requested provisional measures in various situations. In some cases, tribunals have used provisional measures to secure access to evidence that was essential to the case.³³⁸ Another situation involved requests for orders to desist from action that would further aggravate the dispute.³³⁹

In other cases, parties have requested provisional measures directing a party to post financial guarantees to secure recovery of the cost of the proceedings. Initially, tribunals were reluctant to grant this remedy.³⁴⁰ The first ICSID tribunal that ordered the payment of security for costs is the Tribunal in *RSM v St Lucia*.³⁴¹ Subsequent tribunals have confirmed their power to order security for cost³⁴² and, occasionally, have done so.³⁴³

The most important category of provisional measures involved requests to order the termination or suspension of related domestic proceedings.³⁴⁴ In *SGS v*

³³⁷ *Azurix v Argentina*, Decision on Provisional Measures, 6 August 2003, para 33. See also *Occidental Petroleum v Ecuador*, Decision on Provisional Measures, 17 August 2007, para 59.

³³⁸ *AGIP v Congo*, Award, 30 November 1979, paras 7–9; *Vacuum Salt v Ghana*, Decision on Provisional Measures, 14 June 1993; Award, 16 February 1994, paras 13–22; *Biwater Gauff v Tanzania*, Procedural Order No 1, 31 March 2006, paras 16, 20, 45–46, 56, 77–81, 84–88; *Railroad Development v Guatemala*, Decision on Provisional Measures, 15 October 2008; *Fakes v Turkey*, Award, 14 July 2010, para 13.

³³⁹ *Amco v Indonesia*, Decision on Provisional Measures, 9 December 1983; *CSOB v Slovakia*, Procedural Order No 3, 5 November 1998; *Pey Casado v Chile*, Decision on Provisional Measures, 25 September 2001, paras 67–74; *World Duty Free v Kenya*, Award, 4 October 2006, para 16; *EDF v Romania*, Procedural Order No. 2, 30 May 2008; *Burlington v Ecuador*, Procedural Order No 1, 29 June 2009, para 60; *Gabriel Resources v Romania*, Decision on Second Request for Provisional Measures, 22 November 2016, paras 68–70.

³⁴⁰ *Maffezini v Spain*, Procedural Order No 2, 28 October 1999; *Pey Casado v Chile*, Decision on Provisional Measures, 25 September 2001, paras 78–89; *Bayindir v Pakistan*, Award, 27 August 2009, para 55; *Cementownia v Turkey*, Award, 17 September 2009, paras 34, 36; *Anderson v Costa Rica*, Award, 19 May 2010, para 9; *Hamester v Ghana*, Award, 18 June 2010, paras 15, 17.

³⁴¹ *RSM v St Lucia*, Decision on Security for Costs, 13 August 2014.

³⁴² *EuroGas v Slovakia*, Decision on Provisional Measures, 23 June 2015; *Transglobal v Panama*, Decision on Provisional Measures relating to Security for Costs, 21 January 2016; *Lighthouse v Timor-Leste*, Procedural Order No 2, 13 February 2016; *Interocean v Nigeria*, Procedural Order No 6, 1 February 2017.

³⁴³ *Manuel García Armas v Venezuela*, Award on Jurisdiction, 13 December 2019, paras 91–126, 751; *Herzig v Turkmenistan*, Decision on Security for Costs, 27 January 2020. In *Adamakopoulos v Cyprus*, Decision on Jurisdiction, 7 February 2020, paras 264–266, 342 (iii), the Tribunal took the initiative to invite the respondent to make an application for security for costs.

³⁴⁴ *MINE v Guinea*, Award, 6 January 1988, 4 ICSID Reports 61, at pp 69, 77; *Vacuum Salt v Ghana*, Decision on Provisional Measures, 14 June 1993; Award, 16 February 1994, paras 13–22; *CSOB v Slovakia*, Procedural Order No 2, 9 September 1998, Procedural Order No 3, 5 November 1998, Procedural Order No 4, 11 January 1999, Procedural Order No 5, 1 March 2000; *TANESCO v IPTL*, Award, 12 July 2001, paras 26, 29; *Pey Casado v Chile*, Decision on Provisional Measures, 25 September 2001, paras 28–66; *Azurix v Argentina*, Decision on Provisional Measures, 6 August 2003; *Tokios Tokelès*

Pakistan, the Supreme Court of Pakistan had granted a motion by the respondent that the claimant be permanently enjoined from taking any steps to participate in the ICSID proceedings. The claimant requested provisional measures from the ICSID tribunal. One request was to the effect that the respondent should immediately withdraw from all proceedings in the courts of Pakistan relating in any way to the ICSID arbitration and cause these proceedings to be discontinued.

The Tribunal noted that under Article 41 of the ICSID Convention the tribunal is the judge of its own competence. It pointed out that the Supreme Court judgment, although final under the law of Pakistan, did not bind the Tribunal as a matter of international law. The Tribunal said:

The right to seek access to international adjudication must be respected and cannot be constrained by an order of a national court. Nor can a State plead its internal law in defence of an act that is inconsistent with its international obligations. Otherwise, a Contracting State could impede access to ICSID arbitration by operation of its own law.³⁴⁵

In addition, the Tribunal asked Pakistan to ensure that no action be taken in respect of contempt proceedings.

The wording and drafting history of the ICSID Convention would suggest that a decision for provisional measures under Article 47 is not binding but merely a recommendation.³⁴⁶ In *Maffezini v Spain*, the Tribunal compared the word ‘recommend’, used in connection with provisional measures, to the word ‘order’ used elsewhere in the Arbitration Rules. It said:

The Tribunal does not believe that the parties to the Convention meant to create a substantial difference in the effect of these two words. The Tribunal’s authority to rule on provisional measures is no less binding than that of a final award.

v Ukraine, Decision on Jurisdiction, 29 April 2004, paras 11, 12; *Bayindir v Pakistan*, Decision on Jurisdiction, 14 November 2005, para 46; Award, 27 August 2009, paras 52–66, 487, 488; *Duke Energy v Peru*, Decision on Jurisdiction, 1 February 2006, paras 15–18; *Saipem v Bangladesh*, Decision on Jurisdiction, 21 March 2007, paras 162–185; *Plama v Bulgaria*, Award, 27 August 2008, paras 23–26; *Burlington v Ecuador*, Decision on Jurisdiction, 2 June 2010, paras 65–75; *Millicom v Senegal*, Decision on Jurisdiction, 16 July 2010, paras 29–31, 33–35, 37; *ATA v Jordan*, Decision on Interpretation, 7 March 2011, paras 10–12, 46; *Lao Holdings v Laos*, Decision on Provisional Measures, 17 September 2013, para 30, Ruling on Motion to Amend Provisional Measures Order, 30 May 2014, paras 1, 25, 26, 35; *Alghanim v Jordan*, Procedural Order No 2, 24 November 2014, paras 68, 94, 103; *Hydro v Albania*, Order on Provisional Measures, 3 March 2016; *Nova Group v Romania*, Procedural Order No 7, 29 March 2017, paras 226–365.

³⁴⁵ *SGS v Pakistan*, Procedural Order No 2, 16 October 2002.

³⁴⁶ Article 47: ‘the Tribunal may ... recommend any provisional measures’. By contrast, under Article 41 of its Statute, the International Court of Justice may ‘indicate’ provisional measures. Under Article 290 of the United Nations Convention on the Law of the Sea the court or tribunal may ‘prescribe’ provisional measures.

Accordingly, for the purposes of this Order, the Tribunal deems the word ‘recommend’ to be of equivalent value as the word ‘order.’³⁴⁷

Tribunals have since followed *Maffezini* and have held that decisions on provisional measures are binding upon the parties.³⁴⁸ Apart from the question of binding force, non-compliance with provisional measures will be taken into account by the tribunal when making the award.³⁴⁹

(e) Expedited procedure

Under ICSID Arbitration Rule 41(5), introduced in 2006, a party may within 30 days of the tribunal’s constitution object that the claim is manifestly without merit:

Unless the parties have agreed to another expedited procedure for making preliminary objections, a party may, no later than 30 days after the constitution of the Tribunal, and in any event before the first session of the Tribunal, file an objection that a claim is manifestly without legal merit. The party shall specify as precisely as possible the basis for the objection. The Tribunal, after giving the parties the opportunity to present their observations on the objection, shall, at its first session or promptly thereafter, notify the parties of its decision on the objection. The decision of the Tribunal shall be without prejudice to the right of a party to file an objection pursuant to paragraph (1) or to object, in the course of the proceeding, that a claim lacks legal merit.³⁵⁰

Arbitration Rule 41(5) gives the tribunal the possibility to dismiss an evidently unmeritorious case expeditiously and at an early stage. But it is possible that a tribunal

³⁴⁷ *Maffezini v Spain*, Procedural Order No 2, 28 October 1999, para 9.

³⁴⁸ *Pey Casado v Chile*, Decision on Provisional Measures, 25 September 2001, paras 17–23; *Tokios Tokelès v Ukraine*, Procedural Order No. 1, 1 July 2003, para 4; *Biwater Gauff v Tanzania*, Procedural Order No. 1, 31 March 2006, paras 87–88, 97–98, 104–106; *Occidental Petroleum v Ecuador*, Decision on Provisional Measures, 17 August 2007, para 58; *Perenco v Ecuador*, Decision on Provisional Measures, 8 May 2009, paras 67–76; *Tethyan Copper v Pakistan*, Decision on Provisional Measures, 13 December 2012, para 120; *PNG Sustainable Development v Papua New Guinea*, Decision on Provisional Measures, 21 January 2015, para 102; *United Utilities v Estonia*, Decision on Provisional Measures, 12 May 2016, para 109; *RSM v St Lucia*, Decision on Annulment, 29 April 2019, paras 170–176. But see: *Caratube v Kazakhstan*, Decision on Provisional Measures, 31 July 2009, paras 67, 72.

³⁴⁹ *AGIP v Congo*, Award, 30 November 1979, para 42; *Quiborax v Bolivia*, Award, 16 September 2015, paras 576–583.

³⁵⁰ The Arbitration (Additional Facility) Rules offer a parallel provision in Article 45(6). Some investment protection treaties offer their own expedited procedures: DR–CAFTA, 5 August 2004, Arts. 10.20.4 and 10.20.5; CPTPP, 8 March 2018, Article 9.23.4; CETA, 30 October 2016, provisionally applied since 21 September 2017, [2017] OJ L 11/23, Article 8.23; EU–Vietnam Investment Protection Agreement, adopted 17 October 2018, not yet in force, chapter 3, section B, sub-section 5, Article 3.44; EU–Mexico Global Agreement (text as of April 2018) Article 17.

disposes of one of several claims by way of a summary decision under Arbitration Rule 41(5), while proceeding with other claims.³⁵¹

The procedure under this provision is considerably accelerated. The summary procedure must be initiated within 30 days of the tribunal's constitution and before its first session. The tribunal's decision is to be made at its first session or promptly thereafter. The tribunal must, however, give the parties the opportunity to present their observations on the objection.

For an objection under Rule 41(5) to be successful the lack of merit must be manifest. The Tribunal in *Trans-Global v Jordan* found that the ordinary meaning of the word 'manifestly' required the respondent to 'establish its objection clearly and obviously, with relative ease and despatch'.³⁵²

The Secretary-General's screening power before registering a request for arbitration under Article 36(3) is restricted to jurisdiction and does not extend to the merits. The summary procedure under Rule 41(5) fills this gap but is not limited to challenges on the merits. It can also be used to dispute jurisdiction. The Tribunal in *Brandes v Venezuela* said:

There exist no objective reasons why the intent not to burden the parties with a possibly long and costly proceeding when dealing with such unmeritorious claims should be limited to an evaluation of the merits of the case and should not also englobe an examination of the jurisdictional basis on which the tribunal's powers to decide the case rest.³⁵³

Other tribunals have followed *Brandes* on this point.³⁵⁴ At the same time, there appears to be agreement that the objection must be based on a question of law and not of fact.³⁵⁵

³⁵¹ *Trans-Global v Jordan*, Decision on Respondent's Objection under Rule 41(5), 12 May 2008 (Partial); *Accession Mezzanine v Hungary*, Decision on Respondent's Objections under ICSID Arbitration Rule 41(5), 16 January 2013 (Partial); *Emmis v Hungary*, Decision on Respondent's Objections Under ICSID Arbitration Rule 41(5), 11 March 2013 (Partial).

³⁵² *Trans-Global v Jordan*, Decision under Arbitration Rule 41(5), 12 May 2008, para 88; *Brandes v Venezuela*, Decision on the Respondent's Objection Under Rule 41(5), 2 February 2009, para 63; *Global Trading v Ukraine*, Award, 1 December 2010, para 35; *RSM v Grenada II*, Award, 10 December 2010, para 6.1.2; *PNG Sustainable Development v Papua New Guinea*, Decision on the Respondent's Objections Under Rule 41(5), 28 October 2014, para 89; *MOL v Croatia*, Decision on Respondent's Application Under ICSID Arbitration Rule 41(5), 2 December 2014, para 45; *Álvarez v Panama*, Decision on Respondent's Preliminary Objections pursuant to Rule 41(5), 4 April 2016, para 80; *Lion v Mexico*, Decision on the Respondent's Preliminary Objections under Article 45(6) of the ICSID Arbitration Additional Facility Rules, 12 December 2016, para 67; *Ansung Housing v China*, Award, 9 March 2017, para 70.

³⁵³ *Brandes v Venezuela*, Decision under Arbitration Rule 41(5), 2 February 2009, para 52.

³⁵⁴ *Global Trading v Ukraine*, Award, 1 December 2010, paras 30–31; *RSM v Grenada*, Award, 10 December 2010, para 6.1.1; *Elsamex v Honduras*, Decision on Claimant's Preliminary Objection on Annulment, 7 January 2014, paras 93–96; *PNG Sustainable Development v Papua New Guinea*, Decision on the Respondent's Objections Under Rule 41(5), 28 October 2014, para 91; *Lion v Mexico*, Decision on the Respondent's Preliminary Objections under Article 45(6) of the ICSID Arbitration Additional Facility Rules, 12 December 2016, para 75; *Almasryia v Kuwait*, Award on the Respondent's Application under Rule 41(5), 1 November 2019, para 48.

³⁵⁵ *Trans-Global v Jordan*, Decision under Arbitration Rule 41(5), 12 May 2008, para 97; *Brandes v Venezuela*, Decision under Arbitration Rule 41(5), 2 February 2009, paras 56–61; *Global Trading*

In *Global Trading v Ukraine*, the Tribunal found that the activities underlying the dispute 'are pure commercial transactions that cannot on any interpretation be considered to constitute "investments" within the meaning of Article 25 of the ICSID Convention'.³⁵⁶ It therefore held that the claims put forward were manifestly without legal merit under Rule 41(5) and rendered an award to this effect.

Despite its summary nature the expedited procedure requires that both parties be properly heard both in writing and orally. A decision upholding an objection results in an award which, under Article 48(3) of the ICSID Convention, must deal with every question submitted to the tribunal and must contain a full statement of reasons.

(f) Written and oral procedure

Procedural questions are typically addressed at the tribunal's first session with the parties. The questions include representation of the parties, the place and language of proceedings, the number and sequence of the pleadings, a calendar with time limits for the submission of pleadings and the date of hearings, records of hearings, and production of evidence. Most awards contain a detailed description of the procedure.

Most proceedings involve a written phase followed by an oral one.³⁵⁷ The written procedure consists of the request for arbitration and communications relating to it as well as of the parties' pleadings. The pleadings are opened by a memorial of the claimant followed by a counter-memorial of the respondent. In most cases there is another round of written exchanges termed reply and rejoinder. A memorial must contain a statement of the facts, a statement of the law and the party's submissions. A counter-memorial also must address the facts and legal arguments and make submissions.³⁵⁸ A submission is a suggestion to the tribunal that it take a particular decision. In addition, the parties often submit voluminous supporting documentation. Pleadings should relate closely to the other party's last previous pleading.

An objection by respondent to the tribunal's jurisdiction, is to be submitted not later than at the time the counter-memorial is due. Upon receiving an objection to jurisdiction, the tribunal may decide to suspend the proceedings on the merits. The proceedings are then bifurcated, that is, the jurisdictional question is heard

v Ukraine, Award, 1 December 2010, para 31; *RSM v Grenada II*, Award, 10 December 2010, para 6.1.1; *MOL v Croatia*, Decision on Respondent's Application Under ICSID Arbitration Rule 41(5), 2 December 2014, para 44.

³⁵⁶ *Global Trading v Ukraine*, Award, 1 December 2010, para 57.

³⁵⁷ Exceptionally, the parties may dispense with a hearing if they so agree.

³⁵⁸ ICSID Arbitration Rule 31.

first, followed, if the tribunal finds that it has jurisdiction, by a resumption of the proceedings on the merits. Alternatively, the tribunal may decide to join the jurisdictional question to the merits.³⁵⁹

In making decisions on whether or not to bifurcate, tribunals have considered whether the jurisdictional objection is substantial, whether the objection to jurisdiction if granted results in a material reduction of the proceedings at the next phase, and whether the jurisdictional issue is closely intertwined with the merits.³⁶⁰

If the tribunal decides that the dispute is not within the jurisdiction of the Centre or outside its competence, or that all claims are manifestly without legal merit, it will render an award to that effect³⁶¹ and the proceedings are closed. Otherwise, the tribunal will resume the proceedings on the merits.

The oral phase consists of a hearing in the presence of the tribunal, its officers, and the parties and their representatives. In addition to the parties, the tribunal may hear witnesses and experts. It is important that the parties be given full and equal opportunity to be heard. Most hearings are closed to the public.³⁶² Portions of hearings, or entire hearings, may be conducted online, using video-conferencing technology. It has become standard practice for tribunals to permit the filing of post-hearing submissions.

The two phases of the procedure, written and oral, also apply to incidental or subsidiary parts of the proceedings. These are proceedings relating to objections to jurisdiction, to provisional measures, to ancillary claims, to reopened proceedings, to supplementation and rectification, to interpretation, to revision, and to annulment.

The evidence presented by the parties to the tribunal consists of documents, witness testimony, and expert opinions.³⁶³ The tribunal has discretion in deciding on the relevance,³⁶⁴ credibility,³⁶⁵ and admissibility³⁶⁶ of evidence. The tribunal may call upon the parties to produce further evidence.³⁶⁷ In some cases, tribunals have issued orders for the production of documents, normally upon the request of a

³⁵⁹ ICSID Convention Article 41; Arbitration Rule 41.

³⁶⁰ *Glamis Gold v United States*, Procedural Order No 2 (Revised), 31 May 2005, para 12(c); *Standard Chartered Bank v TANESCO*, Procedural Order No 5, 29 May 2012, paras 19–23; *Emmis v Hungary*, Decision on Bifurcation, 13 June 2013, paras 47–56; *Gavrilović v Croatia*, Decision on Bifurcation, 21 January 2015, para 93; *Global Telecom v Canada*, Procedural Order No 2: Decision on Bifurcation, 14 December 2017, paras 102–107; *Eco Oro v Colombia*, Procedural Order No 2, 28 June 2018, paras 52–60.

³⁶¹ ICSID Arbitration Rule 41(6).

³⁶² On transparency see XII.11(j) below.

³⁶³ ICSID Arbitration Rules 33–35.

³⁶⁴ *Agua del Tunari v Bolivia*, Decision on Jurisdiction, 21 October 2005, para 25.

³⁶⁵ See *ADC v Hungary*, Award, 2 October 2006, paras 250–257; *Fraport v Philippines I*, Award, 16 August 2007, paras 328–329; *Rumeli v Kazakhstan*, Award, 29 July 2008, paras 442–448; *Rompetrol v Romania*, Award, 6 May 2013, paras 221–224, 243–244.

³⁶⁶ *Methanex v United States*, Award, 3 August 2005, II, I, paras 1–60; *EDF v Romania*, Procedural Order No 3, 29 August 2008, para 38; *Rompetrol v Romania*, Award, 6 May 2013, para 181.

³⁶⁷ ICSID Convention Article 43(a).

party, but occasionally also upon their own initiative.³⁶⁸ The tribunals have developed criteria for the materiality, relevance and specificity of evidence.³⁶⁹

(g) Default

Default—that is, non-participation of an uncooperative party—will not stall the proceedings. If one party fails to present its case, the other party may request the tribunal to proceed and render an award. Before doing so, the tribunal will give the non-appearing party another chance to cooperate. The appearing party's assertions will not be accepted just because the other party does not cooperate and hence does not contest them. Rather, the tribunal must examine all questions and decide whether the appearing party's submissions are well-founded in fact and in law.³⁷⁰

Default by a party puts an extra burden on the tribunal but also on the cooperating party. The tribunal must examine the cooperating party's submissions on its own motion. The cooperating party may be called upon to prove assertions which might otherwise be accepted as uncontested. Default has only occurred in relatively few cases.³⁷¹ In some cases, the respondent States did not cooperate initially but appeared at a later stage of the proceedings.³⁷²

(h) Settlement and discontinuance

The parties may at any time agree to settle or otherwise discontinue the case. A settlement may be incorporated into an award if the parties so request and

³⁶⁸ *Fraport v Philippines I*, Award, 16 August 2007, paras 383, 400, 401; *Metal-Tech v Uzbekistan*, Award, 4 October 2013, paras 240–241.

³⁶⁹ *Pope & Talbot v Canada*, Ruling on Claim of Crown Privilege, 6 September 2000, 7 ICSID Reports 99; *UPS v Canada*, Tribunal Decision Relating to Canada's Claim of Cabinet Privilege, 8 October 2004; *CSOB v Slovakia*, Award, 29 December 2004, para 9; *Noble Ventures v Romania*, Award, 12 October 2005, paras 19–20; *Aguas del Tunari v Bolivia*, Decision on Jurisdiction, 21 October 2005, paras 24–28, 324–327; *Duke Energy v Peru*, Decision on Jurisdiction, 1 February 2006, para 19; *Biwater Gauff v Tanzania*, Procedural Order N° 2, 24 May 2006; *Azurix v Argentina*, Award, 14 July 2006, paras 22–27, 29, 31; *ADC v Hungary*, Award, 2 October 2006, paras 30, 33–37; *Champion Trading v Egypt*, Decision on Jurisdiction, 21 October 2003, paras 15, 17–23; *Bayindir v Pakistan*, Procedural Order No 4, Document Production, 27 November 2006; *Venezuela Holdings v Venezuela*, Decision on Annulment, 9 March 2017, para 127.

³⁷⁰ ICSID Convention Article 45; Arbitration Rules 34(3), 42.

³⁷¹ *Kaiser Bauxite v Jamaica*, Decision on Jurisdiction and Competence, 6 July 1975, 1 ICSID Reports 299, paras 5–10; *LETCO v Liberia*, Award, 31 March 1986, 2 ICSID Reports 346, at pp 354–357; *Goetz v Burundi*, Decision, 2 September 1998, 6 ICSID Reports 5, paras 33–57.

³⁷² *Benvenuti & Bonfant v Congo*, Award, 8 August 1980, 1 ICSID Reports 335, paras 1.7–1.12, 1.17–1.34; *AMT v Zaire*, Award, 21 February 1997, (1997) 36 ILM 1536, 5 ICSID Reports 14, paras 2.01–3.01.

submit their settlement in writing.³⁷³ The ICSID Convention's provisions on recognition and enforcement of awards are applicable to such an award.

Alternatively, a party may unilaterally request a discontinuance of the proceedings, which the tribunal will grant if the other party does not object.³⁷⁴ Discontinuance need not relate to the entire case but may concern certain claims only.³⁷⁵ A partial discontinuance also occurs where one or several of the original claimants withdraw from the case.³⁷⁶

In addition, the proceedings will be discontinued if both parties fail to take any steps during six consecutive months.³⁷⁷ Proceedings will also be discontinued in case of non-payment of the advances to ICSID to cover the costs of proceedings.³⁷⁸

A high percentage of cases are settled or otherwise discontinued at some stage of the proceedings.

(i) The award

After the pleadings of the parties are completed, the tribunal deliberates on the award. Only the members of the tribunal take part in the deliberations and their substance remains secret.³⁷⁹

Awards are rendered in writing and are signed by the members of the tribunal. Most awards are rendered unanimously, but majority decisions are possible.³⁸⁰ A member of the tribunal may attach a dissenting opinion or a declaration.

An award must deal with every question submitted to the tribunal and contain a full statement of reasons. Under the ICSID Convention an award finally disposes of all questions before the tribunal. A failure to deal with all questions or serious

³⁷³ ICSID Arbitration Rule 43. See *Trans-Global v Jordan*, Consent Award, 8 April 2009; *TCW v Dominican Republic*, Consent Award, 16 July 2009; *Azpetrol v Azerbaijan*, Award, 9 September 2009, paras 67–105; *Vattenfall v Germany I*, Award, 11 March 2011; *Saint-Gobain v Venezuela*, Award, 3 November 2017, para 52.

³⁷⁴ ICSID Arbitration Rule 44. *Foresti v South Africa*, Award, 4 August 2010, paras 79–82.

³⁷⁵ *Burlington v Ecuador*, Decision on Liability, 14 December 2012, para 93.

³⁷⁶ *Suez and Vivendi v Argentina*, Decision on Liability, 30 July 2010, paras 14–16; *Suez and InterAgua v Argentina*, Decision on Liability, 30 July 2010, paras 16–19; *Abaclat v Argentina*, Decision on Jurisdiction and Admissibility, 4 August 2011, paras 613–639; *Ambiente Ufficio v Argentina*, Decision on Jurisdiction and Admissibility, 8 February 2013, paras 334–346; *Alemanni v Argentina*, Decision on Jurisdiction and Admissibility, 17 November 2014, paras 14–26, 327–337.

³⁷⁷ ICSID Arbitration Rule 45. *Mobil & Murphy v Canada*, Decision on Liability and on Principles of Quantum, 22 May 2012, paras 9–11.

³⁷⁸ ICSID Administrative and Financial Regulation 14(3)(d). *Quadrant Pacific v Costa Rica*, Order taking note of Discontinuance, 27 October 2010; *RSM v Grenada I*, Order of the Committee Discontinuing the Proceeding and Decision on Costs, 28 April 2011; *Commerce Group v El Salvador*, Order of the Committee Discontinuing the Proceeding and Decision on Costs, 28 Aug 2013; *Ambiente Ufficio v Argentina*, Order of Discontinuance of the Proceeding, 28 May 2015.

³⁷⁹ ICSID Arbitration Rule 15.

³⁸⁰ ICSID Arbitration Rule 16(1) provides that all decisions of the tribunal may be rendered by majority vote.

shortcomings in the reasoning may lead to a charge of excess of powers or failure to state the reasons, both of which are grounds for annulment.³⁸¹

Sometimes tribunals issue decisions on jurisdiction and liability leaving the determination of the quantum of damages for a subsequent decision. If this is the case, the last decision is the award which incorporates the earlier decisions by reference.³⁸²

The award is dispatched promptly to the parties. The date of the award is not the date of signature by the arbitrators but the date of dispatch to the parties.³⁸³ This is important for the exact determination of the time limits for any post-award remedies.³⁸⁴

Awards are final and binding. They are subject to review only under limited circumstances.³⁸⁵ The binding force of awards is limited to the parties. It does not extend to other cases before different tribunals and does not create binding precedents. Tribunals have emphasized on many occasions that they are not bound by previous decisions. At the same time, they have also stated that they will take due account of previous cases when making their own decisions.³⁸⁶ In actual fact, parties routinely rely on earlier decisions of other international tribunals and of international courts. Tribunals frequently refer to and rely on earlier decisions.

(j) Transparency

Confidentiality is traditionally considered one of the major advantages of commercial arbitration between private parties. Arbitration rules, other than ICSID, sometimes provide specifically that awards may not be published without the parties' consent.³⁸⁷ But in investment arbitration, the presence of issues of public interest has led to demands for openness and transparency.

The Secretary-General of ICSID is under an obligation to publish information about the existence and progress of pending cases.³⁸⁸ This is achieved primarily through the Centre's website.

Most hearings are closed to the public. In principle, only the members of the tribunal, officers of the tribunal, the parties and their representatives, and witnesses while giving testimony may attend. The tribunal may, unless a party objects and after consultation with the Secretary-General of ICSID, allow other persons

³⁸¹ See XII.15(b)bb and XII.15(b)ee below.

³⁸² *Lemire v Ukraine*, Decision on Annulment, 8 July 2013, para 196.

³⁸³ ICSID Convention Article 49(1).

³⁸⁴ See XII.15(b) below.

³⁸⁵ See XII.15 below.

³⁸⁶ See II.1(e) above.

³⁸⁷ See UNCITRAL Arbitration Rules 2010, Article 34(5).

³⁸⁸ ICSID Administrative and Financial Regulations 22 and 23.

to attend all or part of the hearings.³⁸⁹ Some investment treaties provide that investor–State arbitration hearings shall be open to the public. In some cases, the parties agree to the streaming of a hearing.

Awards are not published automatically. ICSID will publish awards only with the consent of both parties.³⁹⁰ Since 2006 ICSID is under an obligation to publish excerpts of the legal reasoning of each award.³⁹¹ The parties are free to release awards and other decisions for publication unless it is otherwise agreed. Most ICSID awards have been published in one way or another but there are some awards and other decisions that have remained unpublished. Non-ICSID awards are published sporadically. Some awards are published in redacted form, that is, portions of the text and footnotes are deleted.³⁹²

The parties are not prohibited from publishing their pleadings and other documents relating to pending arbitration proceedings. But they may come to an understanding to refrain from doing so.³⁹³ The parties are also free to agree on a total or partial publication of documents relating to a proceeding.³⁹⁴

The 2014 UNCITRAL Rules on Transparency in Treaty-based Investor–State Arbitration³⁹⁵ require the publication of party submissions as well as decisions and awards of the tribunal in UNCITRAL proceedings pursuant to treaties concluded on or after 1 April 2014.³⁹⁶ The United Nations Convention on Transparency in Treaty-based Investor–State Arbitration of 2014 (the Mauritius Convention)³⁹⁷ extends the scope of application of the UNCITRAL Transparency Rules to all investor–State arbitrations arising under treaties between Mauritius Convention-contracting States concluded prior to 1 April 2014, irrespective of the applicable arbitration rules. Recent investment arbitration agreements incorporate the UNCITRAL Transparency Rules, either by expressly stating that they shall apply, or by including transparency-related provisions modelled on these Rules.

³⁸⁹ ICSID Arbitration Rule 32.

³⁹⁰ ICSID Convention Article 48(5).

³⁹¹ ICSID Arbitration Rule 48(4).

³⁹² *Fireman's Fund v Mexico*, Award, 17 July 2006, paras 222–225; *Marfin v Cyprus*, Award, 26 July 2018.

³⁹³ For detailed discussion see *Biwater Gauff v Tanzania*, Procedural Order No. 3, 29 September 2006 and Procedural Order No. 5, 2 February 2007. See also *World Duty Free v Kenya*, Award, 4 October 2006, para 16; *Ipek v Turkey*, Procedural Order No 13, 13 March 2020.

³⁹⁴ See *Malaysian Historical Salvors v Malaysia*, Award, 17 May 2007, para 32; *BSG Resources v Guinea*, Procedural Order No 2, 17 September 2015.

³⁹⁵ Adopted by United Nations General Assembly Resolution 68/109 on 16 December 2013.

³⁹⁶ UNCITRAL Transparency Rules Article 3(1).

³⁹⁷ In force 18 October 2017. By 1 September 2021, the Mauritius Convention had been ratified by nine States: Australia, Benin, Bolivia, Cameroon, Canada, Gambia, Iraq, Mauritius, and Switzerland.

(k) *Amicus curiae* participation

In some cases, ICSID tribunals have permitted the submission of *amicus curiae* briefs by non-disputing parties.³⁹⁸ Under a procedure introduced in 2006, an ICSID tribunal may, after consulting the parties, allow an entity that is not a party, to file a written submission regarding a matter within the scope of the dispute.³⁹⁹ Tribunals have allowed applications for *amicus curiae* interventions in some cases⁴⁰⁰ and rejected them in other cases.⁴⁰¹

The EU Commission has applied for permission to make submissions as a non-disputing party in numerous proceedings involving BITs between Member States and the ECT, both before⁴⁰² and after⁴⁰³ the European Court's judgment in *Achmea*.⁴⁰⁴ In many of these cases, tribunals allowed the Commission's *amicus curiae* submissions.⁴⁰⁵ In other cases, tribunals denied permission.⁴⁰⁶ In some of these, the tribunals had required an undertaking to guarantee the resulting additional costs which the EU Commission declined to give.⁴⁰⁷

Non-ICSID tribunals operating in the framework of NAFTA under the UNCITRAL Rules, have at times allowed third parties to make written submissions.⁴⁰⁸ In October 2003 the NAFTA Free Trade Commission issued a statement regarding the participation of non-disputing parties.⁴⁰⁹

The UNCITRAL Transparency Rules foresee *amicus curiae* participation as well as the participation of a non-disputing State that is a party to the relevant treaty. They provide that the tribunal may permit 'a person that is not a disputing party, and not a non-disputing Party to the treaty ... to file a written submission with the arbitral tribunal regarding a matter within the scope of the dispute'.⁴¹⁰ They

³⁹⁸ *Suez and Vivendi v Argentina*, Order in Response to a Petition for Transparency and Participation as *Amicus Curiae*, 19 May 2005; *Methanex v United States*, Award, 3 August 2005, II, C, paras 26–30; *Aguas del Tunari v Bolivia*, Decision on Jurisdiction, 21 October 2005, paras 15–18, Appendix III; *Aguas Provinciales v Argentina*, Order in Response to a Petition for Participation as *Amicus Curiae*, 17 March 2006.

³⁹⁹ ICSID Arbitration Rule 37(2).

⁴⁰⁰ *Biwater Gauff v Tanzania*, Award, 24 July 2008, paras 356–392.

⁴⁰¹ *von Pezold v Zimbabwe*, Procedural Order No 2, 26 June 2012. The Tribunal rejected an application for intervention as *amicus curiae* for lack of the applicants' independence and lack of relevance of the proposed testimony.

⁴⁰² *Micula v Romania I*, Award, 11 December 2013, paras 23, 25, 27–30.

⁴⁰³ *Magyar Farming v Hungary*, Award, 13 November 2019.

⁴⁰⁴ *Slovakia v Achmea*, Judgment, 6 March 2018, Case C-284/16. See XII.7(c) and (e) above.

⁴⁰⁵ *Adamakopoulos v Cyprus*, Decision on Jurisdiction, 7 February 2020, paras 28, 40, 42–44, 139–149.

⁴⁰⁶ *BayWa v Spain*, Decision on Jurisdiction, Liability and Directions on Quantum, 2 December 2019, paras 16–18, 30–31, 52–54.

⁴⁰⁷ *Watkins v Spain*, Award, 21 January 2020, paras 30–40.

⁴⁰⁸ *Methanex v United States*, Decision on *Amici Curiae*, 15 January 2001; *UPS v Canada*, Decision of the Tribunal on Petitions for Intervention and Participation as *Amici Curiae*, 17 October 2001.

⁴⁰⁹ NAFTA Free Trade Commission Statement on Non-Disputing Party Participation, 7 October 2003, (2005) 44 ILM 796.

⁴¹⁰ UNCITRAL Transparency Rules Article 4.

also provide for the possibility that a non-disputing State that is a party to the treaty under which the claim is brought makes a submission.⁴¹¹ The Mauritius Convention extends the application of these provisions to claims brought under investment treaties that pre-date 1 April 2014.

12. Applicable law

Foreign investments are subject to international as well as national rules. There is a considerable body of substantive international law protecting foreign investors.⁴¹² It consists of treaty law, contained mostly in BITs, but also multilateral treaties such as the ECT. But there is also a good deal of customary international law that remains relevant. This customary international law includes various aspects of State responsibility and such issues as denial of justice, the law on expropriation, and rules relating to the nationality of individuals and corporations.

Investments typically are complex operations involving numerous transactions of different kinds. Many of these transactions will take place under the local law. These transactions will have their closest connection to the host State's law. The relevant legislation relates to commercial law, company law, administrative law, labour law, tax law, foreign exchange regulations, real estate law, and many other areas of the host State's legal system. At the same time, the application of international law gives the investor assurance that the international standards for the treatment of foreign investors will be observed.

(a) Choice of law

The parties to the dispute, that is the host State and the investor, may agree on the governing law.⁴¹³ Some contracts governing investments simply refer to the host State's domestic law.⁴¹⁴ The choice of the law of the investor's home country or of the law of a third State is rare but not unheard of.⁴¹⁵ In the majority of cases, clauses

⁴¹¹ UNCITRAL Transparency Rules Article 5.

⁴¹² See also I.2 above.

⁴¹³ See also V.2 above.

⁴¹⁴ *Attorney-General v Mobil Oil NZ Ltd.*, New Zealand, High Court, 1 July 1987, 4 ICSID Reports 117, p 123; *MINE v Guinea*, Decision on Annulment, 22 December 1989, para 6.31; *Perenco v Ecuador*, Decision on Remaining Issues of Jurisdiction and on Liability, 12 September 2014, para 318.

⁴¹⁵ *SPP v Egypt*, Award, 20 May 1992, para 225 (The choice of English law to the exclusion of Egyptian law turned out to be decisive for the computation of interest); *CDC v Seychelles*, Award, 17 December 2003, para 43; *World Duty Free v Kenya*, Award, 4 October 2006, paras 158–159; *Azpetrol v Azerbaijan*, Award, 8 September 2009, paras 49–65.

on applicable law in contracts between States and foreign investors include international law as well as host State law.⁴¹⁶

Some treaties and other international documents providing for arbitration refer to the parties' agreement on choice of law.⁴¹⁷ Some of the relevant treaties contain their own choice of law clauses in case there is no agreement on applicable law between the parties. Article 42 of the ICSID Convention refers primarily to any agreement on choice of law that the parties may have reached. In the absence of such an agreement, it provides for the application of the host State's law and international law:

Article 42

(1) The Tribunal shall decide a dispute in accordance with such rules of law as may be agreed by the parties. In the absence of such agreement, the Tribunal shall apply the law of the Contracting State party to the dispute (including its rules on the conflict of laws) and such rules of international law as may be applicable.

The Arbitration Rules of the ICSID Additional Facility provide in Article 54 that a tribunal shall apply the rules of law designated by the parties. In the absence of a designation, the tribunal shall apply the law determined by the conflict of laws rules which it considers applicable and such rules of international law as the tribunal considers applicable. The UNCITRAL Rules (Article 35(1)) and the ICC Rules (Article 21(1)) state that a tribunal will apply the law designated by the parties. If there is no choice of law clause, the UNCITRAL Rules refer to 'the law which it determines to be appropriate' and to 'any usage of trade applicable to the transaction' which the tribunal shall take into account (Article 35 (3)). For ICC proceedings, its Rules provide in such a case that the tribunal 'shall apply the rules of law which it determines to be appropriate' (Article 21(1)) and that the tribunal 'shall take account of the provisions of the contract, if any, between the parties and of any relevant trade usages' (Article 21(2)).

Many treaty provisions that offer investor-State arbitration, such as the ECT and some BITs, also contain provisions on applicable law. By taking up the offer of arbitration, the investor also accepts the choice of law clause contained in the treaty's dispute settlement provision. In this way the treaty's provision on applicable law becomes part of the arbitration agreement between the host State and the foreign

⁴¹⁶ See already the Deeds of Concession concluded between Libya and two American companies between 1955 and 1968 in *Texaco v Libya*, Award, 19 January 1977, 53 ILR 389, 404. See also *LIAMCO v Libya*, Award, 12 April 1977, 62 ILR 141, 172; *British Petroleum v Libya*, Award (Merits), 10 October 1973, 53 ILR 297, 303; *AGIP v Congo*, Award, 30 November 1979, para 18; *Kaiser Bauxite v Jamaica*, Decision on Jurisdiction and Competence, 6 July 1975, para 12; *CSOB v Slovakia*, Award, 29 December 2004, paras 58–63; *Duke Energy v Ecuador*, Award, 18 August 2008, paras 190–197.

⁴¹⁷ Article 42 ICSID Convention; Article 54 of the ICSID Additional Facility Rules; Article 35 of the UNCITRAL Arbitration Rules.

investor. In other words, the clause on applicable law in the treaty becomes a choice of law agreed by the parties to the arbitration.⁴¹⁸

Some clauses in treaties governing the applicable law in investment disputes refer exclusively to international law.⁴¹⁹ For instance, the ECT provides:

Article 26 Settlement of disputes between an investor and a Contracting Party
(6) A tribunal established under paragraph (4) shall decide the issues in dispute in accordance with this Treaty and applicable rules and principles of international law.

Similarly, some BITs refer to international law including the substantive rules of the BIT itself.⁴²⁰

Other provisions on applicable law in BITs, combine the host State's domestic law with international law. A frequently used formula lists (a) the host State's law, (b) the BIT itself as well as other treaties, (c) any contract relating to the investment, and (d) general international law. In *Goetz v Burundi*⁴²¹ the relevant Belgium–Burundi BIT contained a provision on applicable law of this type. The Tribunal found that it had to apply a combination of domestic law and international law. The Tribunal made the following general statement:

a complementary relationship must be allowed to prevail. That the Tribunal must apply Burundian law is beyond doubt, since this last is also cited in the first place by the relevant provision of the Belgium–Burundi investment treaty. As regards international law, its application is obligatory for two reasons. First, because, according to the indications furnished to the Tribunal by the claimants, Burundian law seems to incorporate international law and thus to render it directly applicable; ... Furthermore, because the Republic of Burundi is bound by the international law obligations which it freely assumed under the Treaty for the protection of investments⁴²²

The Tribunal then stated that an application of international law and of domestic law might lead to different results. The Tribunal first undertook an analysis of the dispute from the perspective of the law of Burundi. This analysis led to the conclusion that under the law of Burundi the actions in question were legal. The Tribunal then examined the same issue from the perspective of international law,

⁴¹⁸ *Goetz v Burundi*, Award, 10 February 1999, para 94; *Siemens v Argentina*, Award, 6 February 2007, para 76; *Suez and Vivendi v Argentina*, Decision on Liability, 30 July 2010, paras 59–63; *EDF v Argentina*, Award, 11 June 2012, para 181; *Gold Reserve v Venezuela*, Award, 22 September 2014, para 533; *Rusoro v Venezuela*, Award, 22 August 2016, paras 347–349.

⁴¹⁹ NAFTA Article 1131.

⁴²⁰ *Kardassopoulos v Georgia*, Decision on Jurisdiction, 6 July 2007, para 146.

⁴²¹ *Goetz v Burundi*, Award, 10 February 1999.

⁴²² At paras 95, 98.

in particular in light of the BIT. This examination led to the result that the legality of the measures taken by Burundi depended on the payment of an adequate and effective compensation which was still outstanding.⁴²³

In the absence of a choice of law expressed in the document providing for consent, the tribunals have sometimes perceived an agreement on the applicable law in the pleadings before them.⁴²⁴ In *AAPL v Sri Lanka*, jurisdiction was based on the BIT between Sri Lanka and the United Kingdom. This BIT did not contain a provision on applicable law. The Tribunal found that by arguing their case on the basis of the BIT, the parties had expressed their choice of the BIT as the applicable law.⁴²⁵ The Tribunal went on to state that the BIT was not a closed legal system but had to be seen in a wider juridical context. This wider juridical context as well as the parties' submissions led it to apply customary international law as well as domestic law.⁴²⁶

Other tribunals too have held that the choice of a BIT implied a choice of international law in general.⁴²⁷

Some tribunals have found that in cases involving disputes under BITs not containing a choice of law clause, the primary source of law had to be the BIT itself and other rules of international law.⁴²⁸ In *Addiko v Croatia*, the Tribunal held that an investor implicitly consents to the applicable law in case of investment treaty arbitration. It believed that the acceptance of the offer to arbitrate in the BIT would also implicitly bring about a choice of the treaty and international law as applicable law, even in the absence of an explicit choice of law clause.⁴²⁹

In other cases, tribunals did not accept an implicit choice of law through reliance on a BIT that does not contain an applicable law clause. Rather, they found that they had to turn to the default provision in Article 42(1) of the ICSID Convention and apply host State law as well as applicable rules of international law.⁴³⁰

⁴²³ At paras 100–133.

⁴²⁴ *Gardella v Côte d'Ivoire*, Award, 29 August 1977, para 4.3.; *SOABI v Senegal*, Award, 25 February 1988, para 5.02.; *Wena Hotels v Egypt*, Award, 8 December 2000, para 79.

⁴²⁵ *AAPL v Sri Lanka*, Final Award, 27 June 1990, para 20.

⁴²⁶ At paras 18–24.

⁴²⁷ *Middle East Cement v Egypt*, Award, 12 April 2002, paras 86–87; *MTD v Chile*, Award, 25 May 2004, paras 87, 112, 204; *CSOB v Slovakia*, Award, 29 December 2004, paras 61–63.

⁴²⁸ *Wena Hotels v Egypt*, Award, 8 December 2000, paras 78–79; *MTD v Chile*, Award, 25 May 2004, paras 87, 112, 204; *ADC v Hungary*, Award, 2 October 2006, paras 288–291; *LG&E v Argentina*, Decision on Liability, 3 October 2006, paras 85, 97–98; *Saipem v Bangladesh*, Award, 30 June 2009, para 99; *Bayindir v Pakistan*, Award, 27 August 2009, paras 109–110; *Azurix v Argentina*, Decision on Annulment, 1 September 2009, paras 146–147; *Alpha v Ukraine*, Award, 8 November 2010, paras 228–233.

⁴²⁹ *Addiko v Croatia*, Decision on Croatia's Jurisdictional Objection Related to the Alleged Incompatibility of the BIT with the EU Acquis, 12 June 2020, para 260.

⁴³⁰ *LG&E v Argentina*, Decision on Liability, 3 October 2006, para 85; *MCI v Ecuador*, Award, 31 July 2007, paras 214–217; *Metal-Tech v Uzbekistan*, Award, 4 October 2013, para 119; *Perenco v Ecuador*, Decision on Remaining Issues of Jurisdiction and on Liability, 12 September 2014, paras 532–534; *Quiborax v Bolivia*, Award, 16 September 2015, paras 90–91; *Energija v Latvia*, Award, 22 December 2017, para 792; *Gosling v Mauritius*, Award, 18 February 2020, para 88.

The Tribunal in *Magyar Farming v Hungary*, rejected claimant's assertion that, in the absence of an explicit choice of law, only international law would apply to the merits since the claims were based on the BIT:

ICSID jurisprudence supports the approach that, when the disputing parties have made no express choice-of-law, such choice cannot be implied from the mere fact that the claims arise under an international treaty... Therefore, in the absence of a choice-of-law provision in the BIT, or elsewhere for that matter, the default rule of the second sentence of Article 42(1) of the ICSID Convention applies.⁴³¹

(b) Host State law and international law

In most cases the applicable substantive law in investment arbitration combines international law and host State law. This is so whether or not the parties have made a choice of law that combines international law with host State law. Most agreements on choice of law whether in contracts or through treaties, refer to host State law as well as international law. In the absence of an agreement on the governing law, Article 42 of the ICSID Convention provides that the tribunal apply host State law and applicable rules of international law.

In the majority of cases, tribunals have, in fact, applied both systems of law.⁴³² In some cases the tribunals were simply content to find that both systems of law reached the same result.⁴³³

In many cases, tribunals applied host State law and international law without much attention to their relationship.⁴³⁴ In *Maffezini v Spain*,⁴³⁵ the BIT required the Tribunal to apply treaties, including the BIT, host State law, and general principles of international law.⁴³⁶ The subject-matter of the dispute was the construction of a chemical plant. The Tribunal did not engage in a theoretical discussion

⁴³¹ *Magyar Farming v Hungary*, Award, 13 November 2019, paras 25, 26 (referring to *Perenco v Ecuador*, Decision on Remaining Issues of Jurisdiction and on Liability, 12 September 2014, paras 532–533, where the Tribunal applied the second sentence of Article 42(1) ICSID Convention, and *Burlington v Ecuador*, Decision on Liability, 14 December 2012, para 178).

⁴³² *Amco v Indonesia*, Award, 20 November 1984, para 148; *Genin v Estonia*, Award, 25 June 2001, para 350; *MCI v Ecuador*, Award, 31 July 2007, para 217; *Perenco v Ecuador*, Decision on Remaining Issues of Jurisdiction and on Liability, 12 September 2014, paras 532–534; *Quiborax v Bolivia*, Award, 16 September 2015, paras 90, 91; *Burlington v Ecuador*, Decision on Counterclaims, 7 February 2017, para 74; *Magyar Farming v Hungary*, Award, 13 November 2019, paras 25–27; *Gosling v Mauritius*, Award, 18 February 2020, paras 87–88.

⁴³³ *Gardella v Côte d'Ivoire*, Award, 29 August 1977, para 4.3; *Benvenuti & Bonfant v Congo*, Award, 8 August 1980, para 4.64; *Klöckner v Cameroon*, Award, 21 October 1983, 2 ICSID Reports 9, 63; *Amco v Indonesia*, Award, 20 November 1984, paras 147–148, 188, 201, 245–250, 265–268, 281; *Duke Energy v Peru*, Award, 18 August 2008, paras 144–161; *Aguaytia v Peru*, Award, 11 December 2008, paras 71–74.

⁴³⁴ *BG Group v Argentina*, Final Award, 24 December 2007, paras 89–103; *National Grid v Argentina*, Award, 3 November 2008, paras 81–90.

⁴³⁵ *Maffezini v Spain*, Award, 13 November 2000.

⁴³⁶ Argentina–Spain BIT Article 10(5).

on applicable law. It applied international law to some questions and host State law to other questions before it. For instance, on the issue of whether Spain was responsible for the actions of a State entity the Tribunal relied on the international law of State responsibility and on Spanish administrative law. Having reached an affirmative reply on attribution, it then applied the BIT. On the issue of an environmental impact assessment the Tribunal applied international law, Spanish legislation, a European Community directive, and the BIT. To the question of whether a contract had been perfected between the investor and the State entity, the Tribunal applied the Spanish Civil Code and the Spanish Commercial Code together with authoritative commentaries. On the issue of a statute of limitation under Spanish legislation, the Tribunal found that it did not apply to claims filed under the ICSID Convention.⁴³⁷

A widely held theory on the relationship of international law to host State law under the second sentence of Article 42(1) was the doctrine of the supplemental and corrective function of international law vis-à-vis domestic law.⁴³⁸ The ad hoc Committee in *Amco v Indonesia* described this doctrine as follows:

Article 42(1) of the Convention authorizes an ICSID tribunal to apply rules of international law only to fill up lacunae in the applicable domestic law and to ensure precedence to international law norms where the rules of the applicable domestic law are in collision with such norms.⁴³⁹

It is questionable whether this doctrine accurately reflects reality. Tribunals have given international law more than a mere ancillary or subsidiary role. The Tribunal in the resubmitted case of *Amco v Indonesia* called this a distinction without a difference:

This Tribunal notes that Article 42(1) refers to the application of host-state law and international law. If there are no relevant host-state laws on a particular matter, a search must be made for the relevant international laws. And, where there are applicable host-state laws, they must be checked against international laws, which will prevail in case of conflict. Thus international law is fully applicable and to classify its role as 'only' 'supplemental and corrective' seems a distinction without a difference.⁴⁴⁰

⁴³⁷ At paras 47–57, 67–71, 77, 83, 89–90, 92–93.

⁴³⁸ *Klöckner v Cameroon*, Decision on Annulment, 3 May 1985, para 69; *LETCO v Liberia*, Award, 31 March 1986, 2 ICSID Reports 343, 358–359; *SPP v Egypt*, Award, 20 May 1992, para 84; *Autopista v Venezuela*, Award, 23 September 2003, paras 101–105; *Caratube and Hourani v Kazakhstan*, Award, 27 September 2017, para 290.

⁴³⁹ *Amco v Indonesia*, Decision on Annulment, 16 May 1986, para 20.

⁴⁴⁰ *Amco v Indonesia*, Resubmitted Case: Award, 5 June 1990, para 40.

Gaillard and Banifatemi have shown convincingly that under the residual rule of Article 42(1) of the ICSID Convention both legal systems, international law and host State law, have equal positions.⁴⁴¹ It is left to the tribunals to identify the various issues before them to which international law or host State law is to apply.⁴⁴² In *CMS v Argentina* the Tribunal said:

there is here a close interaction between the legislation and the regulations governing the gas privatization, the License and international law, as embodied both in the Treaty and in customary international law. All of these rules are inseparable and will, to the extent justified, be applied by the Tribunal.⁴⁴³

In *Occidental Exploration v Ecuador* the arbitration was conducted under the UNCITRAL Rules of 1976. The Tribunal listed a mix of sources of law under host State law and under international law:

The dispute in the present case is related to various sources of applicable law. It is first related to the Contract ... it is next related to Ecuadorian tax legislation; this is followed by specific Decisions adopted by the Andean Community and issues that arise under the law of the WTO. In particular the dispute is related to the rights and obligations of the parties under the Treaty [ie the US–Ecuador BIT] and international law.⁴⁴⁴

It is only where there is a conflict between the host State's law and international law that a tribunal must make a decision on precedence. Where there is a contradiction between the two, international law will prevail.⁴⁴⁵

⁴⁴¹ E Gaillard and Y Banifatemi, 'The Meaning of "and" in Article 42(1), Second Sentence, of the Washington Convention: The Role of International Law in the ICSID Choice of Law Process' (2003) 18 *ICSID Rev* 375, 403–411.

⁴⁴² *Quiborax v Bolivia*, Award, 16 September 2015, para 91; *Magyar Farming v Hungary*, Award, 13 November 2019, para 26.

⁴⁴³ *CMS v Argentina*, Award, 12 May 2005, para 117. See also *Wena Hotels v Egypt*, Decision on Annulment, 28 January 2002, paras 37–40; *Azurix v Argentina*, Award, 14 July 2006, para 67; *LG&E v Argentina*, Decision on Liability, 3 October 2006, paras 82–99; *Enron v Argentina*, Award, 22 May 2007, paras 203–209; *Tokios Tokelès v Ukraine*, Award, 26 July 2007, paras 138–145; *Sempra v Argentina*, Award, 28 September 2007, paras 231–240.

⁴⁴⁴ *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, para 93. See also *Eastern Sugar v Czech Republic*, Partial Award, 27 March 2007, paras 191–197.

⁴⁴⁵ *Santa Elena v Costa Rica*, Award, 17 February 2000, paras 28, 35, 37, 40, 60–68; *Maffezini v Spain*, Award, 13 November 2000, paras 92, 93; *Wena Hotels v Egypt*, Award, 8 December 2000, para 107; *LG&E v Argentina*, Decision on Liability, 3 October 2006, para 94; *MCI v Ecuador*, Award, 31 July 2007, para 218; *ConocoPhillips v Venezuela*, Award, 8 March 2019, para 88.

The Tribunal in *LG&E v Argentina* emphasized that ultimately international law is controlling: ‘International law overrides domestic law when there is a contradiction since a State cannot justify non-compliance of its international obligations by asserting the provisions of its domestic law.’⁴⁴⁶

When applying international law, tribunals have at times applied treaties outside the area of investment law such as the New York Convention,⁴⁴⁷ treaties protecting human rights,⁴⁴⁸ or the United Nations Convention against Corruption.⁴⁴⁹ Tribunals have also applied customary international law, including principles of State responsibility,⁴⁵⁰ the principle of respect for acquired rights,⁴⁵¹ and the standard of compensation for wrongful acts.⁴⁵² General principles of law,⁴⁵³ including good faith,⁴⁵⁴ estoppel,⁴⁵⁵ and unjust enrichment,⁴⁵⁶ were also applied by tribunals.

With respect to European law, tribunal practice is divided on whether it is part of domestic and/or international law,⁴⁵⁷ and whether it is to be applied to a case as part of the applicable law or to be treated as a fact.⁴⁵⁸

⁴⁴⁶ *LG&E v Argentina*, Decision on Liability, 3 October 2006, para 94. See also *Santa Elena v Costa Rica*, Award, 17 February 2000, paras 64–65; *Duke Energy v Peru*, Decision on Jurisdiction, 1 February 2006, para 162.

⁴⁴⁷ United Nations Convention on the Recognition and Enforcement of Foreign Arbitral Awards: *Bayindir v Pakistan*, Decision on Jurisdiction, 14 November 2005, paras 174–179; *Saipem v Bangladesh*, Award, 30 June 2009, paras 163–170; *ATA v Jordan*, Award, 18 May 2010, paras 124 and 128.

⁴⁴⁸ *Toto v Lebanon*, Decision on Jurisdiction, 11 September 2009, paras 158–160; *Al Warraq v Indonesia*, Final Award, 15 December 2014, paras 518–522, 556–605.

⁴⁴⁹ *World Duty Free v Kenya*, Award, 4 October 2006, para 145.

⁴⁵⁰ *Jan de Nul v Egypt*, Decision on Jurisdiction, 16 June 2006, para 89; *Almås v Poland*, Award, 27 June 2016, paras 207–272; *Staur Eiendom v Latvia*, Award, 28 February 2020, paras 312–354.

⁴⁵¹ *Amco v Indonesia*, Award, 20 November 1984, para 248(v); *Magyar Farming v Hungary*, Award, 13 November 2019, paras 343–348.

⁴⁵² *Burlington v Ecuador*, Decision on Reconsideration and Award, 7 February 2017, paras 177, 574; *Caratube and Hourani v Kazakhstan*, Award, 27 September 2017 paras 1072–1091; *Watkins v Spain*, Award, 21 January 2020, para 677.

⁴⁵³ See generally *Inceysa v El Salvador*, Award, 2 August 2006, paras 226–227.

⁴⁵⁴ *Plama v Bulgaria*, Decision on Jurisdiction, 8 February 2005, para 147; *Vigotop v Hungary*, Award, 1 October 2014, paras 585–586; *Poštová banka v Greece*, Award, 9 April 2015, para 284.

⁴⁵⁵ *Quiborax v Bolivia*, Decision on Jurisdiction, 27 September 2012, paras 257–258; *Urbaser v Argentina*, Decision on Jurisdiction, 19 December 2012, para 109; *Minnotte v Poland*, Award, 16 May 2014, para 211.

⁴⁵⁶ *Amco v Indonesia*, Resubmitted Case: Award, 5 June 1990, paras 154–156; *Saluka v Czech Republic*, Partial Award, 17 March 2006, para 449; *Inceysa v El Salvador*, Award, 2 August 2006, paras 253–254.

⁴⁵⁷ *Electrabel v Hungary*, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, paras 4.112–4.129; *Vattenfall v Germany II*, Decision on the *Achmea* Issue, 31 August 2018, paras 140–150; *Eskosol v Italy*, Decision on Italy’s Request for Immediate Termination, 7 May 2019, paras 112–123, 173–174; *Landesbank Baden-Württemberg v Spain*, Decision on the Intra-EU Jurisdictional Objection, 25 February 2019, para 158; *Hydro Energy v Spain*, Decision on Jurisdiction, Liability and Directions on Quantum, 9 March 2020, para 494.

⁴⁵⁸ *AES v Hungary*, Award, 23 September 2010, para 7.6.12; *Micula v Romania I*, Final Award, 11 December 2013, para 328.

(c) Special issues of applicable law

Most of the rules on applicable law, like Article 42 of the ICSID Convention, relate to the law to be applied to the merits of a dispute. Some other important aspects that can arise in an investment dispute are not, however, regulated by these general rules on the governing law.

The law governing procedure is governed by the procedural framework chosen by the parties. In ICSID arbitration this is the Convention and the rules adopted under it.⁴⁵⁹

Jurisdiction is governed by the instruments establishing jurisdiction which may involve elements of international law as well as domestic law.⁴⁶⁰ Under the ICSID Convention, Article 42 does not apply to matters of jurisdiction.⁴⁶¹

The nationality of individuals⁴⁶² is determined primarily by the law of the State whose nationality is claimed.⁴⁶³ The nationality of juridical persons⁴⁶⁴ is determined by the criteria of incorporation or seat of the company in question subject to pertinent agreements, treaties, and legislation.⁴⁶⁵

Questions relating to the legal personality, status and capacity of a foreign corporate investor are governed by the domestic law applicable to corporate bodies (*lex societatis*), most often the law of the company's State of incorporation.⁴⁶⁶

Tribunals have held that the *jus standi* of claimants, especially of minority shareholders, was governed not by domestic law but by the ICSID Convention and the relevant BIT.⁴⁶⁷

To establish the existence and scope of rights, especially property rights, which the investor claims, host State will be relevant.⁴⁶⁸

⁴⁵⁹ See XII.11 above.

⁴⁶⁰ See XII.7(g) above.

⁴⁶¹ *Vattenfall v Germany II*, Decision on the *Achmea* Issue, 31 August 2018, paras 118–119; *Landesbank Baden-Württemberg v Spain*, Decision on the Intra-EU Jurisdictional Objection, 25 February 2019, para 161; *Hydro Energy v Spain*, Decision on Jurisdiction, Liability and Directions on Quantum, 9 March 2020, para 502.

⁴⁶² See also III.2 above.

⁴⁶³ *Champion Trading v Egypt*, Decision on Jurisdiction, 21 October 2003, sec 3.4.1; *Soufraki v UAE*, Award, 7 July 2004, para 55; *Siag v Egypt*, Decision on Jurisdiction, 11 April 2007, paras 195–201; *Micula v Romania I*, Decision on Jurisdiction, 24 September 2008, paras 86, 101.

⁴⁶⁴ See also III.3 above.

⁴⁶⁵ *AES v Argentina*, Decision on Jurisdiction, 26 April 2005, para 78.

⁴⁶⁶ *LESI & ASTALDI v Algeria*, Decision on Jurisdiction, 12 July 2006, para 93(i); *Noble Energy v Ecuador*, Decision on Jurisdiction, 5 March 2008, paras 87–89; *Amco v Indonesia*, Resubmitted Case: Decision on Jurisdiction, 10 May 1988, 1 ICSID Reports 561–562; *Scimitar v Bangladesh*, Award, 4 May 1994, paras 26–29. But see: *Abaclat v Argentina*, Decision on Jurisdiction and Admissibility, 4 August 2011, paras 413–421.

⁴⁶⁷ *Pan American v Argentina*, Decision on Preliminary Objections, 27 July 2006, para 217; *CMS v Argentina*, Decision on Jurisdiction, 17 July 2003, para 42, Decision on Annulment, 25 September 2007, para 68.

⁴⁶⁸ *Suez and Vivendi v Argentina*, Decision on Liability, 30 July 2010, para 151; *Alpha v Ukraine*, Award, 8 November 2010, para 347; *Total v Argentina*, Decision on Liability, 27 December 2010, para 39; *Emmis v Hungary*, Award, 16 April 2014, para 48; *Libananco v Turkey*, Award, 2 September 2011, paras 112–113, 385 ff; *Quiborax v Bolivia*, Decision on Jurisdiction, 27 September 2012, paras 52, 115 et

13. Remedies

(a) Satisfaction and restitution

Under the international law of State responsibility reparation for a wrongful act takes the forms of restitution, compensation, or satisfaction.⁴⁶⁹ In investment arbitration the remedy usually consists of monetary compensation. Satisfaction plays a subordinate role in investment law although obtaining a declaration of illegality may be an important factor motivating a claimant in some cases. In *Rompetrol v Romania*, the Tribunal found that ‘the claim to declaratory relief retained an independent existence of its own irrespective of the question of consequential loss or damage.’⁴⁷⁰ In some cases tribunals have granted requests for declaratory relief independently of an award of damages.⁴⁷¹

Restitution in kind or specific performance is ordered infrequently.⁴⁷² This is not due to any inherent limitation upon tribunals but the consequence of the situations in which most disputes arise and the way the claims are put forward. In some cases, tribunals did in fact order restitution⁴⁷³ or affirmed their power to do so.⁴⁷⁴

In *von Pezold v Zimbabwe*, the claimants’ farms had been seized by ‘settlers’ with the encouragement of the government. The Tribunal found in favour of restitution in combination with damages:

the Tribunal finds that restitution of the Zimbabwean Properties expropriated in 2005, including attached Water Permits, should be ordered in favor of the Claimants. While this Section of the Award has focused on restitution in kind, the Tribunal considers that it is further necessary to award compensation for

seq; *Philipp Morris v Uruguay*, Award, 8 July 2016, paras 177, 178; *Gavrilović v Croatia*, Award, 26 July 2018, para 432; *Italba v Uruguay*, Award, 22 March 2019, para 213; *Almasryia v Kuwait*, Award under Rule 41(5), 1 November 2019, paras 53–58.

⁴⁶⁹ Articles on Responsibility of States for Internationally Wrongful Acts adopted by the International Law Commission (ILC) in 2001, Article 34. J Crawford, *The International Law Commission's Articles on State Responsibility* (2002) 211.

⁴⁷⁰ *Rompetrol v Romania*, Award, 6 May 2013, para 294.

⁴⁷¹ *Biwater Gauff v Tanzania*, Award, 24 July 2008, paras 465–467, 807; *Europe Cement v Turkey*, Award, 13 August 2009, paras 146–148, 176, 181; *Bosca v Lithuania*, Award, 17 May 2013, paras 201–303; *Glencore v Colombia*, Award, 27 August 2019, paras 1104, 1663.

⁴⁷² See C Schreuer, ‘Non-Pecuniary Remedies in ICSID Arbitration’ (2004) 20 *Arbitr Int* 325.

⁴⁷³ *Martini Case (Italy v Venezuela)*, Award, 3 May 1930, (1931) 25 *AJIL* 554, at p 585; *Texaco v Libya*, Award on the Merits, 19 January 1977, 53 *ILR* 389, at pp 497–511; *Goetz v Burundi*, Award, 2 September 1998 and 10 February 1999, paras 132–133; *Semos v Mali*, Award, 25 February 2003, 10 *ICSID Reports* p 116 at p 129; *Enron v Argentina*, Decision on Jurisdiction, 14 January 2004, paras 76–79; *ADC v Hungary*, Award, 2 October 2006, para 523; *Siemens v Argentina*, Award, 6 February 2007, para 403(5); *ATA v Jordan*, Award, 18 May 2010, paras 129–132; *Arif v Moldova*, Award, 8 April 2013, paras 559–572.

⁴⁷⁴ *Nykomb v Latvia*, Award, 16 December 2003, sec. 5.1; *Micula v Romania I*, Decision on Jurisdiction and Admissibility, 24 September 2008, paras 158–168.

the losses incurred by the Claimants due to, inter alia, land damage and losses to productivity.⁴⁷⁵

In other cases, tribunals declined to order restitution as involving a disproportionate burden to the State concerned⁴⁷⁶ or as interfering with the State's sovereignty.⁴⁷⁷

(b) Damages for an illegal act

If an illegal act has been committed, the guiding principle is that reparation must, as far as possible, restore the situation that would have existed had the illegal act not been committed.⁴⁷⁸ In the *Chorzow Factory Case*, the PCIJ expressed this principle in the following words:

The essential principle contained in the actual notion of an illegal act—a principle which seems to be established by international practice and in particular by the decisions of arbitral tribunals—is that reparation must, as far as possible, wipe out all the consequences of the illegal act and re-establish the situation which would, in all probability, have existed if that act had not been committed.⁴⁷⁹

Under this principle, damages for a violation of international law should reflect the damage actually suffered by the victim. In other words, the victim's current situation will be compared with the one that would have prevailed had the act not been committed.⁴⁸⁰ Punitive or moral damages will not be granted⁴⁸¹ unless there are exceptional circumstances.⁴⁸² This subjective method includes any consequential damage but also incidental benefits arising as a consequence of the illegal act. The Tribunal in *Petrobart v Kyrgyzstan* said:

⁴⁷⁵ *von Pezold v Zimbabwe*, Award, 28 July 2015, para 744. See also paras 670–743, 1020.

⁴⁷⁶ Article 35 of the ILC's Articles on State Responsibility.

⁴⁷⁷ *LG&E v Argentina*, Award, 25 July 2007, paras 84–87; *Occidental Petroleum v Ecuador*, Decision on Provisional Measures, 17 August 2007, paras 66–86; *Antin v Spain*, Award, 15 June 2018, 631–637; *Masdar v Spain*, Award, 16 May 2018, paras 553–563.

⁴⁷⁸ Articles 31, 36 of the ILC's Articles on State Responsibility.

⁴⁷⁹ *Factory at Chorzów*, Merits, 13 September 1928, PCIJ, Series A, No 17, p 47.

⁴⁸⁰ *SolEs Badajoz v Spain*, Award, 31 July 2019, paras 475–477, 487–489; *OperaFund v Spain*, Award, 6 September 2019, paras 684–687.

⁴⁸¹ *Siag v Egypt*, Award, 1 June 2009, paras 544–548; *Europe Cement v Turkey*, Award, 13 August 2009, paras 177–181; *Cementownia v Turkey*, Award, 17 September 2009, paras 164–172; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, paras 426–486; *Rompetrol v Romania*, Award, 6 May 2013, paras 289–293; *ST-AD v Bulgaria*, Award on Jurisdiction, 18 July 2013, para 430.

⁴⁸² *Desert Line v Yemen*, Award, 6 February 2008, paras 284–291.

in so far as it appears that Petrobart has suffered damage as a result of the Republic's breaches of the Treaty, Petrobart shall so far as possible be placed financially in the position in which it would have found itself, had the breaches not occurred.⁴⁸³

The calculation of monetary reparation can be a complex undertaking, often requiring the involvement of valuation experts.⁴⁸⁴ One method to calculate damages is to look at the replacement value of property that has been taken or destroyed. This presupposes that the assets in question are actually replaceable. Another method is to look at the actual losses, that is, the amount invested as well as costs and expenses incurred by the investor.⁴⁸⁵ Tribunals have developed a variety of valuation methods.⁴⁸⁶

If the illegal act results in deprivation of income, damages may have to include lost profits.⁴⁸⁷ Lost profits will be awarded only if they are not speculative, that is, in cases where the investment has a record of profitability or there are other clear indicators of future profits.⁴⁸⁸ Also a risk element has to be factored into any calculation of future profits. In addition, care must be taken to avoid double counting. This may occur if actual expenses are combined with expected future profits.

Tribunals have also taken negligent behaviour by the investors into account when calculating damages due to them.⁴⁸⁹ In *MTD v Chile* the Tribunal found that the investors had made decisions that unnecessarily increased their risks and for which they bore responsibility. It followed that the damages due were to be appropriately reduced:

⁴⁸³ *Petrobart v Kyrgyzstan*, Award, 29 March 2005, pp 77–78. See also *MTD v Chile*, Award, 25 May 2004, para 238.

⁴⁸⁴ For a concise overview see I Marboe, 'Compensation and Damages in International Law, The Limits of "Fair Market Value"' (2006) 7 *JWIT* 723.

⁴⁸⁵ *Metalclad v Mexico*, Award, 30 August 2000, para 122; *Azurix v Argentina*, Award, 14 July 2006, para 425.

⁴⁸⁶ *Kardassopoulos v Georgia*, Award, 3 March 2010, paras 594–639; *Khan Resources v Mongolia*, Award on the Merits, 2 March 2015, paras 390–421; *von Pezold v Zimbabwe*, Award, 28 July 2015, paras 801–896; *Crystalex v Venezuela*, Award, 4 April 2016, paras 886–918; *Rusoro v Venezuela*, Award, 22 August 2016, paras 646–822.

⁴⁸⁷ *Amco v Indonesia*, Resubmitted Case: Award, 5 June 1990, paras 163–284; *LETCO v Liberia*, Award, 31 March 1986, 2 ICSID Reports 346, at pp 373–377; *Crystalex v Venezuela*, Award, 4 April 2016, paras 872–885.

⁴⁸⁸ *AAPL v Sri Lanka*, Award, 27 June 1990, paras 105–108; *SPP v Egypt*, Award, 20 May 1992, paras 186–189; *Metalclad v Mexico*, Award, 30 August 2000, paras 120–122; *Wena Hotels v Egypt*, Award, 8 December 2000, paras 123–124; *SD Myers v Canada*, Award on Damages, 21 October 2002, paras 173 et seq; *Tecmed v Mexico*, Award, 29 May 2003, para 186; *Autopista v Venezuela*, Award, 23 September 2003, paras 351–365; *PSEG v Turkey*, Award, 19 January 2007, paras 310–315; *LG&E v Argentina*, Award, 25 July 2007, paras 88–91; *Micula v Romania I*, Award, 11 December 2013, paras 990–1118.

⁴⁸⁹ Article 39 of the ILC's Articles on State Responsibility. See *Cargill v Poland*, Final Award, 29 February 2008, paras 663–670; *Bear Creek Mining v Peru*, Award, 30 November 2017, paras 565–569, 662–668.

The Tribunal considers therefore that the Claimants should bear part of the damages suffered and the Tribunal estimates that share to be 50% after deduction of the residual value of their investment⁴⁹⁰

In addition, tribunals have found that investors are under an obligation to mitigate their losses and any failure to do so would lead to an appropriate reduction of damages.⁴⁹¹ In *Yukos v Russian Federation*, the Tribunal said:

the legal concept of contributory fault must not be confused with the investor's duty to mitigate its losses. There are cases where the claimant's damages were reduced because the tribunal found that it failed to take some reasonable steps to minimize its losses. In such cases, 'the injured party must be held responsible for its own contribution to the loss.'⁴⁹²

Events subsequent to the illegal act may affect the damage caused and can be taken into account.⁴⁹³ All information available at the time of the award should be reflected in the calculation; this may include consequential damage or a diminution of damage. A subsequent increase in the value of the investment will also be relevant. In cases of unlawful expropriation tribunals have found that the claimant may select either the date of the expropriation or the date of the award for purposes of valuation.⁴⁹⁴ In *ADC v Hungary* the Tribunal after noting that the value of the investment had risen very considerably after the date of the illegal expropriation said:

the application of the *Chorzów Factory* standard requires that the date of valuation should be the date of the Award and not the date of expropriation, since this is what is necessary to put the Claimants in the same position as if the expropriation had not been committed.⁴⁹⁵

(c) Compensation for expropriation

The calculation of compensation for a lawful expropriation follows different standards.⁴⁹⁶ Compensation is one of the requirements for a legal expropriation together

⁴⁹⁰ *MTD v Chile*, Award, 25 May 2004, para 243. See also *Azurix v Argentina*, Award, 14 July 2006, paras 425–429.

⁴⁹¹ *EDF v Argentina*, Award, 11 June 2012, paras 1302–1317; *Unión Fenosa v Egypt*, Award, 31 August 2018, paras 10.124–10.132; *Magyar Farming v Hungary*, Award, 13 November 2019, paras 421–428.

⁴⁹² *Yukos v Russian Federation*, Final Award, 18 July 2014, para 1603, see also para 1776.

⁴⁹³ *Siemens v Argentina*, Award, 6 February 2007, paras 352, 353, 360; *Kardassopoulos v Georgia*, Award, 3 March 2010, para 514; *OperaFund v Spain*, Award, 6 September 2019, para 683.

⁴⁹⁴ *Yukos v Russian Federation*, Final Award, 18 July 2014, paras 1759–1769.

⁴⁹⁵ *ADC v Hungary*, Award, 2 October 2006, para 497.

⁴⁹⁶ For decisions clearly distinguishing between compensation for expropriation and damages for an illegal act see: *Nykomb v Latvia*, Award, 16 December 2003, sec 5.1; *MTD v Chile*, Award, 25 May

with a public purpose, non-discrimination, and a fair procedure.⁴⁹⁷ Most BITs and other treaties for the protection of investments contain this requirement.⁴⁹⁸ These treaties often refer to 'adequate' or 'appropriate' compensation. The World Bank Guidelines on the Treatment of Foreign Direct Investment state that

Compensation will be deemed 'adequate' if it is based on the fair market value of the taken asset as such value is determined immediately before the time at which the taking occurred or the decision to take the asset became publicly known.⁴⁹⁹

Many of the treaties dealing with compensation for expropriation also refer to the expropriated investment's fair market value.⁵⁰⁰ For instance, the Argentina–US BIT provides:

Compensation shall be equivalent to the fair market value of the expropriated investment immediately before the expropriatory action was taken or became known, whichever is earlier⁵⁰¹

Tribunals have frequently relied on the fair market value as the appropriate standard for compensation.⁵⁰²

Whereas damages for an illegal act look at the victim's subjective position, compensation for expropriation, as expressed in the investment's fair market value, is an objective standard that looks at the amount that a willing buyer would normally pay to a willing seller in a free transaction, at arm's length. On the other hand, a market value will often be a fiction, especially where a market for large and complex investments does not exist. Therefore, market value is determined often on the basis of future prospects or earning capacity of the investment.

The most frequently used method for determining market value is the discounted cash flow (DCF) method which looks at the projected likely income created by the investment in the future. The underlying assumption is that this is the standard for the price that a hypothetical buyer would be willing to pay. Under this method an estimate is made of cash flows that may be expected in the future. To

2004, para 238; *ADC v Hungary*, Award, 2 October 2006, para 481, 483; *Siemens v Argentina*, Award, 6 February 2007, paras 349–352; *LG&E v Argentina*, Award, 25 July 2007, paras 29–58; *Magyar Farming v Hungary*, Award, 13 November 2019, paras 368–372.

⁴⁹⁷ See VII.4 above.

⁴⁹⁸ ECT Article 13.

⁴⁹⁹ Guideline IV (3), (1992) 31 ILM 1379, 1382.

⁵⁰⁰ ECT Article 13 (1).

⁵⁰¹ Argentina–US BIT Article IV (1).

⁵⁰² *Biloune v Ghana*, Award on Jurisdiction and Liability, 27 October 1989, 95 ILR 184, at p 211; *SPP v Egypt*, Award, 20 May 1992, para 197; *Santa Elena v Costa Rica*, Award, 17 February 2000, para 70; *Rusoro v Venezuela*, Award, 22 August 2016, paras 398–410; *Saint-Gobain v Venezuela*, Decision on Liability and the Principles of Quantum, 30 December 2016, paras 627–851.

calculate the present value of future cash flows, a discount factor has to be applied in order to take account of the time value of money and of risk. Past data are relevant but not necessarily decisive for the determination of future prospects. Other 'value drivers' may also be indicative of future cash flows. Risk may be influenced by macroeconomic factors or political crises but also by the specific risk borne by the investment.

If the investment has not yet produced income or is unlikely to produce further income in the future, the appropriate method for valuation may be the liquidation value. This is the price at which the remaining assets could be sold under conditions of liquidation. This method usually yields a much lower value than valuation on the basis of a going concern.

The valuation date in the case of a lawful expropriations should be the date immediately before the fact of the expropriation became publicly known.⁵⁰³ This is designed to avoid an influence of the impending expropriation on the investment's market value.

(d) Interest

An award of damages or compensation normally includes interest.⁵⁰⁴ Interest is a sum paid or payable as compensation for the temporary withholding of money. If the investor had to take out a loan as a consequence of the deprivation, interest is designed to cover the cost of the loan. If no loan was taken, interest may reflect the lost earning capacity of the money in question.

Interest is due from the date at which the principal amount was due. In the case of damages this is normally the date of the wrongful act.⁵⁰⁵ In *AAPL v Sri Lanka* the Tribunal stated that:

the case-law elaborated by international arbitral tribunals strongly suggests that in assessing the liability due for losses incurred the interest becomes an integral part of the compensation itself, and should run consequently from the date when the State's international responsibility became engaged⁵⁰⁶

In case of compensation for an expropriation, interest is due normally from the date of the expropriation. That date may be difficult to determine with indirect or

⁵⁰³ *Venezuela Holdings v Venezuela*, Award, 9 October 2014, para 307; *Tidewater v Venezuela*, Award, 13 March 2015, paras 159–163.

⁵⁰⁴ Generally, see JY Gotanda, 'Awarding Interest in International Arbitration' (1996) 90 *AJIL* 40.

⁵⁰⁵ In some cases, this date may be difficult to determine. *PSEG v Turkey*, Award, 19 January 2007, paras 349–351.

⁵⁰⁶ *AAPL v Sri Lanka*, Award, 27 June 1990, para 114. See also *SPP v Egypt*, Award, 20 May 1992, para 234; *Metalclad v Mexico*, Award, 30 August 2000, para 128.

creeping expropriations. The appropriate date will be the day when the investor definitely lost control over the investment.⁵⁰⁷

The rate of interest may be calculated on the basis of the legal interest rate in an applicable legal system or some inter-bank rate such as LIBOR or EURIBOR.⁵⁰⁸

The practice of tribunals shows a clear trend towards compounding interest, that is, interest is capitalized at certain intervals and will then itself bear interest. While some tribunals have declined to award compound interest,⁵⁰⁹ the majority of recent decisions accepts it.⁵¹⁰

14. Costs

The costs of major investment arbitrations can be considerable and may run into millions of dollars.⁵¹¹ The costs consist of three elements: the charges for the use of the facilities and expenses of ICSID⁵¹² or any other arbitration institution, the fees and expenses of the arbitrators,⁵¹³ and the expenses incurred by the parties in connection with the proceedings. Of these three categories, the third, consisting mainly of the costs for legal representation, is typically by far the largest.

The ICSID Convention in Article 61(2) leaves it to the tribunal's discretion by whom these costs are to be paid, unless the parties agree otherwise. Other arbitration rules may provide differently. For instance, the UNCITRAL Arbitration Rules state that the costs of arbitration shall in principle be borne by the unsuccessful party.⁵¹⁴ But in a particular case, both parties may be partly successful.

The practice of tribunals on the attribution of costs is not uniform. In many cases the tribunals found that the fees and expenses of the Centre and of the arbitrators were to be shared equally and that each party had to bear its own expenses.⁵¹⁵ In *Eskosol v Italy* the Tribunal said:

⁵⁰⁷ *Vestey v Venezuela*, Award, 15 April 2016, paras 253–254; *Spence v Costa Rica*, Interim Award, 25 October 2016, paras 259–264; *Saint-Gobain v Venezuela*, Decision on Liability and the Principles of Quantum, 30 December 2016, paras 440–456, 467–478.

⁵⁰⁸ *Gavrilović v Croatia*, Award, 26 July 2018, para 1295; *UP and C.D v Hungary*, Award, 9 October 2018, para 599; *Greentech v Italy*, Award, 23 December 2018, para 577.

⁵⁰⁹ *CME v Czech Republic*, Final Award, 14 March 2003, paras 642–647; *Autopista v Venezuela*, Award, 23 September 2003, paras 393–397; *Strabag v Libya*, Award, 29 June 2020, paras 962–963.

⁵¹⁰ *Valores Mundiales v Venezuela*, Award 25 July 2017, paras 821–822; *Bear Creek Mining v Peru*, Award, 30 November 2017, para 715; *Magyar Farming v Hungary*, Award, 13 November 2019, para 432.

⁵¹¹ As of 2018, the average cost of an investment treaty arbitration was roughly US\$ 11 million. US\$ 10 million for the parties' combined legal costs and US\$ 1 million costs for the tribunal and administrative costs. See SD Franck, *Arbitration Costs* (2019) 209–210.

⁵¹² The details are set out in ICSID's Administrative and Financial Regulations as well as in a Schedule of Fees.

⁵¹³ See ICSID Schedule of Fees, para 3.

⁵¹⁴ UNCITRAL Arbitration Rules Article 42 (1).

⁵¹⁵ *Vacuum Salt v Ghana*, Award, 16 February 1994, paras 56–60; *World Duty Free v Kenya*, Award, 4 October 2006, paras 189–191; *RSM v Grenada I*, Award, 13 March 2009, paras 487–499; *RosInvest v Russian Federation*, Final Award, 12 September 2010, para 701; *AES v Hungary*, Award, 23 September 2010, para 15.3.3; *Brandes v Venezuela*, Award, 2 August 2011, para 120.

considering that both Parties prevailed to some significant extent, the Tribunal concludes that each Party should bear 50% of the costs of the arbitration, and should continue to bear its own direct costs incurred in connection with the proceeding.⁵¹⁶

In some cases, the tribunals awarded costs as a sanction for improper conduct of one of the parties. This was the case where they found that the claim had been frivolous or fraudulent or that there had been dilatory or otherwise improper conduct.⁵¹⁷ In *Churchill Mining v Indonesia*, the Tribunal held that the claimants were to pay the costs of the proceedings and the bulk of the costs incurred by respondent. The Tribunal's reason was as follows:

this is a case where investors started two arbitrations on the basis of a large number of documents that turned out to be forged and revealed a large scale fraudulent scheme.⁵¹⁸

In *Lighthouse v Timor-Leste*, the Tribunal noted that the claimants had raised additional arguments and filed new evidence just before the hearing. In light of this, and on an overall assessment of the course and outcome of the proceeding, the Tribunal concluded that the claimants were to bear the entirety of the ICSID arbitration costs and the reasonable legal costs of the respondent.⁵¹⁹

More recently, tribunals have shown a growing tendency to adopt the principle that costs follow the event. An award of costs against the losing party may be total or, more frequently, may cover a certain part of the overall costs in proportion to the parties' relative success.⁵²⁰ In *ADC v Hungary*, the claimant prevailed with its claim for illegal expropriation and other BIT violations. On the issue of costs, the Tribunal said:

... it can be seen from previous awards that ICSID arbitrators do in practice award costs in favour of the successful party and sometimes in large sums ... In the

⁵¹⁶ *Eskosol v Italy*, Award, 4 September 2020, para 494.

⁵¹⁷ *LETCO v Liberia*, Award, 31 March 1986, 2 ICSID Reports 370, at p 378; *Generation Ukraine v Ukraine*, Award, 16 September 2003, para 24.2; *Plama v Bulgaria*, Award, 27 August 2008, paras 321–322; *Phoenix v Czech Republic*, Award, 15 April 2009, paras 151–152; *Europe Cement v Turkey*, Award, 13 August 2009, paras 185–186; *Cementownia v Turkey*, Award, 17 September 2009, paras 177–178; *Fakes v Turkey*, Award, 14 July 2010, paras 153–154.

⁵¹⁸ *Churchill Mining v Indonesia*, Award, 6 December 2016, para 549.

⁵¹⁹ *Lighthouse v Timor-Leste*, Award, 22 December 2017, paras 344–345.

⁵²⁰ *Inceysa v El Salvador*, Award, 2 August 2006, para 338; *Telenor v Hungary*, Award, 13 September 2006, paras 104–108; *Champion Trading v Egypt*, Award, 27 October 2006, paras 165–178; *PSEG v Turkey*, Award, 19 January 2007, paras 352–353; *Alpha v Ukraine*, Award, 8 November 2010, para 516; *RSM v Grenada II*, Award, 10 December 2010, paras 8.3.4–8.3.6; *AFT v Slovakia*, Award, 5 March 2011, paras 260–270; *Flughafen Zürich v Venezuela*, Award, 18 November 2014, para 989; *Almasryia v Kuwait*, Award under Rule 41(5), 1 November 2019, paras 63, 65.

present case, the Tribunal can find no reason to depart from the starting point that the successful party should receive reimbursement from the unsuccessful party... Were the Claimants not to be reimbursed their costs ... it could not be said that they were being made whole.⁵²¹

In some cases, tribunals found that the costs claimed by successful respondents were excessive and declined to accept them for purposes of their cost calculations.⁵²²

Security for costs⁵²³ to guarantee a cost award against claimant has been granted sparingly.⁵²⁴ Tribunals have acknowledged their power to make decisions to this effect⁵²⁵ but have reserved it for exceptional circumstances.

Some proceedings are financed by third-party funders. The purpose is to enable impecunious investors to pursue claims or to transfer the risk of litigation to a third party. Some tribunals have found that third-party funding did not affect their cost decisions.⁵²⁶ Other tribunals have taken third-party funding into consideration.⁵²⁷ Some tribunals have required the disclosure of third-party funding arrangements.⁵²⁸

15. Review of awards

Awards are final and not subject to any appeals procedures.⁵²⁹ It is only under very limited circumstances that a review of awards is possible. Two potentially conflicting principles are at work in the process of review of a judicial decision: the principle of finality and the principle of correctness. Finality serves the purpose

⁵²¹ *ADC v Hungary*, Award, 2 October 2006, paras 531, 533.

⁵²² *Charanne v Spain*, Final Award, 21 January 2016, paras 563–564; *Cortec v Kenya*, Award, 22 October 2018, paras 400–401; *Interocean v Nigeria*, Award, 6 October 2020, paras 384–387.

⁵²³ See also above XII.11(d).

⁵²⁴ *RSM v St Lucia*, Decision on Saint Lucia's Request for Security for Costs, 13 August 2014; *Manuel García Armas v Venezuela*, Award on Jurisdiction, 13 December 2019, paras 91–126, 751; *Herzig v Turkmenistan*, Decision on Security for Costs, 27 January 2020. In *Adamakopoulos v Cyprus*, Decision on Jurisdiction, 7 February 2020, paras 264–266, 342 (iii), the Tribunal took the initiative to invite the respondent to make an application for security for costs.

⁵²⁵ *Libananco v Turkey*, Decision on Preliminary Issues, 23 June 2008, para 57; *RSM v Grenada II*, Decision on Application for Security for Costs, 14 October 2010; *Burimi v Albania*, Provisional Measures Concerning Security for Costs, 3 May 2012, para 28; *Commerce Group v El Salvador*, Annulment Proceeding: Decision on El Salvador's Application for Security for Costs, 20 September 2012.

⁵²⁶ *Kardassopoulos v Georgia*, Award, 3 March 2010, paras 691–692; *RSM v Grenada I*, Order of the Committee Discontinuing the Proceedings and Decision on Costs, 28 April 2011, para 68; *ATA v Jordan*, Annulment Proceeding: Order Taking Note of the Discontinuance of the Proceeding, 11 July 2011, para 34.

⁵²⁷ *Renta 4 v Russian Federation*, Award, 20 July 2012, para 223; *Axos v Kosovo*, Award, 3 May 2018, para 270.

⁵²⁸ *Muhammet Çap v Turkmenistan*, Procedural Order No 3, 12 June 2015; *EuroGas v Slovakia*, Award, 18 August 2017, paras 105 c), 110.

⁵²⁹ ICSID Convention Article 53.

of efficiency in terms of an expeditious and economical settlement of disputes. Correctness is an elusive goal that takes time and effort and may involve several layers of control, a phenomenon that is well known from appeals in domestic court procedure. In arbitration the principle of finality is traditionally given more weight than the principle of correctness.

There have been recurrent attempts to introduce an appeals procedure in investment arbitration. The assumption behind these plans is that it will promote the consistency and correctness of decisions. An initiative to that effect within ICSID, launched in 2004, was not pursued.⁵³⁰ Since 2004 treaties of the United States foresee the creation of appeals mechanisms.⁵³¹ More recently, the European Union has taken up the idea. The CETA⁵³² foresees a bilateral appeals mechanism together with an undertaking to pursue plans for a multilateral appellate mechanism.⁵³³ In the negotiations taking place in the framework of the UNCITRAL Working Group III, on Investor–State Dispute Settlement Reform, the establishment of an appellate mechanism is under consideration.⁵³⁴

(a) Review in non-ICSID arbitration

In non-ICSID arbitration, including arbitration under the Additional Facility, the normal way to challenge an award is through national courts. This is done in the courts of the country in which the tribunal had its seat or by the courts charged with the task of enforcing the award.

The New York Convention on the Recognition and Enforcement of Foreign Arbitral Awards of 1958⁵³⁵ in its Article V lists several grounds on the basis of which recognition and enforcement of a non-national arbitral award may be refused at the request of a party. The UNCITRAL Model Law on International Commercial Arbitration of 1985 foresees a limited number of grounds for the setting aside or non-recognition of an international commercial award by a domestic court, which are based on Article V of the New York Convention.⁵³⁶ In many countries, national arbitration laws include rules on the setting aside of arbitral awards that are modelled on the UNCITRAL Model Law.

⁵³⁰ ICSID Working Paper, *Suggested Changes to the ICSID Rules and Regulations*, 12 May 2005, para 4.

⁵³¹ United State Model Bilateral Investment Treaty of 2012, Article 28(10).

⁵³² Comprehensive Economic and Trade Agreement (CETA) between Canada, the European Union and its member States, signed 30 October 2016, not in force. Parts of the treaty are provisionally applied since 21 September 2017.

⁵³³ CETA Articles 8.28 and 8.29. See also EU–Singapore Investment Protection Agreement Article 3.10 (not yet in force); EU–Viet Nam Investment Protection Agreement Article 3.39 (not yet in force).

⁵³⁴ UN General Assembly Doc A/CN.9/WG.III/WP.185.

⁵³⁵ 330 UNTS 38 (1959).

⁵³⁶ UNCITRAL Model Law, Articles 34 and 36, (1985) 24 ILM 1302, 1311–1313.

The most important grounds for the setting aside of awards under these laws are the invalidity of the arbitration agreement, lack of proper notice of the arbitration proceedings, a decision in the award beyond the scope of the submission to arbitration, improper composition of the tribunal, a subject-matter not capable of settlement by arbitration under the law of the State in question, and an award that is in conflict with the public policy of that State. Proceedings for the setting aside of awards in non-ICSID investment arbitration have taken place in several cases.⁵³⁷

(b) Annulment of awards under the ICSID Convention

ICSID awards are not subject to annulment or any other form of scrutiny by domestic courts. Rather, Article 52 of the ICSID Convention offers its own self-contained system for review. Under this procedure, an ad hoc committee may annul the award upon the request of a party. The ad hoc committee consists of three persons, appointed by the Chairman of ICSID's Administrative Council.⁵³⁸ The Chairman in making these appointments is restricted to ICSID's Panel of Arbitrators. Therefore, States have a structural advantage over annulment proceedings in that they control the composition of the Panel of Arbitrators. The exclusion of nationals and co-nationals of the parties to the proceedings applies also for members of ad hoc committees.

The application for annulment must come from one of the parties to the arbitration and must be submitted within 120 days of the award's dispatch to the parties.⁵³⁹ There is no *ex officio* annulment.

The application for annulment must state one or several grounds for annulment listed in Article 52(1) and the annulable features of the award. But the applicant may further develop its arguments subsequently.⁵⁴⁰ A party may not amend its application for annulment in the course of the proceedings for annulment by adding points that were known to it, but which it failed to raise in the original application. An ad hoc committee is restricted to the grounds for annulment raised by the parties.

Only awards are subject to annulment. There is no annulment of other decisions, such as decisions upholding jurisdiction or decisions on provisional

⁵³⁷ *Mexico v Metalclad*, Judicial Review, Supreme Court of British Columbia, 2 May 2001, 5 ICSID Reports 236; *Rusoro v Venezuela*, Paris Court of Appeal, 29 January 2019; *Veteran Petroleum, Yukos Universal and Hulley Enterprises v Russian Federation*, Court of Appeal of The Hague, Judgment, 18 February 2020.

⁵³⁸ The President of the World Bank holds this office, *ex officio*.

⁵³⁹ ICSID Convention Articles 52(2) and 49(1).

⁵⁴⁰ *Wena Hotels v Egypt*, Decision on Annulment, 28 January 2002, para 19; *Soufraki v UAE*, Decision on Annulment, 5 June 2007, paras 33–36; *von Pezold v Zimbabwe*, Decision on Annulment, 21 November 2018, paras 288–297; *Pey Casado v Chile*, Resubmitted Case: Decision on Annulment, 8 January 2020, paras 729, 740, 750–751.

measures, except to the extent that they are subsequently incorporated into the award. A decision by a tribunal declining jurisdiction is an award and therefore subject to annulment.

Under Article 52(5) of the ICSID Convention the ad hoc committee may stay the enforcement of the award while annulment proceedings are pending.⁵⁴¹ Before the constitution of the ad hoc committee the stay will be automatic if it is requested in the application for annulment. Some ad hoc committees have required a bank guarantee or similar security from the award debtor for the eventual payment of the award as a condition for the stay of enforcement.⁵⁴² The guarantee will be operative if annulment is rejected and the award becomes enforceable. Other ad hoc committees have declined to order such a security.⁵⁴³

Annulment is different from an appeal. Annulment is concerned only with the legitimacy of the process of decision but not with its substantive correctness. Appeal is concerned with both. Appeal may result in the replacement of the decision by a new decision. Annulment merely removes the original decision without replacing it. Therefore, an ad hoc committee acting under the ICSID Convention does not have the power to render its own decision on the merits. ICSID ad hoc committees have stressed the distinction between annulment and appeal.⁵⁴⁴

The ad hoc Committee in *CDC v Seychelles* described the function of annulment in the following terms:

This mechanism protecting against errors that threaten the fundamental fairness of the arbitral process (but not against incorrect decisions) arises from the ICSID Convention's drafters' desire that Awards be final and binding, which is an

⁵⁴¹ ICSID Arbitration Rule 54.

⁵⁴² *Amco v Indonesia*, Decision on Annulment, 16 May 1986, paras 8–9; *Amco v Indonesia*, Resubmitted Case: Interim Order No. 1, 2 March 1991, para 19; *Wena Hotels v Egypt*, Decision on Annulment, 28 January 2002, paras 5–6; *CDC v Seychelles*, Decision on Continued Stay, 14 July 2004, Decision on Annulment, 29 June 2005, para 16; *Repsol v Ecuador*, Decision on Annulment, 8 January 2007, paras 8, 12; *Vivendi v Argentina*, Resubmitted Case: Decision on Stay of Enforcement, 4 November 2008; *Semptra v Argentina*, Decision on Continued Stay of Enforcement, 5 March 2009 and Decision on Termination of Stay of Enforcement, 7 August 2009; *Unión Fenosa v Egypt*, Decision on Termination of Stay, 24 January 2020, para 2; *Perenco v Ecuador*, Decision on Continuation of Stay, 21 February 2020, paras 79–80.

⁵⁴³ *MINE v Guinea*, Interim Order No. 1 on Guinea's Application for Stay of Enforcement of the Award, 12 August 1988, 4 ICSID Reports 111; *Mitchell v Congo*, Decision on the Stay of Enforcement, 30 November 2004; *MTD v Chile*, Decision on Continued Stay of Execution, 1 June 2005; *CMS v Argentina*, Decision on Continued Stay of Enforcement, 1 September 2006; *Azurix v Argentina*, Decision on Continued Stay of Enforcement, 28 December 2007; *Enron v Argentina*, Decision on Second Request to Lift Stay of Enforcement, 20 May 2009; *Rumeli v Kazakhstan*, Decision on Annulment, 25 March 2010, paras 10–24; *Pey Casado v Chile*, Decision on Stay of Enforcement, 5 May 2010; *Carnegie Minerals v Gambia*, Decision on Continued Stay of Enforcement, 18 October 2018, paras 50–52.

⁵⁴⁴ *Klöckner v Cameroon*, Decision on Annulment, 3 May 1985, paras 83, 118, 120, 178; *Amco v Indonesia*, Decision on Annulment, 16 May 1986, paras 43, 110; *MINE v Guinea*, Decision on Annulment, 14 December 1989, paras 4.04, 5.08, 6.55; *Fraport v Philippines I*, Decision on Annulment, 23 December 2010, para 76; *Tulip v Turkey*, Decision on Annulment, 30 December 2015, paras 42, 44; *Standard Chartered Bank v TANESCO*, Decision on Annulment, 22 August 2018, para 63; *Pey Casado v Chile*, Resubmitted Case: Decision on Annulment, 8 January 2020, paras 205, 604, 683.

expression of ‘customary law based on the concepts of *pacta sunt servanda* and *res judicata*,’ and is in keeping with the object and purpose of the Convention. Parties use ICSID arbitration (at least in part) because they wish a more efficient way of resolving disputes than is possible in a national court system with its various levels of trial and appeal, or even in non-ICSID Convention arbitrations (which may be subject to national courts’ review under local laws and whose enforcement may also be subject to defenses available under, for example, the New York Convention).⁵⁴⁵

A decision by an ad hoc committee upholding a request for annulment for any of the grounds listed in Article 52(1) invalidates the original award. But it does not replace it with a new decision on the merits. Under Article 52(6) of the ICSID Convention, if the award is annulled the dispute can be submitted to a new tribunal at the request of either party.

Requests for partial annulment of awards are possible. If the award is partially annulled only the annulled portion of the award falls to be re-litigated while the unannulled part remains *res judicata*.⁵⁴⁶

Any determinations of fact and law made by the ad hoc committee are not binding on the tribunal hearing the resubmitted case. Only the annulment of the award but not the reasoning accompanying it is binding.⁵⁴⁷ But the parties may not introduce new claims that they had not presented to the first tribunal in the resubmitted case.⁵⁴⁸

The grounds for annulment under the ICSID Convention are listed exhaustively in Article 52(1):

- (a) that the Tribunal was not properly constituted;
- (b) that the Tribunal has manifestly exceeded its powers;
- (c) that there was corruption on the part of a member of the Tribunal;
- (d) that there has been a serious departure from a fundamental rule of procedure; or
- (e) that the award has failed to state the reasons on which it is based.

Annulment is restricted to these five grounds. Any request for annulment must be brought under one or several of these grounds and the ad hoc committee may

⁵⁴⁵ *CDC v Seychelles*, Decision on Annulment, 29 June 2005, para 36, footnotes omitted.

⁵⁴⁶ ICSID Arbitration Rule 55(3). *Amco v Indonesia*, Resubmitted Case: Decision on Jurisdiction, 10 May 1988, 1 ICSID Reports 543 pp 545–561; *Vivendi v Argentina*, Resubmitted Case: Decision on Jurisdiction, 14 November 2005, paras 30–31; *Pey Casado v Chile*, Resubmitted Case: Award, 13 September 2016, paras 173–179; *TECO v Guatemala*, Resubmitted Case: Award, 13 May 2020, paras 66–140.

⁵⁴⁷ *Amco v Indonesia*, Resubmitted Case: Decision on Jurisdiction, 10 May 1988, 1 ICSID Reports 543, at p 552.

⁵⁴⁸ At pp 560–561, 566–567.

not annul on other grounds. Also, a party may not present in the annulment proceedings new arguments on fact or law that it failed to put forward in the original arbitral proceeding. Therefore, Article 52 of the ICSID Convention offers a review process that is limited to a few fundamental standards of a mostly procedural nature.

Under Article 52(3) of the ICSID Convention the ad hoc committee has the authority to annul the award. Therefore, an ad hoc committee has discretion and will not be under an obligation to annul even if it finds that there is a ground for annulment listed in Article 52(1). An ad hoc committee must decide whether the fault is grave enough to warrant annulment, especially whether it has made a material difference to the position of one of the parties.⁵⁴⁹ The ad hoc Committee in *Vivendi* said:

it appears to be established that an *ad hoc* committee has a certain measure of discretion as to whether to annul an award, even if an annulable error is found. Article 52 (3) provides that a committee ‘shall have the authority to annul the award or any part thereof’, and this has been interpreted as giving committees some flexibility in determining whether annulment is appropriate in the circumstances. Among other things, it is necessary for an *ad hoc* committee to consider the significance of the error relative to the legal rights of the parties.⁵⁵⁰

Only three of the grounds for annulment listed above have played a significant role in practice: excess of powers, serious departure from a fundamental rule of procedure, and failure to state reasons. Parties requesting annulment typically have claimed the presence of more than one of these defects justifying annulment.

aa. Improper constitution of tribunal

Applications for annulment on the ground that the tribunal was not properly constituted are rare. ICSID carefully supervises the constitution of tribunals, making improprieties unlikely. In the few recorded cases, applicants took issue with the modalities of the appointment of an arbitrator by ICSID,⁵⁵¹ with the modalities of challenges of arbitrators during the proceedings before the tribunal,⁵⁵² with alleged relationships of an arbitrator to one of the parties,⁵⁵³ and with prior professional

⁵⁴⁹ *MINE v Guinea*, Decision on Annulment, 14 December 1989, paras 4.09–4.10; *Vivendi v Argentina*, Decision on Annulment, 3 July 2002, para 66; *CDC v Seychelles*, Decision on Annulment, 29 June 2005, paras 37, 65; *Tulip v Turkey*, Decision on Annulment, 30 December 2015, paras 45–47; But see the early decision to the contrary in *Klöckner v Cameroon*, Decision on Annulment, 3 May 1985, paras 80, 116, 151, 179.

⁵⁵⁰ *Vivendi v Argentina*, Decision on Annulment, 3 July 2002, para 66, footnote omitted. See also paras 63, 86.

⁵⁵¹ *Carnegie Minerals v Gambia*, Decision on Annulment, 7 July 2020.

⁵⁵² *Mobil v Argentina*, Decision on Annulment, 8 May 2019, para 44; *Pey Casado v Chile*, Resubmitted Case: Decision on Annulment, 8 January 2020, para 564.

⁵⁵³ *Suez and Vivendi v Argentina*, Decision on Annulment, 5 May 2017, paras 186–219.

contacts of an arbitrator with a quantum expert.⁵⁵⁴ All but one application resting on this ground for annulment have failed.

bb. Excess of powers

An excess of powers occurs where the tribunal deviates from the parties' agreement to arbitrate. This will be the case if the tribunal made a decision on the merits although it did not have jurisdiction or if it exceeded its jurisdiction. Jurisdiction is determined by Article 25 of the ICSID Convention. The requirements listed there must be met, otherwise there is no jurisdiction. This will be the case if there was no legal dispute arising directly out of an investment. Similarly, if the nationality requirements under the ICSID Convention were not met there was no jurisdiction and a decision on the merits would be an excess of powers. Absence of a valid consent to arbitration would also mean that there is no jurisdiction and an award on the merits would be an excess of powers.

An excess of powers must be manifest to constitute a ground for annulment. Manifest means that the excess of powers must be obvious.⁵⁵⁵ Some ad hoc committees have added that the excess of powers must also be serious:

It seems to this Committee that a manifest excess of power implies that the excess of power should at once be textually obvious and substantively serious.⁵⁵⁶

In *Mitchell v Congo* the request for annulment argued that the Tribunal had committed a manifest excess of powers by assuming jurisdiction although the dispute had not arisen from an investment. The ad hoc Committee held that a contribution to the host State's economic development was an indispensable element of the concept of an investment under the ICSID Convention. The ad hoc Committee found that there was no indication that the claimant's business—a legal counselling firm—had made such a contribution. It followed for the ad hoc Committee that there was no investment in the sense of Article 25 of the ICSID Convention and that the Tribunal had consequently committed a manifest excess of powers by assuming jurisdiction.⁵⁵⁷

⁵⁵⁴ *Eiser v Spain*, Decision on Annulment, 11 June 2020, paras 156–229.

⁵⁵⁵ *Klöckner v Cameroon*, Decision on Annulment, 3 May 1985, 2 ICSID Reports 95, paras 17, 52(e); *Wena Hotels v Egypt*, Decision on Annulment, 28 January 2002, 6 ICSID Reports 129, para 25; *CDC v Seychelles*, Decision on Annulment, 29 June 2005, paras 41, 42; *Mitchell v Congo*, Decision on Annulment, 1 November 2006, para 20; *Repsol v Petroecuador*, Decision on Annulment, 8 January 2007, para 36; *Daimler v Argentina*, Decision on Annulment, 7 January 2015, para 187; *Standard Chartered Bank v TANESCO*, Decision on Annulment, 22 August 2018, para 222.

⁵⁵⁶ *Soufraki v UAE*, Decision on Annulment, 5 June 2007, para 40. See also: *Fraport v Philippines I*, Decision on Annulment, 23 December 2010, paras 39–45, 112; *SGS v Paraguay*, Decision on Annulment, 19 May 2014, para 122; *Kiliç v Turkmenistan*, Decision on Annulment, 14 July 2015, para 53.

⁵⁵⁷ *Mitchell v Congo*, Decision on Annulment, 1 November 2006, paras 23–48.

Failure to exercise an existing jurisdiction also constitutes an excess of powers.⁵⁵⁸ In *Vivendi* the ad hoc Committee said:

It is settled, and neither party disputes, that an ICSID tribunal commits an excess of powers not only if it exercises a jurisdiction which it does not have ... but also if it fails to exercise a jurisdiction which it possesses⁵⁵⁹

The Tribunal had not decided certain claims that were before it but had referred the claimants to the domestic courts. The ad hoc Committee found that the Tribunal had thereby committed an excess of powers:

In the Committee's view, it is not open to an ICSID tribunal having jurisdiction under a BIT in respect of a claim based upon a substantive provision of that BIT, to dismiss the claim on the ground that it could or should have been dealt with by a national court... the Committee concludes that the Tribunal exceeded its powers in the sense of Article 52(1)(b), in that the Tribunal, having jurisdiction over the Tucumán claims, failed to decide those claims.⁵⁶⁰

Article 52(1) of the ICSID Convention does not, in express terms, provide for annulment for failure to apply the proper law. But the provisions on applicable law are an essential element of the parties' agreement to arbitrate. Therefore, the application of a law other than that agreed to by the parties may constitute an excess of powers and can be a valid ground for annulment. On the other hand, an error in the application of the proper law, even if it leads to an incorrect decision, is not a ground for annulment. Ad hoc committees, although recognizing this distinction in principle, have grappled with the dividing line between non-application and erroneous application of the proper law.⁵⁶¹

In *Wena v Egypt*, the proper law was host State law and applicable rules of international law. In the annulment proceedings, Egypt argued that the Tribunal, by awarding interest at the rate of 9 per cent, compounded quarterly, had failed to

⁵⁵⁸ *Soufraki v UAE*, Decision on Annulment, 5 June 2007, para 43; *Lucchetti v Peru*, Decision on Annulment, 5 September 2007, para 99.

⁵⁵⁹ *Vivendi v Argentina*, Decision on Annulment, 3 July 2002, para 86.

⁵⁶⁰ At paras 102, 115.

⁵⁶¹ *Klöckner v Cameroon*, Decision on Annulment, 3 May 1985 paras 59–61; *Amco v Indonesia*, Decision on Annulment, 16 May 1986, paras 21–28; *MINE v Guinea*, Decision on Annulment, 14 December 1989, paras 5.02–5.04; *Wena Hotels v Egypt*, Decision on Annulment, 28 January 2002, paras 26–53; *CDC v Seychelles*, Decision on Annulment, 29 June 2005, para 46; *Mitchell v Congo*, Decision on Annulment, 1 November 2006, paras 55–57; *MTD v Chile*, Decision on Annulment, 21 March 2007, paras 44–48, 58–77; *Soufraki v UAE*, Decision on Annulment, 5 June 2007, paras 85–102; *CMS v Argentina*, Decision on Annulment, 25 September 2007, paras 128–136; *Azurix v Argentina*, Decision on Annulment, 1 September 2009, paras 46–48, 131–177, 314–329; *Sempra v Argentina*, Decision on Annulment, 29 June 2010, paras 186–210; *Enron v Argentina*, Decision on Annulment, 30 July 2010, paras 218–220, 377–405; *Duke Energy v Peru*, Decision on Annulment, 1 March 2011, para 212.

apply the proper law since such a calculation of interest was contrary to Egyptian law. The ad hoc Committee rejected this argument. It found that under the BIT, compensation had to reflect the market value of the expropriated investment. This had to be read as including a determination of appropriate interest. The ad hoc Committee said:

53. The option the Tribunal took was in the view of this Committee within the Tribunal's power. International law and ICSID practice, unlike the Egyptian Civil Code, offer a variety of alternatives that are compatible with those objectives. These alternatives include the compounding of interest in some cases.⁵⁶²

In *Standard Chartered Bank v TANESCO*, the ad hoc Committee was faced with the allegation that the Tribunal had committed a manifest excess of powers by referring to English law and not applying Tanzanian law. The Committee reviewed the Tribunal's analysis and found that, whilst it had referred to English doctrine, this was in the context of applying the relevant provision of Tanzanian law, which was identical to English law. There was no application of English law as such, and no manifest excess of powers.⁵⁶³

cc. Corruption

Corruption would be improper conduct by an arbitrator induced by personal gain. Corruption of an arbitrator has never been successfully alleged. It was listed as one of several grounds for annulment in one case but was subsequently dropped.⁵⁶⁴

dd. Serious departure from a fundamental rule of procedure

Under the ICSID Convention, a violation of a rule of procedure would be a ground for annulment only if the departure from the rule was serious and the rule concerned was fundamental. The seriousness of the departure requires that it is more than minimal and that it must have had a material effect on a party. A minor and inconsequential breach of a rule of procedure is no ground for annulment. A rule is fundamental if its observation is necessary for the fairness of the proceedings.⁵⁶⁵

⁵⁶² *Wena Hotels v Egypt*, Decision on Annulment, 28 January 2002, para 53, footnote omitted.

⁵⁶³ *Standard Chartered Bank v TANESCO*, Decision on Annulment, 22 August 2018, paras 301–302.

⁵⁶⁴ *Vivendi v Argentina*, Resubmitted Case: Decision on Annulment, 10 August 2010, paras 2, 17.

⁵⁶⁵ *Klöckner v Cameroon*, Decision on Annulment, 3 May 1985, paras 82bis–113; *MINE v Guinea*, Decision on Annulment, 14 December 1989, paras 5.05–5.06; *Wena Hotels v Egypt*, Decision on Annulment, 28 January 2002, paras 56–58; *CDC v Seychelles*, Decision on Annulment, 29 June 2005, paras 48, 49; *Azurix v Argentina*, Decision on Annulment, 1 September 2009, paras 49–52, 234; *Enron v Argentina*, Decision on Annulment, 30 July 2010, paras 70–71; *Libananco v Turkey*, Decision on Annulment, 22 May 2013, para 85; *Lemire v Ukraine*, Decision on Annulment, 8 July 2013, para 263; *Tulip v Turkey*, Decision on Annulment, 30 December 2015, para 71.

An example for a fundamental rule of procedure is the right to be heard.⁵⁶⁶ In several cases involving the charge of a violation of the right to be heard, a party complained that the award was based on a theory that had not been discussed by the parties before the tribunal. The ad hoc committees have rejected the idea that the tribunals in drafting their awards are restricted to the arguments presented by the parties.⁵⁶⁷ In *Klöckner v Cameroon* the ad hoc Committee said:

arbitrators must be free to rely on arguments which strike them as the best ones, even if those arguments were not developed by the parties (although they could have been). Even if it is generally desirable for arbitrators to avoid basing their decision on an argument that has not been discussed by the parties, it obviously does not follow that they therefore commit a 'serious departure from a fundamental rule of procedure'.⁵⁶⁸

Other instances of invocations of fundamental rules of procedure concerned impartiality and equal treatment of the parties⁵⁶⁹ and issues of evidence.⁵⁷⁰

A party that is aware of a violation of a rule of procedure by the tribunal must react immediately by stating its objection and by demanding compliance. Under Arbitration Rule 27,⁵⁷¹ failure to do so will be interpreted as a waiver to object at a later stage. If a party has failed to protest against a perceived procedural irregularity before the tribunal, it cannot subsequently claim in annulment proceedings that this irregularity constituted a serious departure from a fundamental rule of procedure.⁵⁷²

⁵⁶⁶ *MINE v Guinea*, Decision on Annulment, 14 December 1989, para 5.06; *Amco v Indonesia*, Resubmitted Case: Decision on Annulment, 3 December 1992, paras 9.05–9.10; *Wena Hotels v Egypt*, Decision on Annulment, 28 January 2002, para 57; *Lucchetti v Peru*, Decision on Annulment, 5 September 2007, para 122; *Helnan v Egypt*, Decision on Annulment, 14 June 2010, para 38; *Fraport v Philippines I*, Decision on Annulment, 23 December 2010, paras 127–133, 144–247.

⁵⁶⁷ *Wena Hotels v Egypt*, Decision on Annulment, 28 January 2002, paras 66–70; *Vivendi v Argentina*, Decision on Annulment, 3 July 2002, paras 82–85; *Caratube v Kazakhstan*, Decision on Annulment, 21 February 2014, paras 178–179; *Daimler v Argentina*, Decision on Annulment, 7 January 2015, para 295; *Tza Yap Shum v Peru*, Decision on Annulment, 12 February 2015, paras 131, 141.

⁵⁶⁸ *Klöckner v Cameroon*, Decision on Annulment, 3 May 1985, para 91.

⁵⁶⁹ *Klöckner v Cameroon*, Decision on Annulment, 3 May 1985, paras 93–113; *Amco v Indonesia*, Decision on Annulment, 16 May 1986, paras 30, 32, 36, 88, 122–123; *CDC v Seychelles*, Decision on Annulment, 29 June 2005, paras 51–55.

⁵⁷⁰ *Azurix v Argentina*, Decision on Annulment, 1 September 2009, paras 207–239; *Malicorp v Egypt*, Decision on Annulment, 3 July 2013, paras 61, 96–105; *Tenaris v Venezuela II*, Decision on Annulment, 28 December 2018, paras 240–247.

⁵⁷¹ ICSID Arbitration Rule 27: 'A party which knows or should have known that a provision of the Administrative and Financial Regulations, of these Rules, of any other rules or agreement applicable to the proceeding, or of an order of the Tribunal has not been complied with and which fails to state promptly its objections thereto, shall be deemed—subject to Article 45 of the Convention—to have waived its right to object.'

⁵⁷² *Klöckner v Cameroon*, Decision on Annulment, 3 May 1985, para 88; *CDC v Seychelles*, Decision on Annulment, 29 June 2005, paras 51–53; *Fraport v Philippines I*, Decision on Annulment, 23 December 2010, paras 204–208, 233–234; *Lemire v Ukraine*, Decision on Annulment, 8 July 2013, paras 200–219, 272–274.

ee. Failure to state reasons

The purpose of a statement of reasons is to explain to the reader of the award, especially to the parties, how and why the tribunal reached its decision. Article 48(3) of the ICSID Convention provides that the award shall state the reasons upon which it is based. Therefore, a total absence of reasons is unlikely. Requests for annulment have, however, repeatedly alleged the absence of reasons on specific points. In addition, complaints were directed at insufficient and inadequate reasons, contradictory reasons, or a failure to deal with every question before the tribunal.

If reasons on a particular point are missing, an ad hoc committee may reconstruct missing reasons. Therefore, an award will not be annulled if the reasons for a decision, though not stated explicitly, are readily apparent to the ad hoc committee. Implicit reasoning is sufficient provided it can be inferred reasonably from the terms and conclusions of the award.⁵⁷³

Insufficiency and inadequacy of reasons has been invoked frequently. This is a particularly subjective criterion and ad hoc committees have stated that reasons had to be ‘sufficiently relevant’, ‘appropriate’, and should ‘allow the parties to understand the Tribunal’s decision.’⁵⁷⁴ The ad hoc Committee in *Vivendi* said in this respect:

annulment under Article 52(1)(e) should only occur in a clear case. This entails two conditions: first, the failure to state reasons must leave the decision on a particular point essentially lacking in any expressed rationale; and second, that point must itself be necessary to the tribunal’s decision.⁵⁷⁵

⁵⁷³ *Amco v Indonesia*, Decision on Annulment, 16 May 1986, para 58; *MINE v Guinea*, Decision on Annulment, 14 December 1989, paras 6.103–6.104; *Wena Hotels v Egypt*, Decision on Annulment, 28 January 2002, paras 81–83, 93, 98, 106; *Vivendi v Argentina*, Decision on Annulment, 3 July 2002, paras 87–91; *CDC v Seychelles*, Decision on Annulment, 29 June 2005, paras 81, 87; *Soufraki v UAE*, Decision on Annulment, 5 June 2007, para 24; *CMS v Argentina*, Decision on Annulment, 25 September 2007, paras 125–127; *Rumeli v Kazakhstan*, Decision on Annulment, 25 March 2010, paras 83, 138; *Vivendi v Argentina*, Resubmitted Case: Decision on Annulment, 10 August 2010, para 248; *Frappart v Philippines I*, Decision on Annulment, 23 December 2010, paras 264–266; *Tulip v Turkey*, Decision on Annulment, 30 December 2015, para 108; *Suez and Vivendi v Argentina*, Decision on Annulment, 5 May 2017, para 292.

⁵⁷⁴ *Klöckner v Cameroon*, Decision on Annulment, 3 May 1985, paras 117–120; *Amco v Indonesia*, Decision on Annulment, 16 May 1986, paras 38–43; *MINE v Guinea*, Decision on Annulment, 14 December 1989, paras 5.08–5.09; *Wena Hotels v Egypt*, Decision on Annulment, 28 January 2002, paras 75–83; *CDC v Seychelles*, Decision on Annulment, 29 June 2005, paras 66–71, 75; *Mitchell v DR Congo*, Decision on Annulment, 1 November 2006, paras 21, 39–41, 46, 65; *Soufraki v UAE*, Decision on Annulment, 5 June 2007, paras 121–134; *Lucchetti v Peru*, Decision on Annulment, 5 September 2007, paras 126–130; *CMS v Argentina*, Decision on Annulment, 25 September 2007, paras 86–98, 125–127; *Frappart v Philippines I*, Decision on Annulment, 23 December 2010, paras 248–280; *Standard Chartered Bank v TANESCO*, Decision on Annulment, 22 August 2018, paras 617–619.

⁵⁷⁵ *Vivendi v Argentina*, Decision on Annulment, 3 July 2002, para 65.

It is also accepted that contradictory reasons may amount to a failure to state reasons since they will not enable the reader to understand the tribunal's motives. Genuinely contradictory reasons would cancel each other out.⁵⁷⁶

The tribunal's obligation to deal with every question submitted to it is contained in Article 48(3) of the ICSID Convention. Failure to deal with every question is not listed as a separate ground for annulment, but ad hoc committees have found that it was covered by failure to state reasons.⁵⁷⁷ But this obligation does not mean that the tribunal must address every single argument put forward by a party. Only a crucial or decisive argument would be a 'question' in this context.⁵⁷⁸ A decisive argument, if accepted, would have affected the tribunal's decision.

(c) Supplementation and rectification under the ICSID Convention

Under Article 49(2) of the ICSID Convention, the tribunal may, upon the request of a party, decide any question it had omitted to decide in the award and shall rectify technical errors in the award.⁵⁷⁹ This gives the tribunal the possibility to correct inadvertent omissions and minor technical errors. This remedy is not designed for substantive amendments of the award.⁵⁸⁰ The request has to be made within 45 days.

⁵⁷⁶ *Klöckner v Cameroon*, Decision on Annulment, 3 May 1985, para 116; *Amco v Indonesia*, Decision on Annulment, 16 May 1986, para 97; *MINE v Guinea*, Decision on Annulment, 14 December 1989, para 6.105; *Vivendi v Argentina*, Decision on Annulment, 3 July 2002, paras 64–65, 72; *CDC v Seychelles*, Decision on Annulment, 29 June 2005, paras 77–86; *Azurix v Argentina*, Decision on Annulment, 1 September 2009, paras 364–366; *Duke Energy v Peru*, Decision on Annulment, 1 March 2011, para 166; *Daimler v Argentina*, Decision on Annulment, 7 January 2015, para 77; *Tza Yap Shum v Peru*, Decision on Annulment, 12 February 2015, para 167; *Total v Argentina*, Decision on Annulment, 1 February 2016, para 268; *Venezuela Holdings v Venezuela*, Decision on Annulment, 9 March 2017, para 119.

⁵⁷⁷ *Klöckner v Cameroon*, Decision on Annulment, 3 May 1985, para 115; *Amco v Indonesia*, Decision on Annulment, 16 May 1986, para 32; *MINE v Guinea*, Decision on Annulment, 14 December 1989, para 5.13; *Wena Hotels v Egypt*, Decision on Annulment, 28 January 2002, paras 102–110; *Azurix v Argentina*, Decision on Annulment, 1 September 2009, paras 240–246; *MCI v Ecuador*, Decision on Annulment, 19 October 2009, paras 66–69; *Rumeli v Kazakhstan*, Decision on Annulment, 25 March 2010, para 84; *Daimler v Argentina*, Decision on Annulment, 7 January 2015, paras 87–88.

⁵⁷⁸ *AES v Hungary*, Decision on Annulment, 29 June 2012, paras 133, 135; *Dogan v Turkmenistan*, Decision on Annulment, 15 January 2016, paras 262–263.

⁵⁷⁹ ICSID Arbitration Rule 49.

⁵⁸⁰ *Railroad Development v Guatemala*, Decision on Supplementation and Rectification, 18 January 2013, paras 43, 47; *İçkale v Turkmenistan*, Decision on Supplementation and Rectification, 4 October 2016, paras 120–123, 152; *Gavazzi v Romania*, Decision on Rectification, 13 July 2017, para 55; *Pey Casado v Chile*, Resubmitted Case: Decision on Rectification, 6 October 2017, paras 49–50; *Watkins Holdings v Spain*, Decision on Rectification, 13 July 2020, paras 35–65.

(d) Interpretation under the ICSID Convention

In case of a dispute between the parties concerning the meaning or scope of an award either party may request an interpretation under Article 50 of the ICSID Convention.⁵⁸¹ There is no time limit for such a request. If possible, the original tribunal is to decide upon the request. If this is not possible a new tribunal will be constituted for this purpose. There is no time limit for an application requesting the interpretation. Once the interpretation has been given, the award will be binding as interpreted.

The request for interpretation must relate to an award and not to a preliminary decision such as a decision on jurisdiction.⁵⁸² The purpose of an interpretation is to clarify points that were decided in the award and not to decide new points.⁵⁸³ In addition, the dispute on the award's interpretation must have some practical relevance to the award's implementation.⁵⁸⁴ The Tribunal in *ATA v Jordan* summarized the function of a decision on interpretation as follows:

- (1) there must be a dispute between the parties over 'the meaning or scope' of the award;
- (2) the purpose of the application must be to obtain a true interpretation of the award, rather than to reopen the matter; and
- (3) the requested interpretation 'must have some practical relevance to the Award's implementation'.⁵⁸⁵

(e) Revision under the ICSID Convention

If decisive new facts come to light after the award has been rendered a party may, in accordance with Article 51 of the ICSID Convention request the award's revision.⁵⁸⁶ Revision under Article 51 is not available for decisions preliminary to awards such as decisions on jurisdiction or provisional measures.⁵⁸⁷

The new facts must have been unknown to the applicant at the time the award was rendered.⁵⁸⁸ A request for revision must be made within 90 days of discovery of the new facts and within three years of the rendering of the award. If possible,

⁵⁸¹ ICSID Arbitration Rules 50 and 51.

⁵⁸² *Waste Management v Mexico II*, Award, 30 April 2004, paras 13–17.

⁵⁸³ *Wena Hotels v Egypt*, Decision on Interpretation, 31 October 2005, paras 103–107, 127–131, 133, 138; *Minnotte v Poland*, Decision on Interpretation, 22 October 2014, para 12.

⁵⁸⁴ *Wena Hotels v Egypt*, Decision on Interpretation, 31 October 2005, paras 81, 87.

⁵⁸⁵ *ATA v Jordan*, Decision on Interpretation, 7 March 2011, para 35.

⁵⁸⁶ Arbitration Rules 50 and 51.

⁵⁸⁷ *Pac Rim v El Salvador*, Award, 14 October 2016, para 5.36.

⁵⁸⁸ *RSM v Grenada II*, Award, 10 December 2010, paras 7.1.15–7.1.30; *Venezuela Holdings v Venezuela*, Decision on Revision, 12 June 2015, paras 3.1.1–3.1.23; *Tidewater v Venezuela*, Decision on Revision, 7 July 2015, paras 33–39.

the original tribunal is to decide upon the request. If this is not possible, a new tribunal will be constituted for this purpose.

The new facts must be capable of affecting the award decisively, that is, they would have led to a different decision had they been known to the tribunal.⁵⁸⁹ The request for revision must come from one of the parties; the tribunal may not revise the award on its own initiative. The award will be binding as revised.

16. Enforcement of awards

Arbitral awards are binding upon the parties and create an obligation to comply with them. Except for the limited possibilities for review described in the preceding chapter, they are final. Article 53 of the ICSID Convention specifically provides for the binding nature and finality of awards. Article 53 of the ICSID Convention explicitly excludes an appeal against an award. This makes the introduction of an appeals procedure⁵⁹⁰ in the ICSID context difficult or impossible. The issues decided in awards are also *res judicata*. This means that the parties may not relitigate them before another tribunal or in a domestic court.

The binding force of awards rendered on the basis of intra-EU BITs and the ECT has been questioned as being in conflict with EU law.⁵⁹¹ In particular, following the judgment of the European Court in *Slovakia v Achmea*,⁵⁹² respondent States as well as the EU Commission have argued that compliance with awards resulting from such arbitrations would be contrary to EU law.⁵⁹³ Investment tribunals have held that any potential conflict between the ICSID Convention or investment treaties and EU law needs to be assessed according to the VCLT. Tribunals have denied both the existence of a conflict between the ICSID Convention or investment treaties and EU law⁵⁹⁴ and, if a conflict existed, any supremacy of EU law over the

⁵⁸⁹ *Pey Casado v Chile*, Decision on Revision, 18 November 2009, para 50.

⁵⁹⁰ See above XII.15.

⁵⁹¹ See also above XII.7(c) and (e).

⁵⁹² *Slovak Republic v Achmea*, Court of Justice of the European Union, Judgment, 6 March 2018, Case C-284/16. The Court held that the investor–State dispute settlement provisions in the bilateral investment treaty (BIT) between two EU Member States were contrary to EU law.

⁵⁹³ *Masdar v Spain*, Award, 16 May 2018, paras 296–341; *Vattenfall v Germany II*, Decision on the *Achmea* Issue, 31 August 2018, paras 48–59; *Adamakopoulos v Cyprus*, Decision on Jurisdiction, 7 February 2020, paras 50–63; *Addiko Bank v Croatia*, Decision on Croatia's Jurisdictional Objection Related to the Alleged Incompatibility of the BIT with the *EU Acquis*, 12 June 2020, paras 62–65, 125–131, 136–143. See also Declaration of EU Member States of 15 January 2019 on the Legal Consequences of the *Achmea* Judgment and on Investment Protection (and Declaration of 5 EU Member States on 16 January 2019 as well as the separate Declaration of Hungary on 16 January 2019).

⁵⁹⁴ *EURAM v Slovakia*, Award on Jurisdiction, 22 October 2012, paras 184–185; *Magyar Farming v Hungary*, Award, 13 November 2019, paras 238–239; *Adamakopoulos v Cyprus*, Decision on Jurisdiction, 7 February 2020, paras 163–186.

Convention and investment treaties.⁵⁹⁵ Therefore, respondents remained bound to honour awards.⁵⁹⁶

The enforcement of non-ICSID awards, including Additional Facility awards,⁵⁹⁷ is subject to the national law of the place of enforcement and to the New York Convention.⁵⁹⁸ Article V of that Convention lists the grounds on which recognition and enforcement may be refused. The most important of these grounds are the invalidity of the arbitration agreement, lack of proper notice of the arbitration proceedings, a decision in the award outside the submission to arbitration, improper composition of the tribunal, an award that is not yet binding or has been set aside, a subject-matter not capable of settlement by arbitration under the law of the State in which enforcement is sought, and an award that conflicts with the public policy of that State.

The regime for the enforcement of ICSID awards is different. Under Article 54 of the ICSID Convention awards are to be recognized as binding and their pecuniary obligations are to be enforced like final domestic judgments in all States parties to the Convention. Only awards are covered by this obligation.⁵⁹⁹ Decisions preliminary to awards, such as decisions on jurisdiction, decisions recommending provisional measures,⁶⁰⁰ and procedural orders are not awards. They are not by themselves subject to recognition and enforcement.

The obligation to recognize an award extends to any type of obligation under it. By contrast, the obligation to enforce is limited to the pecuniary obligations under the award.

Recognition and enforcement may be sought not only in the host State or in the investor's State of nationality, but in any State that is a party to the ICSID Convention. The prevailing party may select a State where enforcement seems most promising. An important element in this choice will be the availability of suitable assets.

The procedure for the enforcement of ICSID awards is governed by the law on the execution of judgments in each country. The Contracting States are to designate a competent court or authority for this purpose.⁶⁰¹ The party seeking

⁵⁹⁵ *RREEF v Spain*, Decision on Jurisdiction, 6 June 2016, paras 75, 87; *Eskosol v Italy*, Decision on Termination Request and Intra-EU Objection, 7 May 2019, paras 76, 182. See, however, *Electrabel v Hungary*, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, para 4.189.

⁵⁹⁶ *Marfin v Cyprus*, Award, 26 July 2018, para 577–597; *UP and C.D v Hungary*, Award, 9 October 2018, paras 252–267; *OperaFund v Spain*, Award, 6 September 2019, para 387; *NextEra v Spain*, Decision on Stay of Enforcement, 6 April 2020, para 90.

⁵⁹⁷ See eg *Crystallex v Venezuela*, Canada, Superior Court of Justice of Ontario, 20 July 2016.

⁵⁹⁸ Convention on the Recognition and Enforcement of Foreign Arbitral Awards (1958), 330 UNTS 38; (1968) 7 ILM 1046.

⁵⁹⁹ *Standard Chartered Bank v TANESCO*, Award, 12 September 2016, para 314; *Burlington v Ecuador*, Decision on Reconsideration and Award, 7 February 2017, para 88.

⁶⁰⁰ *RSM v St Lucia*, Decision on Security for Costs, 13 August 2014, para 50 and Decision on Annulment, 29 April 2019, para 174.

⁶⁰¹ Designations of Courts or Other Authorities Competent for the Recognition and Enforcement of Awards Rendered Pursuant to the Convention (ICSID/8-E).

recognition and enforcement must furnish a copy of the award certified by the Secretary-General of ICSID. If a stay of enforcement is in force the duty to enforce is suspended. A stay of enforcement may be granted while proceedings for the interpretation, revision or annulment are in progress.

There is no review of ICSID awards by domestic courts in proceedings for their recognition and enforcement.⁶⁰² Therefore, the domestic court or authority may not examine whether the ICSID tribunal had jurisdiction, whether it adhered to the proper procedure or whether the award is substantively correct. It may not even examine whether the award is in conformity with the forum State's *ordre public* (public policy). The domestic court or authority is limited to verifying that the award is authentic.

In proceedings for the enforcement of the Award in *Micula v Romania*,⁶⁰³ the English Court of Appeal said:

[I]t would be inconsistent with Article 54 ICSID for a national court to refuse to enforce the pecuniary obligations imposed by an award on the ground that, had the award been an ordinary domestic judgment giving effect to it would be contrary to a provision of national law... [T]he analogy with a judgment of the High Court is limited to defining the force and effect of a registered award for the purpose of execution. It does not give the High Court power to refuse to enforce an award for a reason that would justify staying enforcement of an ordinary domestic judgment.⁶⁰⁴

Proceedings for the recognition and enforcement of ICSID awards may be initiated in several States simultaneously. This may be necessary to secure their *res judicata* effect. If enforcement is sought in more than one State, appropriate steps must be taken to prevent double or multiple recovery.

Under Article 55 of the ICSID Convention the obligation to enforce the pecuniary obligations arising from ICSID awards does not affect any immunity from execution that States enjoy. State immunity is regulated by customary international law. A number of States have passed legislation in this field.⁶⁰⁵ A United Nations

⁶⁰² *Vivendi v Argentina*, Resubmitted Case: Decision on Continued Stay of Enforcement, 4 November 2008, para 36; *Electrabel v Hungary*, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, para 3.50; *Elsamex v Honduras*, Decision on the Termination of the Stay of Enforcement, 11 March 2014, para 30.

⁶⁰³ *Micula v Romania I*, Award, 11 December 2013.

⁶⁰⁴ *Micula v Romania* [2018] EWCA Civ 1801 (27 July 2018) para 121. See also the decision of the Supreme Court in *Micula v Romania* [2020] UKSC 5, 19 February 2020.

⁶⁰⁵ United States: Foreign Sovereign Immunities Act (FSIA) 1976, 28 USC §§ 1330, 1602–1611, (1976) 15 ILM 1388, as amended in 1988, (1989) 28 ILM 396 and in 1996/7, (1997) 36 ILM 759; United Kingdom: State Immunity Act (SIA) 1978, (1978) 17 ILM 1123; Australia: Foreign States Immunities Act 1985, (1986) 25 ILM 715.

Convention dealing with State immunity is not yet in force⁶⁰⁶ but many of its provisions are regarded as reflecting customary international law.

For purposes of State immunity from execution a distinction is usually made between commercial and non-commercial property. Execution is permitted against commercial property of the State but not against property serving official or governmental functions. The exact dividing line between the two types of property is not always easy to draw.⁶⁰⁷ Diplomatic property, including embassy accounts⁶⁰⁸ as well as accounts held by national central banks⁶⁰⁹ enjoy special protection from execution. A waiver of immunity from execution may be possible but will be difficult to obtain from a host State.⁶¹⁰ Occasionally, domestic rules on State immunity from execution place limits on the possibility to agree on waivers. In cases for the enforcement of awards against States, courts have refused to order execution into property that belonged State-owned entities rather than to the State.⁶¹¹

State immunity from execution is merely a procedural bar to the award's enforcement but does not affect the obligation of the State to comply with it. Therefore, a successful reliance on State immunity does not alter the fact that non-compliance with an award is a breach of the ICSID Convention. The ad hoc Committee in *MINE v Guinea* said in this respect:

It should be clearly understood ... that State immunity may well afford a legal defense to forcible execution, but it provides neither argument nor excuse for failing to comply with an award. In fact, the issue of State immunity from forcible execution of an award will typically arise if the State party refuses to comply with its

⁶⁰⁶ United Nations Convention on Jurisdictional Immunities of States and their Property, 2004, Adopted by the General Assembly of the United Nations on 2 December 2004. See General Assembly Resolution 59/38, annex, Official Records of the General Assembly, Fifty-ninth Session, Supplement No. 49 (A/59/49).

⁶⁰⁷ *LETCO v Liberia*, District Court, SDNY, 5 September and 12 December 1986; *Benvenuti & Bonfant v Congo*, Tribunal de grande instance, Paris, 13 January 1981, Cour d'appel, Paris, 26 June 1981, 1 ICSID Reports 368; *SOABI v Senegal*, Cour d'appel, Paris, 5 December 1989, Cour de cassation, 11 June 1991; *Sedelmayer v Russian Federation*, German Federal Supreme Court (Bundesgerichtshof), Case No VII ZB 9/05, Order, 4 October 2005, para 20; *Russian Federation v Sedelmayer*, Swedish Supreme Court, Ö 170-10, 1 July 2011, paras 18–25; *Sistem Mühendislik v Kyrgyzstan*, Swiss Federal Tribunal, 5A 681/2011, Decision, 23 November 2011; *Eiser v Spain*, Federal Court of Australia, 24 February 2020, [2020] FCA 157, para 108.

⁶⁰⁸ *LETCO v Liberia*, US District Court for the District of Columbia, 16 April 1987.

⁶⁰⁹ *AIG v Kazakhstan (National Bank of Kazakhstan Intervening)*, High Court, Queen's Bench Division (Commercial Court), 20 October 2005, [2005] EWHC 2239 (Comm), 11 ICSID Reports 118.

⁶¹⁰ In *Eiser v Spain*, Federal Court of Australia, 24 February 2020, [2020] FCA 157, paras 181–182, the Court saw a waiver of immunity through participation in the ICSID Convention. The Court also distinguished enforcement from execution.

⁶¹¹ *Benvenuti & Bonfant v Banque Commerciale Congolaise*, France, Cour de Cassation, 21 July 1987, 1 ICSID Reports 373, (1988) 115 JDI 108; *AIG v Kazakhstan (National Bank of Kazakhstan Intervening)*, High Court, Queen's Bench Division (Commercial Court), 20 October 2005, [2005] EWHC 2239 (Comm), 11 ICSID Reports 118; *Belokon v Kyrgyzstan*, Canada, Superior Court of Justice, Ontario, 11 July 2016, 2016 ONSC 4506, 16.

treaty obligations. Non-compliance by a State constitutes a violation by that State of its international obligations and will attract its own sanctions.⁶¹²

Under Article 27 of the ICSID Convention the right of diplomatic protection revives in case of non-compliance with an award. Therefore, diplomatic protection is an alternative and supplement to the judicial enforcement of awards under Article 54. In particular, diplomatic protection will be available if enforcement is unsuccessful because of the award debtor State's immunity from execution. But diplomatic protection may be exercised only by the aggrieved investor's State of nationality.

⁶¹² *MINE v Guinea*, Interim Order No 1 on Guinea's Application for Stay of Enforcement of the Award, 12 August 1988, para 25.